

In the opinion of Parker & Covert LLP, Sacramento, California ("Bond Counsel"), based upon an analysis of existing statutes, regulations, rulings and court decisions and assuming, among other things, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excludable from gross income for federal income tax purposes and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not an item of tax preference for purposes of the alternative minimum tax imposed on individuals. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the accrual or receipt of interest on, the Bonds. See "LEGAL MATTERS—Tax Matters" herein.



\$13,600,000
GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF THE
TURLOCK UNIFIED SCHOOL DISTRICT
(STANISLAUS COUNTY AND MERCED COUNTY, CALIFORNIA)
ELECTION OF 2016, SERIES 2019

DATED: Date of Delivery

DUE: August 1, as shown on the inside cover

The General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District (Stanislaus County and Merced County, California), Election of 2016, Series 2019 in the aggregate principal amount of \$13,600,000 (the "Bonds") are being issued by the Turlock Unified School District (the "School District") to (i) finance the specific school facilities projects set forth in the ballot measure approved by voters at an election held on November 8, 2016, and (ii) pay certain costs of issuance of the Bonds. See "PLAN OF FINANCE" herein.

The Bonds are general obligation bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District ("SFID No. 1"), payable solely from *ad valorem* property taxes levied and collected by Stanislaus County and Merced County. The Board of Supervisors of Stanislaus County and the Board of Supervisors of Merced County are empowered and obligated to annually levy and collect *ad valorem* property taxes without limitation as to rate or amount on all taxable property in SFID No. 1 (except for certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds. See "SECURITY AND SOURCE OF PAYMENT" herein.

The Bonds are being issued as current interest bonds in denominations of \$5,000 principal amount or any integral multiple thereof. The Bonds mature on August 1 in the years and amounts set forth on the inside cover page hereof. Interest on the Bonds accrues from the date of delivery and is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2020. The Bonds are subject to redemption prior to their maturity. See "THE BONDS—Payment of Principal and Interest" and "—Redemption Provisions" herein.

The Bonds are being issued as fully registered bonds, without coupons, in book-entry form only. When delivered, the Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), acting as securities depository for the Bonds. Individual purchases of the Bonds will be made in book-entry only form and only in authorized denominations as described in this Official Statement. So long as Cede & Co. is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by Zions Bancorporation, National Association as paying agent (the "Paying Agent") to DTC for subsequent disbursement to DTC participants who will remit such payments to the Beneficial Owners. See "APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM" attached hereto.

THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT INTENDED TO BE A SUMMARY OF ALL FACTORS RELEVANT TO AN INVESTMENT IN THE BONDS. INVESTORS SHOULD READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION. CAPITALIZED TERMS USED ON THIS COVER PAGE NOT OTHERWISE DEFINED WILL HAVE THEIR MEANINGS SET FORTH HEREIN.

MATURITY SCHEDULE

See Inside Cover

The Bonds are being purchased for reoffering by Robert W. Baird & Co. Incorporated as underwriter of the Bonds (the "Underwriter.") The Bonds are offered when, as and if issued by the School District and received by the Underwriter, subject to the approval as to their legality by Parker & Covert LLP, Sacramento, California, Bond Counsel to the School District, and subject to certain other conditions. It is anticipated that the Bonds, in book-entry form, will be available for delivery through the facilities of DTC on or about May 22, 2019.

This Official Statement is dated May 8, 2019.

MATURITY SCHEDULE

\$13,600,000
GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF THE
TURLOCK UNIFIED SCHOOL DISTRICT
(STANISLAUS COUNTY AND MERCED COUNTY, CALIFORNIA)
ELECTION OF 2016, SERIES 2019

SERIAL BONDS

Maturity Date August 1	Principal Amount	Interest Rate	Yield	Price	CUSIP ⁺
2020	\$750,000	5.000%	1.350%	104.298%	900211 CB7
2021	880,000	5.000	1.360	107.831	900211 CC5
2033	480,000	4.000	2.250 C	111.557	900211 CD3
2034	515,000	4.000	2.300 C	111.206	900211 CE1
2035	570,000	4.000	2.340 C	110.926	900211 CF8
2038	615,000	3.000	3.030	99.563	900211 CJ0
2039	660,000	3.000	3.050	99.247	900211 CK7
2040	710,000	3.000	3.070	98.912	900211 CL5
2041	770,000	3.000	3.090	98.559	900211 CM3
2042	825,000	3.000	3.110	98.189	900211 CN1
2043	885,000	3.000	3.130	97.803	900211 CP6
2044	940,000	3.000	3.150	97.402	900211 CQ4
2045	1,010,000	3.125	3.160	99.376	900211 CR2
2046	1,080,000	3.125	3.170	99.181	900211 CS0
2047	1,785,000	3.125	3.180	98.978	900211 CT8

C = Yield to call at par on August 1, 2026.

TERM BOND

Maturity Date August 1	Principal Amount	Interest Rate	Yield	Price	CUSIP ⁺
2037	\$1,125,000	3.000%	3.000%	100.000%	900211 CH4

⁺CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services. Neither the School District nor the Underwriter is responsible for the selection or correctness of the CUSIP numbers set forth herein.

Use of Official Statement. This Official Statement is submitted with respect to the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose. This Official Statement is not to be construed as a contract between any owner of Bonds and the School District or the Underwriter.

No Securities Laws Registration. The Bonds have not been registered under the Securities Act of 1933, as amended, or the Securities Exchange Act of 1934, as amended, in reliance upon exceptions therein for the issuance and sale of municipal securities. The Bonds have not been registered or qualified under the securities law of any state.

No Unlawful Offers of Solicitations. This Official Statement does not constitute an offer to sell nor the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make an offer, solicitation or sale.

No Offering Except by This Official Statement. No dealer, broker, salesperson or other person has been authorized by the School District or the Underwriter to give any information or to make any representations, other than those contained herein, and if given or made, such other information or representations must not be relied upon as having been authorized by the School District or the Underwriter.

Information in Official Statement. The information set forth herein has been furnished by the School District and other sources that are believed to be reliable, but is not guaranteed as to accuracy or completeness. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the School District since the date hereof.

Website. The School District maintains a website; however, the information presented there is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds.

Estimates and Projections. Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995, Section 21E of the Securities Exchange Act of 1934, as amended, and Section 27A of the Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “project,” “budget” or similar words. The achievement of certain results or other expectations contained in such forward-looking statements involves known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The School District does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based change.

Statement of Underwriter. The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities under federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

Stabilization of and Changes to Offering Prices. In connection with the offering, the Underwriter may over-allot or effect transactions that stabilize or maintain the market price of the Bonds offered hereby at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriter may offer and sell the Bonds to certain dealers, institutional investors, banks or others at prices lower or higher than the public offering prices stated on the inside cover page hereof, and such public offering prices may be changed from time to time by the Underwriter.

\$13,600,000
GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF THE
TURLOCK UNIFIED SCHOOL DISTRICT
(STANISLAUS COUNTY AND MERCED COUNTY, CALIFORNIA)
ELECTION OF 2016, SERIES 2019

SCHOOL DISTRICT BOARD OF TRUSTEES

Lori Carlson, President
Frank M. Lima, Clerk
Jeffrey Cortinas, Member
Barney Gordon, Member
Mary Jackson, Member
Ken Malech, Member
Anthony Silva, Member

SCHOOL DISTRICT ADMINISTRATION

Dana Salles Trevethan, Superintendent
Mike Trainor, Assistant Superintendent, Business Services
Heidi Lawler, Assistant Superintendent, Educational Services
Marjorie Bettencourt, Interim Assistant Superintendent, Finance & Accountability
David Lattig, Assistant Superintendent, Human Resources

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\$13,600,000
GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF THE
TURLOCK UNIFIED SCHOOL DISTRICT
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ELECTION OF 2016, SERIES 2019

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APPENDIX D—STANISLAUS COUNTY TREASURY POOL INVESTMENT POLICY

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\$13,600,000
GENERAL OBLIGATION BONDS OF
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(STANISLAUS COUNTY AND MERCED COUNTY, CALIFORNIA)
ELECTION OF 2016, SERIES 2019

OFFICIAL STATEMENT

INTRODUCTORY STATEMENT

General

The purpose of this Official Statement, which includes the cover page, inside cover page, table of contents and attached appendices (the “Official Statement”) is to provide certain information concerning the sale and delivery of the General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District (Stanislaus County and Merced County, California), Election of 2016, Series 2019 in the aggregate principal amount of \$13,600,000 (the “Bonds”).

This INTRODUCTORY STATEMENT is not a summary of this Official Statement—it is only a brief description of and guide to this Official Statement. This INTRODUCTORY STATEMENT is qualified by more complete and detailed information contained in this entire Official Statement. A full review of this entire Official Statement should be made by a person interested in investing in the Bonds. The offering of the Bonds to potential investors is made only by means of this entire Official Statement.

Events Subsequent to the Preliminary Official Statement

On May 9, 2019, Governor Gavin Newsom announced his revisions to the proposed budget for the State of California for fiscal year 2019-20 (the “2019-20 May Revision”). A brief summary of the 2019-20 May Revision is included herein. See “FUNDING OF PUBLIC EDUCATION IN THE STATE—The Proposed 2019-20 State Budget” herein.

The School District

The Turlock Unified School District (the “School District”), a political subdivision of the State of California (the “State”), was established in 2004 upon the unification of Turlock Joint Elementary School District and Turlock Joint Union High School District. The School District encompasses approximately 100 square miles, approximately 98 percent of which is located in the south-central portion of Stanislaus County, with the remaining portion located in the north-central portion of Merced County. The territory covered by the School District includes the City of Turlock (the “City”) and certain unincorporated areas on either side of Highway 99, a main route linking the central San Joaquin Valley to the City of Los Angeles to the south and the City of Sacramento, the State capital, to the north. The School District serves a population of approximately 86,200 people.

The School District provides education to approximately 14,000 students in transitional kindergarten through twelfth grade, as well as additional students in adult education and a charter school. The School District operates nine elementary schools, one grade 6-8 middle school, one grade 7-8 junior high school, two comprehensive high schools, one continuation high school, one fiscally dependent K-12 charter school and an adult school. The School District is governed by a seven-member Board of Trustees (the “School District Board”). See “THE SCHOOL DISTRICT” and “SCHOOL DISTRICT FINANCIAL INFORMATION” herein.

School Facilities Improvement District No. 1

School Facilities Improvement District No. 1 of the Turlock Unified School District (“SFID No. 1”) was established by the School Board on July 6, 2006, pursuant to the provisions of the California Education Code (the “Education Code”) Section 15300 *et seq.*, for the purpose of holding a bond election within the boundaries of SFID No. 1. The formation of SFID No. 1 allows the School District to finance school capital improvements from *ad valorem* taxes levied only against property located within the designated boundaries of SFID No. 1, which consists of all of the territory located within the boundaries of the former Turlock Joint Elementary School District. SFID No. 1 encompasses approximately 30 square miles, including the incorporated area of the City of Turlock and certain unincorporated areas lying along Highway 99, one of the main routes linking the Central San Joaquin Valley to the City of Los Angeles to the south and the City of Sacramento, the State capital, to the north.

The School Board has the same rights, powers, duties and responsibilities with respect to the formation and government of SFID No. 1 as it has with respect to the School District. SFID No. 1 has no legal authority beyond the issuance of approved bonds and taxation therefor. See “SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1” herein.

Purpose of Issue

The Bonds are being issued by the School District to (i) finance the specific school facilities projects set forth in the ballot measure approved by SFID No. 1’s voters at an election held on November 8, 2016 and (ii) pay costs of issuance of the Bonds. See “THE BONDS—Authority for Issuance” herein.

Authority for Issuance

The Bonds are being issued by the School District under and pursuant to the California Constitution (the “State Constitution”), certain provisions of the California Government Code (the “Government Code”) and the Education Code, a resolution adopted by the School Board on April 2, 2019 (the “Resolution”) and a paying agent agreement dated May 1, 2017 between the School District and Zions Bancorporation, National Association (the “Paying Agent”), as supplemented by a first supplemental paying agent agreement dated May 1, 2019 between the School District and the Paying Agent (together, the “Paying Agent Agreement”). See “THE BONDS—Authority for Issuance” herein.

Description of the Bonds

The Bonds are being issued as fully registered bonds, without coupons, in book-entry form only. When delivered, the Bonds will be initially registered in the name of Cede & Co. as nominee of The Depository Trust Company (“DTC”). So long as Cede & Co. is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by the Paying Agent to DTC for subsequent disbursement to DTC participants who will remit such payments to the beneficial owners of the Bonds (the “Beneficial Owners”). See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

The Bonds are being issued as current interest bonds in denominations of \$5,000 principal amount or any integral multiple thereof. The Bonds are dated their date of delivery and mature on August 1 in each of the years and in the amounts set forth on the inside cover page hereof. Interest on the Bonds is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2020. Interest on the Bonds is computed on the basis of a 360-day year comprised of 12 months of 30 days each. See “THE BONDS—Payment of Principal and Interest” herein.

The Bonds are subject to redemption prior to maturity. See THE BONDS—Redemption Provisions” herein.

Source of Payment for the Bonds

The Bonds are general obligation bonds of SFID No. 1 payable from *ad valorem* property taxes which the Board of Supervisors of Stanislaus County (the “Stanislaus County Board”) and the Board of Supervisors of Merced County (the “Merced County Board”) are empowered and obligated to annually levy and collect, without limitation as to rate or amount, on all taxable property in SFID No. 1 (except for certain personal property which is taxable at limited rates) for the payment of

principal of and interest on the Bonds, and from amounts on deposit in the Tax Collection Fund (as defined herein). See “SECURITY AND SOURCE OF PAYMENT” herein.

Tax Matters

In the opinion of Parker & Covert LLP, Sacramento, California (“Bond Counsel”), based upon an analysis of existing statutes, regulations, rulings, and court decisions and assuming, among other things, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excludable from gross income for federal income tax purposes and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not an item of tax preference for purposes of the alternative minimum tax imposed on individuals. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the accrual or receipt of interest on, the Bonds. See “LEGAL MATTERS—Tax Matters” herein. The form of the proposed opinion of Bond Counsel relating to the Bonds is included with this Official Statement. See “APPENDIX C—FORM OF OPINION OF BOND COUNSEL” attached hereto.

Continuing Disclosure

The School District will covenant for the benefit of the Registered Owners (as defined herein) and Beneficial Owners to make available annually certain financial information and operating data relating to the School District and SFID No. 1 and to provide notices of the occurrence of certain enumerated events in compliance with Securities and Exchange Commission (the “SEC”) Rule 15c2-12(b)(5). The specific nature of the information to be made available annually and the enumerated events for which notice will be given are set forth in “APPENDIX B—FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. See also “CONTINUING DISCLOSURE” herein.

Professionals Involved

Government Financial Strategies inc., Sacramento, California, has acted as municipal advisor (the “Municipal Advisor”) to the School District with respect to the sale and delivery of the Bonds. See “MUNICIPAL ADVISOR” herein. Certain proceedings in connection with the sale and delivery of the Bonds are subject to the approving legal opinion of Parker & Covert LLP, Sacramento, California, Bond Counsel. Zions Bancorporation, National Association will act as paying agent with respect to the Bonds. Parker & Covert LLP and Zions Bancorporation, National Association will receive compensation contingent upon the sale and delivery of the Bonds.

Other Information

This Official Statement may be considered current only as of its date that has been made a part of the cover page hereof, and the information contained herein is subject to change. A description of the Bonds, the School District and SFID No. 1, together with summaries of certain provisions of the Resolution, the Paying Agent Agreement, and other legal documents related to the Bonds (collectively, the “Legal Documents”) are included in this Official Statement. Such summaries do not purport to be comprehensive or definitive, and all references made herein to the Legal Documents approved by the School District are qualified in their entirety by reference to such documents, and all references made herein to the Bonds are qualified in their entirety by reference to the form thereof included in the Legal Documents.

Interested parties may obtain copies of the Legal Documents, audited financial statements, annual budgets, or other information which is generally made available to the public by contacting Turlock Unified School District, 1574 East Canal Drive, Turlock, California 95380, (209) 667-0632, Attention: Assistant Superintendent, Business Services, or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

THE BONDS

Purpose of Issue

The Bonds are being issued by the School District to (i) finance the specific school facilities projects set forth in the ballot measure approved by SFID No. 1's voters at an election held on November 8, 2016, and (ii) pay certain costs of issuance of the Bonds. See "— Authority for Issuance" and "PLAN OF FINANCE" herein.

Authority for Issuance

The Bonds are being issued by the School District under and pursuant to the provisions of Article XIII A, Section 1 and Article XVI, Section 18 of the State Constitution, the provisions of Government Code Section 53506 *et seq.* and all laws amendatory to or supplemental thereof, certain provisions of Education Code Section 15300 *et seq.*, and all laws amendatory to or supplemental thereof, and pursuant to the provisions of the Resolution and the Paying Agent Agreement. The School District may incur bonded indebtedness upon the vote of 55 percent or more of the qualified electors of SFID No. 1 voting on the proposition pursuant to Article XIII A, subject to the debt limitations set forth in Article XVI of the State Constitution and the Education Code.

Pursuant to provisions of State law, the School Board adopted a resolution calling for an election to authorize the issuance of \$40.8 million in aggregate principal amount of general obligation bonds for authorized school purposes. On November 8, 2016, at an election duly held pursuant to State law (the "2016 Election"), more than 55 percent of the votes received from qualified voters within the boundaries of SFID No. 1 approved "Measure N" as follows:

"To upgrade and repair elementary schools with local funding that cannot be taken by the State, shall Turlock Unified School District provide new classrooms/instructional technology, including necessary infrastructure, for core academics including math, science, reading/writing; modernize classrooms to meet health/safety codes; improve campus safety/security; repair, construct, acquire, equip, classrooms, sites, facilities; by issuing \$40,800,000 of bonds at legal rates, with independent citizen oversight, no money for administrators, and all funds used for Turlock Schools?"

The Stanislaus County Registrar of Voters and the Merced County Registrar of Voters certified the results of the election as follows:

General Obligation Bond Election of 2016 School Facilities Improvement District No. 1 of the Turlock Unified School District

<u>County</u>	<u>Yes Votes</u>	<u>No Votes</u>
Stanislaus	15,697	6,955
Merced	<u>142</u>	<u>88</u>
Total	15,839 (69.2%)	7,043 (30.8%)

Source: Stanislaus County Registrar of Voters and Merced County Registrar of Voters.

On May 9, 2017, the School District issued the first series of bonds authorized by the 2016 Election, the General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District (Stanislaus County and Merced County, California) Election of 2016, Series 2017 (the "2017 SFID Bonds") in the aggregate principal amount of \$12,500,000. The Bonds represent the second series of general obligation bonds to be issued under Measure N. Upon the issuance of the Bonds, the School District will have \$14.7 million unissued authorization remaining under the 2016 Election. See "SCHOOL DISTRICT FINANCIAL INFORMATION—Long-Term Borrowings" herein.

Form and Initial Registration

Pursuant to the Paying Agent Agreement, the Paying Agent will keep and maintain for and on behalf of the School District, registration books (the “Bond Register”) for recording the owners of the Bonds (the “Registered Owners”), the transfer and exchange of the Bonds, and the payment of the principal of and interest on the Bonds to the Registered Owners.

The Bonds will be initially executed and delivered as one fully registered bond for each maturity, without coupons, in the name of Cede & Co., as nominee of DTC, or its registered assign, acting as securities depository for the Bonds. Purchases of Bonds under the DTC book-entry system must be made by or through a DTC participant in the principal amount of \$5,000 or integral multiples thereof for each maturity, and ownership interests in Bonds will be recorded as entries on the books of said participants. So long as Cede & Co., or its registered assign, is the registered owner of the Bonds, payments of principal of and interest on the Bonds will be made by the Paying Agent to DTC for subsequent disbursement to Beneficial Owners by or through a DTC participant. Except in the event that use of this book-entry system is discontinued for the Bonds, Beneficial Owners will not receive physical certificates representing their ownership interests in the Bonds. See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

So long as the Bonds are registered in the name of Cede & Co., or its registered assigns, as nominee for DTC, references in this Official Statement to the Registered Owners mean Cede & Co., or its registered assigns, and do not mean the purchasers or Beneficial Owners of the Bonds.

Payment of Principal and Interest

The Bonds are dated their date of delivery and mature on August 1 in each of the years and in the amounts set forth on the inside cover page hereof.

Interest on the Bonds is computed from their dated date on the basis of a 360-day year comprised of 12 months of 30 days each. Interest on the Bonds is payable semiannually on February 1 and August 1 of each year (each, an “Interest Payment Date”), commencing February 1, 2020, at the annual interest rates shown on the inside cover page hereof.

Each Bond bears interest from the Interest Payment Date next preceding the date of authentication thereof, unless (i) it is authenticated as of a day during the period after the fifteenth day of the calendar month immediately preceding an Interest Payment Date (the “Regular Record Date”) to that Interest Payment Date, both dates inclusive, in which event it will bear interest from such Interest Payment Date, or (ii) it is authenticated on or before January 15, 2020, in which event it bears interest from its date of delivery, provided that if, at the time of authentication of a Bond, interest is in default thereon, such Bond bears interest from the Interest Payment Date to which interest has previously been paid or made available for payment.

The principal or redemption price of and interest on the Bonds is payable in lawful money of the United States of America by wire transfer on each payment date to Cede & Co., or its registered assign, so long as Cede & Co., or its registered assign, is the sole Registered Owner. In the event the book-entry system is no longer in use, the principal or redemption price of the Bonds is payable upon surrender thereof at maturity or earlier redemption at the designated office of the Paying Agent, and payments of interest will be made on each Interest Payment Date by check of the Paying Agent sent to the Registered Owner thereof, provided however, that payment of interest may be by wire transfer of immediately available funds to any Registered Owner in the aggregate principal amount of \$1,000,000 or more who has provided the Paying Agent with wire transfer instructions to an account within the United States of America as of the close of business on the Regular Record Date.

Redemption Provisions

Optional Redemption. The Bonds maturing on or before August 1, 2026, are not subject to optional redemption prior to their respective maturity dates. The Bonds maturing on or after August 1, 2027, are subject to redemption prior to their respective stated maturities, at the option of the School District, as a whole or in part among maturities on such basis as designated by the School District and by lot within a maturity, from any source of available funds, on any date on or after August 1, 2026 at a redemption price equal to the principal amount of the Bonds called for redemption, plus accrued interest to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The Bond maturing by its term on August 1, 2037 (the “2037 Term Bond”) is subject to mandatory redemption by the School District prior to its maturity in part, by lot, from mandatory redemption payments in

the following amounts and on the following dates, at the principal amount thereof on the date fixed for redemption without premium, but which amounts will be reduced by the principal amount of such 2037 Term Bond optionally redeemed.

**Mandatory Redemption Payments
\$1,125,000 2037 Term Bond**

Mandatory Redemption Date (August 1)	Principal Amount
2036	\$540,000
2037 ¹	\$585,000

¹Indicates maturity of the \$1,125,000 2037 Term Bond.

If any Term Bonds are optionally redeemed in part, the School District will provide to the Paying Agent revised schedules of mandatory redemption payments.

Selection of Bonds for Redemption. In the case of any redemption at the election of the School District of less than all the outstanding Bonds, the School District will, at least 45 days prior to the date fixed for redemption (unless a shorter notice is satisfactory to the Paying Agent) notify the Paying Agent in writing of such redemption date and of the principal amount of Bonds to be redeemed. If less than all the outstanding Bonds of any maturity are to be redeemed, not more than 60 days prior to the redemption date, the Paying Agent will select the particular Bonds to be redeemed from the outstanding Bonds of such maturity that have not previously been called for redemption, in minimum amounts of \$5,000 principal amount, by lot in any manner that the Paying Agent in its sole discretion deems appropriate and fair. For purposes of such selection, each \$5,000 principal amount will be deemed to be a separate Bond.

Notice of Redemption. The Paying Agent will mail notice of redemption not fewer than 30 nor more than 60 days prior to the redemption date by first-class mail, postage prepaid, to the respective Registered Owners of any Bonds designated for redemption at their addresses appearing on the Bond Register and will file such notice on the same day with the Municipal Securities Rulemaking Board (the “MSRB”) through its Electronic Municipal Market Access (“EMMA”) website. Each notice of redemption will contain: (i) the date of such notice; (ii) the series designation of the Bonds and date of issue of the Bonds; (iii) the redemption date; (iv) the redemption price; (v) the place or places of redemption (including the name and appropriate address or addresses of the Paying Agent); (vi) the CUSIP number (if any) of the maturity or maturities; and (vii) if less than all of any such maturity, the distinctive certificate numbers of the Bonds of such maturity to be redeemed and, in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each notice will either (i) explicitly state that the proposed redemption is conditioned on there being on deposit on the redemption date sufficient money to pay in full the redemption price of the Bonds or portions thereof to be redeemed; or (ii) be sent only if sufficient money to pay in full the redemption price of the Bonds or portions thereof to be redeemed is on deposit. Each such notice will also (i) state that on said date there will become due and payable on each of said Bonds the redemption price thereof or of said specified portion of the principal amount thereof in the case of a Bond to be redeemed in part only, together with interest accrued thereon to the date fixed for redemption; (ii) state that from and after such redemption date interest thereon shall cease to accrue; and (iii) require that such Bonds be then surrendered at the address or addresses of the Paying Agent specified in the redemption notice. Neither the School District nor the Paying Agent has any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto, and any such redemption notice may contain a statement to the effect that CUSIP numbers have been assigned by an independent service for convenience of reference and that neither the School District nor the Paying Agent is liable for any inaccuracy in such numbers.

Defects in Notice or Procedure. Failure by the Paying Agent to file notice with the MSRB or failure of any Registered Owner to receive notice, or any defect in any such notice, will not affect the sufficiency of the proceedings for redemption. Failure by the Paying Agent to mail or otherwise deliver notice to any one or more of the respective Registered Owners of any Bonds designated for redemption will not affect the sufficiency of the proceedings for redemption with respect to the Registered Owner or Owners to whom such notice was mailed or delivered.

Right to Rescind Notice. The School District may rescind any optional redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the Registered Owners of the Bonds so called for redemption. Any optional redemption and notice thereof will be rescinded if for any reason on the date fixed for redemption moneys are not available in the fund held by the Paying Agent for the payment of principal of and interest on the Bonds to the Bondholders (the “Debt Service Fund”) or otherwise held in trust for such purpose in an amount sufficient to pay in full on said date the principal of, interest, and any premium due on the Bonds called for redemption. Notice

of rescission of redemption will be given in the same manner in which notice of redemption was originally given. The actual receipt by the Registered Owner of any Bond of notice of such rescission is not a condition precedent to rescission, and failure to receive such notice or any defect in such notice will not affect the validity of the rescission.

Deposit of Redemption Price. Prior to any redemption date, the School District will deposit with the Paying Agent an amount of money sufficient to pay the redemption price of all the Bonds that are to be redeemed on that date. Such money will be held for the benefit of the persons entitled to such redemption price.

Effect of Redemption. When notice of redemption has been given substantially as provided by the Paying Agent Agreement and moneys for payment of the redemption price of the Bonds called for redemption are held by the Paying Agent, on the redemption date designated in such notice (i) the Bonds so to be redeemed will become due and payable at the redemption price specified in such notice; (ii) interest on such Bonds will cease to accrue; (iii) such Bonds will cease to be entitled to any benefit or security under the Paying Agent Agreement; and (iv) the Registered Owners of such Bonds will have no rights in respect thereof except to receive payment of said redemption price. Upon surrender of any such Bond for redemption in accordance with said notice, such Bond will be paid by the Paying Agent at the redemption price.

Bonds Redeemed in Part. Upon surrender of any Bond redeemed in part only, the School District will execute and the Paying Agent will authenticate, if required, and deliver to the Registered Owner thereof, at the expense of the School District, a new Bond or Bonds of authorized denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Transfer and Exchange

If the book-entry system as described herein is no longer used with respect to the Bonds, the provisions in the Paying Agent Agreement summarized below will govern the registration, transfer, and exchange of the Bonds. See “APPENDIX E—DTC BOOK-ENTRY ONLY SYSTEM” attached hereto.

Upon surrender of a Bond for transfer at the Paying Agent’s office, the School District will execute and, if required, the Paying Agent will authenticate and deliver, in the name of the designated transferee or transferees, one or more new Bonds of the same series, tenor, and maturity and for an equivalent aggregate principal amount.

Bonds may be exchanged for an equivalent aggregate principal amount of Bonds of other authorized denominations of the same series, tenor, and maturity upon surrender of the Bonds for exchange at the Paying Agent’s office. Upon surrender of Bonds for exchange, the School District will execute and, if required, the Paying Agent will authenticate and deliver the Bonds that the holder making the exchange is entitled to receive.

Every Bond presented or surrendered for transfer or exchange must be accompanied by a written instrument of transfer, in a form satisfactory to the Paying Agent, that is duly executed by the Registered Owner or by his attorney duly authorized in writing. All fees and costs of any transfer or exchange of Bonds will be paid by the holder requesting such transfer or exchange.

All Bonds issued upon any transfer or exchange of Bonds will be the valid obligations of the School District, evidencing the same debt, and entitled to the same security and benefits under the Paying Agent Agreement, as the Bonds surrendered upon such transfer or exchange. All Bonds surrendered upon any exchange or transfer will be promptly cancelled by the Paying Agent.

The Paying Agent is not required to transfer or exchange (i) Bonds during the period established by the Paying Agent for the selection of Bonds for redemption; or (ii) any Bond that has been selected for redemption in whole or in part, except the unredeemed portion of such Bond selected for redemption in part, from and after the day that such Bond has been selected for redemption in whole or in part.

Defeasance

Upon the deposit with the Paying Agent, escrow agent, or other fiduciary, at or before maturity, of money or Defeasance Securities (as defined herein) in the necessary amount as provided in the Paying Agent Agreement to pay or redeem any outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption has been given or provision satisfactory to the Paying Agent has

been made for the giving of such notice, then all liability of the School District in respect of such Bond will cease, terminate, and be completely discharged, except that thereafter (i) the Registered Owner thereof will be entitled to payment of the principal amount or redemption price of and interest on such Bond by the School District and the School District will remain liable for such payment, but only out of such money or securities deposited with the Paying Agent, escrow agent, or other fiduciary for their payment; and (ii) the Registered Owner thereof will retain its rights of transfer or exchange of Bonds. Defeasance Securities means (i) cash; (ii) direct obligations (other than an obligation subject to variation in principal repayment) of the United States of America; (iii) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by the United States of America; (iv) obligations fully and unconditionally guaranteed as to timely payment of principal and interest by any agency or instrumentality of the United States of America when such obligations are backed by the full faith and credit of the United States of America; or (v) evidences of ownership of proportionate interests in future interest and principal payments on obligations described above held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying government obligations are not available to any person claiming through the custodian or to whom the custodian may be obligated.

Unclaimed Moneys

Subject to applicable escheatment laws, any moneys held by the Paying Agent for the payment of the principal amount or redemption price of or interest on any Bonds and remaining unclaimed for three years after the date when such Bonds have become due and payable (whether at maturity or upon call for redemption), if such moneys were so held at such date, or three years after the date of deposit of such moneys if deposited after the date when such Bonds became due and payable, will be repaid to the School District. Thereafter, Registered Owners will look solely to the School District for the payment of such funds and the Paying Agent will have no further liability for such funds.

Paying Agent

Zions Bancorporation, National Association will act as the paying agent, bond registrar and authenticating agent for the Bonds unless and until replaced by the School District with a successor paying agent as described in the Paying Agent Agreement. As long as Cede & Co or a successor nominee or DTC is the registered owner of the Bonds and DTC's book-entry method is used for the Bonds, the Paying Agent will send any notice to owners only to DTC. Any failure of DTC to advise any DTC participant or of any DTC participant to notify any Beneficial Owner of any such notice and its content or effect will not affect the validity or sufficiency of the proceedings relating to any action premised on such notice. The Paying Agent, the School District and the Underwriter have no responsibility or liability for any aspects of the records relating to, or payments made on account of, beneficial ownership, or for maintaining, supervising, or reviewing any records relating to beneficial ownership of interests in the Bonds.

PLAN OF FINANCE

Application and Investment of Bond Proceeds

A portion of the proceeds of the sale of the Bonds, exclusive of any premium, will be transferred to the Stanislaus County Treasurer for deposit in the General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District, Election of 2016 Building Fund (the "Building Fund") to be created and established in the Stanislaus County Treasury pursuant to Education Code Section 15146(g). Moneys deposited in the Building Fund will be used solely for the purpose for which the Bonds are being issued. Interest earned on moneys held in the Building Fund will be retained in the Building Fund. Any proceeds of the sale of the Bonds deposited in the Building Fund not needed for the purposes of the Bonds will be transferred to the School Facilities Improvement District No. 1 of the Turlock Unified School District Tax Collection Fund (the "Tax Collection Fund") maintained by the Stanislaus County Treasurer pursuant to Education Code Section 15251, to be applied to the payment of principal of and interest on the Bonds.

A portion of the proceeds from the sale of the Bonds, exclusive of any premium, will be transferred to the Paying Agent for deposit into a costs of issuance fund (the "Costs of Issuance Fund") to be created and maintained by the Paying Agent pursuant to the Paying Agent Agreement to pay costs associated with the issuance of the Bonds. The moneys in the Costs of Issuance Fund will be held uninvested. Any proceeds of the sale of the Bonds deposited in the Costs of Issuance Fund not needed to pay the costs of issuance of the Bonds will be transferred by the Paying Agent to the Debt Service Fund.

The premium, if any, received by the School District from the sale of the Bonds will be transferred to the Stanislaus County Treasurer for deposit in the Tax Collection Fund. Moneys deposited in the Tax Collection Fund will be used solely for the payment of principal of and interest on the general obligation bonds of SFID No. 1. Interest earned on moneys held in the Tax Collection Fund will be retained in the Tax Collection Fund. Any moneys remaining in the Tax Collection Fund after the principal of and interest on the Bonds have been paid will be used to pay other general obligation bonds of SFID No. 1 or, if there are no other general obligation bonds of SFID No. 1 outstanding, will be transferred to the general fund of the School District (the “General Fund”) pursuant to Education Code Section 15234.

Permitted Investments

Under State law, the School District is generally required to pay all moneys received from any source into the Stanislaus County Treasury to be held on behalf of the School District. All funds held by the Stanislaus County Treasurer in the Building Fund and the Tax Collection Fund are expected to be invested at the sole discretion of the Stanislaus County Treasurer, on behalf of the School District, in such investments as are authorized by Government Code Sections 16429.1, 53601 and 53635 and following, and by the Stanislaus County Treasury Pool Investment Policy (the “Stanislaus County Investment Policy”), as either may be amended or supplemented from time to time. See “STANISLAUS COUNTY TREASURY POOL” herein and “APPENDIX D—STANISLAUS COUNTY TREASURY POOL INVESTMENT POLICY” attached hereto for a description of the permitted investments under the Stanislaus County Investment Policy.

Sources and Uses of Funds

The sources and uses of funds in connection with the sale and delivery of the Bonds are set forth in the following table.

Sources and Uses of Funds General Obligation Bonds, Election of 2016, Series 2019

SOURCES OF FUNDS	
Par Amount of Bonds	\$13,600,000.00
Net Original Issue Premium	<u>157,936.95</u>
 TOTAL SOURCES OF FUNDS	 <u>\$13,757,936.95</u>
 USES OF FUNDS	
Building Fund	\$13,497,000.00
Tax Collection Fund	19,566.95
Costs of Issuance Fund	103,000.00
Underwriter’s Discount	<u>138,370.00</u>
 TOTAL USES OF FUNDS	 <u>\$13,757,936.95</u>

The Costs of Issuance Fund will be used to pay costs of issuance of the Bonds including fees and expenses of Bond Counsel, the Municipal Advisor, the Paying Agent, the rating agency and certain other expenses related to the issuance of the Bonds.

Debt Service Schedules

Scheduled debt service on the Bonds (assuming no optional redemption of the Bonds) is shown in the table on the following page.

Debt Service Schedule
General Obligation Bonds, Election of 2016, Series 2019

<u>Date</u>	<u>Principal</u>	<u>Interest</u>	<u>Semiannual Debt Service</u>
February 1, 2020	-	\$318,923.18	\$318,923.18
August 1, 2020	\$750,000.00	230,546.88	980,546.88
February 1, 2021	-	211,796.88	211,796.88
August 1, 2021	880,000.00	211,796.88	1,091,796.88
February 1, 2022	-	189,796.88	189,796.88
August 1, 2022	-	189,796.88	189,796.88
February 1, 2023	-	189,796.88	189,796.88
August 1, 2023	-	189,796.88	189,796.88
February 1, 2024	-	189,796.88	189,796.88
August 1, 2024	-	189,796.88	189,796.88
February 1, 2025	-	189,796.88	189,796.88
August 1, 2025	-	189,796.88	189,796.88
February 1, 2026	-	189,796.88	189,796.88
August 1, 2026	-	189,796.88	189,796.88
February 1, 2027	-	189,796.88	189,796.88
August 1, 2027	-	189,796.88	189,796.88
February 1, 2028	-	189,796.88	189,796.88
August 1, 2028	-	189,796.88	189,796.88
February 1, 2029	-	189,796.88	189,796.88
August 1, 2029	-	189,796.88	189,796.88
February 1, 2030	-	189,796.88	189,796.88
August 1, 2030	-	189,796.88	189,796.88
February 1, 2031	-	189,796.88	189,796.88
August 1, 2031	-	189,796.88	189,796.88
February 1, 2032	-	189,796.88	189,796.88
August 1, 2032	-	189,796.88	189,796.88
February 1, 2033	-	189,796.88	189,796.88
August 1, 2033	480,000.00	189,796.88	669,796.88
February 1, 2034	-	180,196.88	180,196.88
August 1, 2034	515,000.00	180,196.88	695,196.88
February 1, 2035	-	169,896.88	169,896.88
August 1, 2035	570,000.00	169,896.88	739,896.88
February 1, 2036	-	158,496.88	158,496.88
August 1, 2036	540,000.00	158,496.88	698,496.88
February 1, 2037	-	150,396.88	150,396.88
August 1, 2037	585,000.00	150,396.88	735,396.88
February 1, 2038	-	141,621.88	141,621.88
August 1, 2038	615,000.00	141,621.88	756,621.88
February 1, 2039	-	132,396.88	132,396.88
August 1, 2039	660,000.00	132,396.88	792,396.88
February 1, 2040	-	122,496.88	122,496.88
August 1, 2040	710,000.00	122,496.88	832,496.88
February 1, 2041	-	111,846.88	111,846.88
August 1, 2041	770,000.00	111,846.88	881,846.88
February 1, 2042	-	100,296.88	100,296.88
August 1, 2042	825,000.00	100,296.88	925,296.88
February 1, 2043	-	87,921.88	87,921.88
August 1, 2043	885,000.00	87,921.88	972,921.88
February 1, 2044	-	74,646.88	74,646.88
August 1, 2044	940,000.00	74,646.88	1,014,646.88
February 1, 2045	-	60,546.88	60,546.88
August 1, 2045	1,010,000.00	60,546.88	1,070,546.88
February 1, 2046	-	44,765.63	44,765.63
August 1, 2046	1,080,000.00	44,765.63	1,124,765.63
February 1, 2047	-	27,890.63	27,890.63
August 1, 2047	<u>1,785,000.00</u>	<u>27,890.63</u>	<u>1,812,890.63</u>
Total	\$13,600,000.00	\$8,655,026.58	\$22,255,026.58

Upon issuance of the Bonds, scheduled debt service on the School District's outstanding general obligation bond debt of SFID No. 1 (assuming no optional redemption of such general obligation bond debt) is shown in the following table. See "SCHOOL DISTRICT FINANCIAL INFORMATION—Long-Term Borrowings" for more information on the School District's outstanding bonded debt.

**Outstanding General Obligation Bond Debt Service
School Facilities Improvement District No. 1 of the Turlock Unified School District and
the Former Turlock Joint Elementary School District¹**

Year Ended June 30	Outstanding SFID No. 1 General Obligation Bonds ¹	Outstanding Former Turlock Elementary School District General Obligation Bonds	General Obligation Bonds, Election of 2016, Series 2019	Total General Obligation Bond Debt Service
2019	\$2,106,913	\$670,956	--	\$2,777,869
2020	2,336,663	666,056	\$318,923	3,321,642
2021	1,005,663	671,056	1,192,344	2,869,062
2022	1,006,163	665,606	1,281,594	2,953,362
2023	1,005,663	664,856	379,594	2,050,112
2024	1,009,163	668,656	379,594	2,057,412
2025	1,011,413	661,856	379,594	2,052,862
2026	1,017,413	664,756	379,594	2,061,762
2027	1,016,913	662,056	379,594	2,058,562
2028	1,020,863	663,906	379,594	2,064,362
2029	1,024,213	665,156	379,594	2,068,962
2030	1,026,244	--	379,594	1,405,838
2031	1,026,906	--	379,594	1,406,500
2032	1,036,919	--	379,594	1,416,513
2033	370,150	--	379,594	749,744
2034	788,509	--	849,994	1,638,503
2035	814,313	--	865,094	1,679,406
2036	833,631	--	898,394	1,732,025
2037	861,309	--	848,894	1,710,203
2038	877,325	--	877,019	1,754,344
2039	906,906	--	889,019	1,795,925
2040	929,463	--	914,894	1,844,356
2041	959,875	--	944,344	1,904,219
2042	983,450	--	982,144	1,965,594
2043	1,015,100	--	1,013,219	2,028,319
2044	1,042,400	--	1,047,569	2,089,969
2045	1,070,100	--	1,075,194	2,145,294
2046	1,100,100	--	1,115,313	2,215,413
2047	1,132,200	--	1,152,656	2,284,856
2048	--	--	1,812,891	1,812,891

¹Includes general obligation bond debt service issued by the School District on behalf of SFID No. 1 as well as to refund debt of the former Turlock Joint Elementary School District. Does not include general obligation bond debt service issued by the School District paid from property taxes levied on the entire area of the School District.

SECURITY AND SOURCE OF PAYMENT

Introduction

The Bonds are general obligation bonds of SFID No. 1 payable from *ad valorem* property taxes levied and collected by Stanislaus County and Merced County solely for the payment of principal of and interest on the Bonds and from amounts in the Tax Collection Fund. The Stanislaus County Board and the Merced County Board are empowered and obligated to levy *ad valorem* taxes upon all property in SFID No. 1 subject to taxation by the School District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates) in order to provide sufficient funds for repayment of principal of and interest on the Bonds when due. Although Stanislaus County and Merced County are obligated to levy and collect the *ad valorem* tax for the payment of the Bonds, the Bonds are not a debt of either Stanislaus County or Merced County.

The proceeds of such *ad valorem* tax, when collected, will be deposited into the Tax Collection Fund pursuant to Education Code Section 15251, which *ad valorem* taxes, together with the amounts on deposit in the Tax Collection Fund, are irrevocably pledged for the payment of principal of and interest on the Bonds when and as the same fall due, and such pledge constitutes a lien on and security interest in such *ad valorem* taxes and amounts in the Tax Collection Fund. Stanislaus County and Merced County will take all actions necessary to levy such *ad valorem* tax in accordance with Education Code Section 15250 *et seq.* and to cause the proceeds from such levy to be deposited into the Tax Collection Fund to pay the principal of and interest on the Bonds when due. The School District will direct the Stanislaus County Treasurer to transfer, at least one business day prior to each Interest Payment Date, from the Tax Collection Fund to the Paying Agent for deposit in the Debt Service Fund an amount sufficient to pay the principal and interest becoming due and payable on the Bonds on the next succeeding Interest Payment Date.

Various officers of Stanislaus County and Merced County are responsible for the performance of each function in the property taxation system within such county. Property tax revenues result from the application of the appropriate tax rate to the total net assessed value of taxable property in SFID No. 1. All property, including real, personal and intangible property, is taxable, unless granted an exemption by the State Constitution or United States law. Under the State Constitution, exempt classes of property include household and personal effects, intangible personal property (such as bank accounts, stocks and bonds), business inventories, and property used for religious, hospital, scientific and charitable purposes. The California Legislature (the "State Legislature") may create additional exemptions for personal property, but not for real property. Taxes on property located in a district with boundaries extending into more than one county are administered separately by each county in which the property is located (SFID No. 1 is located in both Stanislaus County and Merced County). In such districts, the rate of tax is determined by the district's primary county (SFID No. 1's primary county is Stanislaus County), and the primary county directs the secondary county to place the tax on the tax rolls. Taxes collected by the secondary county are sent to the primary county.

Taxes on real property located within SFID No. 1 are assessed and collected by Stanislaus County and Merced County in the same manner, at the same time, and in the same installments as other *ad valorem* taxes on real property located in Stanislaus County and Merced County. In addition to general obligation bonds issued on behalf of SFID No. 1, other entities with jurisdiction in or overlapping with SFID No. 1 may issue debt payable from *ad valorem* taxes also levied on parcels in SFID No. 1. Such taxes have the same priority, become delinquent at the same times and in the same proportionate amounts, and bear the same proportionate penalties and interest after delinquency, as *ad valorem* taxes levied for the payment of the Bonds and other general obligation bonds of SFID No. 1.

In no event is SFID No. 1 or the School District obligated to pay principal of and interest and redemption premium, if any, on the Bonds from any source of funds other than *ad valorem* taxes. However, nothing in the Resolution prevents SFID No. 1 or the School District from making advances of its moneys, howsoever derived, to any use or purpose permitted by law.

Statutory Lien on Ad Valorem Tax Revenues

Government Code Section 53515, which became effective as of January 1, 2016, provides that all general obligation bonds issued and sold by or on behalf of a local agency in the State, including the Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax. The lien automatically arises without the need for any action or authorization by the local agency or its governing board and is valid and binding from the time the bonds are executed and delivered. In addition, the revenues received pursuant to the levy and collection of the tax will be immediately subject to the lien, and the lien will automatically attach to the revenues and be effective, binding, and enforceable against the local agency,

such as the School District, as applicable, its successor, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for physical delivery, recordation, filing, or further tax.

Assessed Valuation of Property

The county assessor of Stanislaus County and the county assessor of Merced County (together, the “County Assessors”) must annually assess all taxable property in Stanislaus County and Merced County, respectively (except for “utility” property, assessed by the State), to the person, business or legal entity owning, claiming, possessing or controlling the property on January 1, the lien date. Property assessed by the County Assessors is subject to the reappraisal provisions set forth in the State Constitution. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES—Article XIII A of the State Constitution” herein. The duties of the County Assessors are to discover all assessable property, to inventory and list all taxable property, to value the property, and to enroll the property on the local assessment roll. Locally assessed taxable property is classified as either “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The secured roll contains real property sufficient, in the opinion of the County Assessors, to secure the payment of the taxes as a lien on real property. All other property is unsecured and assessed on the unsecured roll.

The secured roll also includes certain “utility” property, entered on the utility roll, located in Stanislaus County and Merced County but assessed by the State Board of Equalization (the “SBE”) rather than by the County Assessors. Such property includes property owned or used by State-regulated transportation and communications utilities such as railways, telephone and telegraph companies, companies transmitting or selling gas or electricity, and pipelines, flumes, canals and aqueducts lying within two or more counties. Property assessed by the SBE is not subject to the provisions of Proposition 13 (1978) and is annually reappraised at its market value as of January 1 and then allocated by formula among all the taxing jurisdictions in Stanislaus County and Merced County, respectively, including SFID No. 1. The growth or decline in the assessed valuation of utility property is shared by all jurisdictions in Stanislaus County and Merced County, respectively. The School District can make no predictions regarding the impact of the reorganization of regulated utilities and the transfer of electricity-generating property to non-utility companies on the amount of tax revenue collected. In general, the transfer of State-assessed property located in SFID No. 1 to non-utility companies will increase the assessed value of property in SFID No. 1, since the property’s value will no longer be divided among taxing jurisdictions in Stanislaus County and/or Merced County; the transfer of property located and taxed in SFID No. 1 to a State-assessed utility will, in general, reduce the assessed value in SFID No. 1, as the value is shared among the other jurisdictions in Stanislaus County and/or Merced County. The greater the total assessed value of all taxable property in SFID No. 1, the lower the tax rate necessary to generate taxes sufficient to pay scheduled debt service on the Bonds.

Shown in the following table are 10 years of historical assessed valuation in SFID No. 1. Total secured assessed value includes net local secured, secured homeowner exemption, and utility value. Total unsecured assessed value includes net local unsecured and unsecured homeowner exemption value.

**Historical Total Secured and Unsecured Assessed Valuation
School Facilities Improvement District No. 1 of the Turlock Unified School District**

<u>Year Ended June 30</u>	<u>Total Secured Assessed Value</u>	<u>Total Unsecured Assessed Value</u>	<u>Total Assessed Value</u>	<u>Percentage Change</u>
2010	\$4,684,782,000	\$198,119,537	\$4,882,901,537	--
2011	4,456,364,561	186,176,950	4,642,541,511	(4.92)%
2012	4,314,787,703	179,494,576	4,494,282,279	(3.19)
2013	4,135,411,309	177,470,688	4,312,881,997	(4.04)
2014	4,311,557,890	176,666,223	4,488,224,113	4.07
2015	4,745,204,359	190,783,042	4,935,987,401	9.98
2016	5,147,199,431	202,380,576	5,349,580,007	8.38
2017	5,481,713,345	225,915,997	5,707,629,342	6.69
2018	5,777,138,095	238,056,864	6,015,194,959	5.39
2019	6,072,256,099	267,020,149	6,339,276,248	5.39

Source: Stanislaus County Assessor and Merced County Assessor.

The School District may not issue bonds in excess of 1.25 percent of the assessed valuation of taxable property within the former Turlock Joint Elementary School District plus 1.25 percent of the assessed valuation of taxable property within the former Turlock Joint Union High School District. The School District's gross bonding capacity in fiscal year 2018-19 is approximately \$179.8 million. Concurrently with the Bonds, the School District intends to issue \$33,300,000 aggregate principal amount of Turlock Unified School District General Obligation Bonds, Election of 2016, Series 2019 (the "2019 USD Bonds"). Upon issuance of the Bonds and the 2019 USD Bonds, the School District will have remaining bonding capacity of approximately \$76.2 million. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES—Article XIII A of the State Constitution" herein.

Set forth in the following table is the historical assessed valuation by county for SFID No. 1.

**Historical Total Assessed Valuation by County
School Facilities Improvement District No. 1 of the Turlock Unified School District**

<u>Year Ended June 30</u>	<u>Stanislaus County Assessed Value</u>	<u>Percent of Total</u>	<u>Merced County Assessed Value</u>	<u>Percent of Total</u>	<u>Total Assessed Value</u>
2010	\$4,798,669,243	98.1%	\$94,762,041	1.9%	\$4,893,431,284
2011	4,591,625,795	98.0	93,880,301	2.0	4,685,506,096
2012	4,447,397,957	98.1	87,612,926	1.9	4,535,010,883
2013	4,278,201,462	97.9	89,655,657	2.1	4,367,857,119
2014	4,446,412,152	97.9	96,449,570	2.1	4,542,861,722
2015	4,882,953,386	97.9	102,684,099	2.1	4,985,637,485
2016	5,302,483,783	97.9	114,839,473	2.1	5,417,323,256
2017	5,785,866,801	97.8	131,281,492	2.2	5,917,148,293
2018	6,109,931,247	97.8	140,085,774	2.2	6,250,017,021
2019	6,504,968,962	97.7	149,831,857	2.3	6,654,800,819

Source: Stanislaus County Assessor and Merced County Assessor.

The remaining tables under this caption "SECURITY AND SOURCE OF PAYMENT" have been prepared by California Municipal Statistics, Inc. They have been included for general information purposes only. The School District has not independently verified and does not guarantee the accuracy of the information in such tables.

Shown in the following table is the distribution of total assessed value among the cities and unincorporated areas encompassed by SFID No. 1 for fiscal year 2018-19.

**Assessed Valuation by Jurisdiction
School Facilities Improvement District No. 1 of the Turlock Unified School District**

<u>Jurisdiction:</u>	<u>Assessed Valuation in School District</u>	<u>Percent of School District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>Percent of Jurisdiction in School District</u>
City of Turlock	\$5,883,105,143	92.80%	\$6,753,442,857	87.11%
Unincorporated Merced County	149,831,857	2.36	12,873,798,123	1.16
Unincorporated Stanislaus County	<u>306,339,248</u>	<u>4.83</u>	15,336,518,006	2.00
Total District	\$6,339,276,248	100.00%		
<u>Summary by County:</u>				
Merced County	\$149,831,857	2.36%	\$24,107,963,243	0.62%
Stanislaus County	<u>6,189,444,391</u>	<u>97.64</u>	49,523,600,525	12.50
Total District	\$6,339,276,248	100.00%		

Source: California Municipal Statistics, Inc.

Shown in the following table is a distribution of taxable real property located in SFID No. 1 by principal purpose for which the parcels are used along with the local secured assessed valuation (excludes homeowners' exemption) and number of parcels for each use for fiscal year 2018-19.

**Assessed Valuation and Parcels by Land Use
School Facilities Improvement District No. 1 of the Turlock Unified School District**

<u>Non-Residential:</u>	2018-19 <u>Assessed Valuation¹</u>	Percent of <u>Total</u>	Number of <u>Parcels</u>	Percent of <u>Total</u>
Agricultural/Rural	\$250,777,346	4.13%	719	3.45%
Commercial/Office	1,025,843,662	16.90	955	4.58
Vacant Commercial	54,930,461	0.90	145	0.70
Industrial	455,310,166	7.50	390	1.87
Vacant Industrial	33,099,190	0.55	131	0.63
Recreational	6,152,820	0.10	4	0.02
Government/Social/Institutional	<u>388,536</u>	<u>0.01</u>	<u>203</u>	<u>0.97</u>
Subtotal Non-Residential	\$1,826,502,181	30.09%	2,547	12.21%
<u>Residential:</u>				
Single Family Residence	\$3,626,715,719	59.74%	15,987	76.64%
Condominium	69,429,280	1.14	504	2.42
Mobile Home	16,818,314	0.28	453	2.17
Mobile Home Park	16,102,858	0.27	11	0.05
2-4 Residential Units	99,865,320	1.65	420	2.01
5+ Residential Units/Apartments	379,829,755	6.26	495	2.37
Miscellaneous Residential	1,497,614	0.02	5	0.02
Vacant Residential	<u>33,986,015</u>	<u>0.56</u>	<u>439</u>	<u>2.10</u>
Subtotal Residential	\$4,244,244,875	69.91%	18,314	87.79%
Total	\$6,070,747,056	100.00%	20,861	100.00%

¹Local secured assessed valuation, excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

The following table sets forth the assessed valuation of single-family homes within the boundaries of SFID No. 1 for fiscal year 2018-19.

Per-Parcel Assessed Valuation of Single-Family Homes
School Facilities Improvement District No. 1 of the Turlock Unified School District

	Number of <u>Parcels</u>	2018-19 <u>Assessed Valuation</u>	Average <u>Assessed Valuation</u>	Median <u>Assessed Valuation</u>
Single Family Residential	15,987	\$3,626,715,719	\$226,854	\$213,317

<u>2018-19 Assessed Valuation</u>	<u>Number of Parcels</u>	<u>Percent of Total</u>	<u>Cumulative Percent of Total</u>	<u>Total Valuation</u>	<u>Percent of Total</u>	<u>Cumulative Percent of Total</u>
\$0 - \$24,999	24	0.150%	0.150%	\$466,198	0.013%	0.013%
\$25,000 - \$49,999	285	1.783	1.933	11,286,199	0.311	0.324
\$50,000 - \$74,999	620	3.878	5.811	39,361,199	1.085	1.409
\$75,000 - \$99,999	751	4.698	10.509	65,706,761	1.812	3.221
\$100,000 - \$124,999	1,045	6.537	17.045	118,892,784	3.278	6.499
\$125,000 - \$149,999	1,441	9.014	26.059	198,716,641	5.479	11.979
\$150,000 - \$174,999	1,661	10.390	36.448	269,411,659	7.429	19.407
\$175,000 - \$199,999	1,499	9.376	45.825	280,728,874	7.741	27.148
\$200,000 - \$224,999	1,250	7.819	53.644	265,394,862	7.318	34.465
\$225,000 - \$249,999	1,275	7.975	61.619	303,269,324	8.362	42.828
\$250,000 - \$274,999	1,194	7.469	69.087	313,531,954	8.645	51.473
\$275,000 - \$299,999	1,205	7.537	76.625	346,331,581	9.549	61.022
\$300,000 - \$324,999	998	6.243	82.867	311,034,942	8.576	69.598
\$325,000 - \$349,999	714	4.466	87.333	240,677,360	6.636	76.235
\$350,000 - \$374,999	521	3.259	90.592	188,465,503	5.197	81.431
\$375,000 - \$399,999	417	2.608	93.201	161,343,552	4.449	85.880
\$400,000 - \$424,999	305	1.908	95.109	125,673,299	3.465	89.345
\$425,000 - \$449,999	247	1.545	96.654	107,828,148	2.973	92.318
\$450,000 - \$474,999	171	1.070	97.723	78,967,127	2.177	94.496
\$475,000 - \$499,999	132	0.826	98.549	64,181,681	1.770	96.265
\$500,000 and greater	<u>232</u>	<u>1.451</u>	100.000	<u>135,446,071</u>	<u>3.735</u>	100.000
Total	15,987	100.000%		\$3,626,715,719	100.000%	

Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Reassessments and Appeals of Assessed Value

State law allows for the appeal of a property's assessed value by property owners. Appeals may be based on Proposition 8 (1978) which requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the State Constitution" herein.

Under State law, property owners may apply for a Proposition 8 reduction of their property tax assessment by filing a written application, in form prescribed by the SBE, with a county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value.

Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. These reductions are subject to yearly reappraisals and are adjusted back to

their original values, adjusted for inflation, when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

Proposition 8 reductions may also be unilaterally applied by the County Assessors.

The School District can make no predictions as to the changes in assessed values within SFID No. 1 that might result from pending or future appeals of assessed valuation by taxpayers or temporary reductions in assessed valuation of property, as allowed under the State Constitution. Any reduction in aggregate assessed valuation within SFID No. 1 will cause the tax rate necessary to repay the Bonds to increase accordingly. Any refund of paid taxes triggered by a successful assessment appeal will be debited against all taxing agencies receiving such tax revenues, including SFID No. 1.

Tax Rates

The State Constitution permits the levy of an *ad valorem* tax on taxable property not to exceed one percent of the property's full cash value, plus the amount necessary to make annual payments due on general obligation bonds or other indebtedness incurred prior to July 1, 1978, any bonded indebtedness for the acquisition or improvement of real property approved by a two-thirds majority of voters on or after July 1, 1978, and certain bonded indebtedness for school facilities approved by 55 percent of the voters. The Stanislaus County Auditor-Controller computes the additional rate of tax necessary to pay such scheduled debt service, presents the tax rates for all taxing jurisdictions in Stanislaus County to the Stanislaus County Board and directs the Merced County Auditor-Controller to place the tax on the tax rolls in Merced County.

The tax rate necessary to pay debt service in a given year largely depends on the net assessed value of taxable property in that year. The net assessed value of taxable property may be affected by several factors, such as a general market decline in property values, reclassification of property to a class exempt from taxation, such as property owned by federal, State and local agencies or property used for certain educational, hospital, charitable or religious purposes, or the destruction of taxable property caused by natural or manmade disaster, such as earthquake, flood, fire, drought, toxic dumping, *etc.* Any of these instances could cause a reduction in the net assessed value of taxable property within SFID No. 1, necessitating a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the Bonds. Issuance of additional authorized bonds in the future might also cause the tax rate to increase.

One factor in the ability of taxpayers to pay additional taxes for general obligation bonds is the cumulative rate of tax on each parcel. The following table shows *ad valorem* property tax rates per \$100 of assessed value for the last five years in a typical tax rate area of SFID No. 1 (TRA 7-000). The fiscal year 2018-19 assessed valuation of TRA 7-000 is \$1,271,057,297, approximately 15.81 percent of the total assessed value of taxable property in SFID No. 1.

**Typical Total Tax Rates per \$100 of Assessed Valuation
TRA 7-000
School Facilities Improvement District No. 1 of the Turlock Unified School District**

	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>
General	\$1.000000	\$1.000000	\$1.000000	\$1.000000	\$1.000000
Turlock Joint School District	0.012444	0.012212	0.011311	0.010330	0.004785
Turlock Joint Unified School District SFID	0.013526	0.008390	0.007817	0.039005	0.034525
Turlock Joint Unified School District	0.046445	0.035941	0.033215	0.055805	0.068273
Yosemite Community College District	<u>0.021823</u>	<u>0.026920</u>	<u>0.023034</u>	<u>0.024068</u>	<u>0.025974</u>
Total	\$1.094238	\$1.083463	\$1.075377	\$1.129208	\$1.133557

Source: California Municipal Statistics, Inc.

The more property (by assessed value) that is owned by a single taxpayer, the more tax collections are exposed to weakness in the taxpayer's financial situation and their ability or willingness to pay property taxes. In fiscal year 2018-19, no single taxpayer owned more than 2.35 percent of the total secured taxable property in SFID No. 1.

The 20 taxpayers in SFID No. 1 with the greatest combined secured assessed valuation of taxable property on the fiscal year 2018-19 tax roll own property that comprises 11.50 percent of the local assessed valuation of secured property in SFID No. 1. These taxpayers, ranked by aggregate assessed value of taxable property as shown on the fiscal year 2018-19 secured tax roll and the amount of each owner's assessed valuation for all taxing jurisdictions within SFID No. 1 are shown in the following table.

Each taxpayer listed is a unique name on the tax rolls. The School District cannot determine from assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the list of largest taxpayers identified in the following table.

Largest Taxpayers
School Facilities Improvement District No. 1 of the Turlock Unified School District

<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2018-19 Assessed Valuation</u>	<u>Percent of Total</u>
1. Excel Monte Vista LP	Shopping Center	\$142,948,949	2.35%
2. Doctors Medical Center of Modesto Inc.	Medical Buildings	88,145,938	1.45
3. Foster Poultry Farms	Food Processing	69,537,570	1.15
4. Mid Valley Dairy Turlock	Food Processing	40,699,220	0.67
5. Sensient Dehydrated Flavors Inc.	Food Processing	38,751,352	0.64
6. Turlock Oak Park LLC	Apartments	37,698,936	0.62
7. Amcal Stanislaus LLC	Apartments	32,252,797	0.53
8. Nine Islands I & II LLC	Shopping Center	30,226,612	0.50
9. Sierra Oaks Apartment Associates LLC	Apartments	24,280,738	0.40
10. IREIT Turlock Blossom Valley LLC	Shopping Center	22,602,690	0.37
11. Costco Wholesale Corporation	Commercial	22,329,090	0.37
12. Supherb Farms	Food Processing	19,779,722	0.33
13. Dairy Farmers of America	Food Processing	18,204,553	0.30
14. Tivoli Boardwalk LLC	Apartments	17,765,254	0.29
15. SFC Park Knolls Investors LP	Apartments	16,963,265	0.28
16. Tapestry @ Silverwood LLC	Apartments	16,422,000	0.27
17. Core Park Place LLC	Apartments	16,278,497	0.27
18. Seasons at Turlock/Boise LLC	Assisted Living Facility	15,273,088	0.25
19. Alan J. Vallarine	Professional Building	14,389,352	0.24
20. Lowes HIW Inc.	Commercial	<u>13,876,000</u>	<u>0.23</u>
		\$698,425,623	11.50%

Fiscal year 2018-19 local secured assessed valuation: \$6,070,747,056.

Source: California Municipal Statistics, Inc.

Direct and Overlapping Bonded Debt

Contained within the boundaries of SFID No. 1 are numerous overlapping local entities providing public services which may have outstanding long-term obligations in the form of general obligation, lease revenue and special assessment bonds. Such obligations generally are not payable from revenues of SFID No. 1 (except as indicated), nor are they necessarily obligations secured by land within SFID No. 1. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The following table generally includes long-term obligations sold in the public credit markets by the public agencies listed. The first column in the table names each public agency which has outstanding debt as of April 1, 2019 and whose territory

overlaps that of SFID No. 1 in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of SFID No. 1. This percentage, multiplied by the total outstanding debt of each overlapping agency (not shown) produces the amount shown in the third column, which is the apportionment of each overlapping agency's outstanding debt to taxable property in SFID No. 1. Property owners within SFID No. 1 may be subject to other special taxes and assessments levied by other taxing authorities providing services within SFID No. 1. Such non-*ad valorem* special taxes and assessments (which are not levied to fund debt service) are not represented in the statement of direct and overlapping bonded debt.

Statement of Direct and Overlapping Bonded Debt (As of April 1, 2019)
School Facilities Improvement District No. 1 of the Turlock Unified School District

<u>2018-19 Assessed Valuation:</u>		
	<u>Percent</u>	<u>Debt as of</u>
	<u>Applicable</u>	<u>April 1, 2019</u>
<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>		
Merced Community College District School Facilities Improvement District No. 1	0.483%	\$145,649
Yosemite Community College District	9.279	25,069,436
Turlock Joint Unified School District and former High School District Bonds	78.831	22,328,881
Turlock Joint Unified School District former Elementary School Bonds	100.000	6,170,000
Turlock Unified School District School Facilities Improvement District No. 1	100.000	18,390,000
City of Turlock Community Facilities District No. 1	100.000	1,935,000
California Statewide Communities Development Authority 1915 Act Bonds	100.000	215,640
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$74,254,606
<u>OVERLAPPING GENERAL FUND DEBT:</u>		
Stanislaus County Certificates of Participation	12.498%	\$3,176,992
Stanislaus County Office of Education Certificates of Participation	12.498	272,456
Merced County Certificates of Participation	0.622	174,815
Merced County Office of Education Certificates of Participation	0.622	61,796
Turlock Joint Union High School District Certificates of Participation	78.831	4,402,885
TOTAL OVERLAPPING GENERAL FUND DEBT		\$8,088,944
<u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		\$32,584,750
COMBINED TOTAL DEBT		\$114,928,300
<u>Ratios to 2018-19 Assessed Valuation:</u>		
Direct Debt (\$24,560,000)	0.39%	
Total Direct and Overlapping Tax and Assessment Debt ..	1.17%	
Combined Total Debt	1.81%	
<u>Ratios to Redevelopment Successor Agencies Incremental Valuation (\$1,093,181,650):</u>		
Total Overlapping Tax Increment Debt	2.98%	

Excludes the 2019 USD Bonds to be sold.

Excludes the Bonds and the 2019 USD Bonds to be sold.

Excludes tax and revenue anticipation notes, revenue, mortgage revenue and non-bonded capital lease obligations.

Formerly Turlock Joint Elementary School District general obligation bonds which were assumed by Turlock Joint Unified School District upon unification of Turlock Joint Union High School District and Turlock Joint Elementary School District. The former Elementary School District is coterminous with Turlock Unified School District School Facilities Improvement District.

Source: California Municipal Statistics, Inc.

Tax Collections and Delinquencies

In both Stanislaus County and Merced County, property taxes are levied for each fiscal year on taxable real and personal property situated in the taxing jurisdiction assessed as of January 1, at which time the tax lien attaches. The tax collector of

Stanislaus County and the tax collector of Merced County (together, the “County Tax Collectors”) are each presented with a tax roll created from the combined rolls of the respective county assessor and the SBE. The County Tax Collectors prepare and mail tax bills to taxpayers and collect the taxes.

In both Stanislaus County and Merced County, property taxes on the regular secured assessment roll are due in two equal installments: the first installment is due on November 1, and becomes delinquent at 5:00 p.m. on December 10, after which time a ten percent penalty attaches. The second installment is due on February 1 and becomes delinquent at 5:00 p.m. on April 10, after which time a ten percent penalty plus a \$10 cost attaches in Stanislaus County while a ten percent penalty plus a \$20 cost attaches in Merced County. If taxes remain unpaid by 5:00 p.m. on June 30, the tax is deemed to be in default. After five years, Stanislaus County and Merced County generally have the power to sell tax-defaulted property that is not redeemed; the proceeds from such sale are applied to the payment of the delinquent taxes. Annual bills for property taxes on the unsecured roll are mailed no later than August 1. Taxes on the unsecured roll as of July 31, if unpaid are delinquent at 5:00 p.m. on August 31, and thereafter subject to a delinquent penalty of ten percent. Taxes added to the unsecured roll after July 31, if unpaid are delinquent and subject to a penalty of ten percent that attaches at 5:00 p.m., or the close of business, whichever is later, on the last day of the month succeeding the month of enrollment. Upon delinquency, Stanislaus County and Merced County may use the following collection methods: filing of liens, filing of summary judgments, seizure and sale of personal property, or seizure of State tax refunds or State lottery winnings.

As long as the Teeter Plan (as defined herein) remains in effect in both Stanislaus County and Merced County, SFID No. 1 will be credited with the full amount of the tax levy no matter the delinquency rate within SFID No. 1. See “—Alternative Method of Tax Apportionment” herein.

Alternative Method of Tax Apportionment

The Stanislaus County Board and the Merced County Board have both approved implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”) pursuant to the California Revenue and Taxation Code (the “Revenue and Taxation Code”) Section 4701 *et seq.* The Teeter Plan guarantees distribution to each local agency in each county an amount equal to 100 percent of the *ad valorem* taxes levied on their behalf on the secured roll within such county, with such county retaining all penalties and interest affixed upon delinquent properties and redemptions of subsequent collections.

The cash position of the county treasurer of each county that has implemented the Teeter Plan is protected by a special fund, known as the “Tax Loss Reserve Fund,” which accumulates moneys from interest and penalty collections. In any given fiscal year, when the amount in a county’s Tax Loss Reserve Fund exceeds a specified amount as prescribed by law, such excess amounts may be credited for the remainder of that fiscal year to such county’s general fund. Amounts required to be maintained in the Tax Loss Reserve Fund may be drawn on to the extent of the amount of uncollected taxes credited to each agency in advance of receipt.

The Teeter Plan is to remain in effect in a county unless the board of supervisors of such county orders its discontinuance or unless, prior to the commencement of any fiscal year of the county (which commences on July 1 for both Stanislaus County and Merced County), the board of supervisors receives a petition for its discontinuance from two-thirds of the participating revenue districts in that county. The board of supervisors may also, after holding a public hearing on the matter, discontinue the procedures with respect to any tax levying agency or assessment levying agency in the county if the rate of secured tax delinquency in that agency in any year exceeds three percent of the total of all taxes and assessments levied on the secured rolls in that agency.

If the Teeter Plan were discontinued in either Stanislaus County or Merced County, only those secured property taxes actually collected in the county that discontinued the Teeter Plan would be allocated to political subdivisions in such county, including SFID No. 1. Further, the tax revenues of SFID No. 1 would be subject to taxpayer delinquencies in such county, and SFID No. 1 would realize the benefit of interest and penalties collected from delinquent taxpayers in SFID No. 1, pursuant to law. As long as the Teeter Plan remains in effect in both Stanislaus County and Merced County, SFID No. 1 will be credited with the full amount of secured property tax levies no matter the delinquency rate within SFID No. 1.

STANISLAUS COUNTY TREASURY POOL

This section provides a general description of the Stanislaus County Investment Policy and current portfolio holdings. The information set forth under this section relating to the Stanislaus County Treasury Pool has been obtained from the Stanislaus County Treasurer and is believed to be reliable but is not guaranteed as to accuracy or completeness. The School District makes no representation as to the accuracy or completeness of such information. Further information may be obtained by contacting Stanislaus County, Office of the County Treasurer, 1010 Tenth Street, Suite 2500, Modesto, California 95354, telephone (209) 525-6388.

The Stanislaus County Treasurer manages the Stanislaus County Treasury Pool (the “Stanislaus County Pool”) in which certain funds of Stanislaus County and certain funds of other participating entities are pooled and invested pending disbursement. General participants are those government agencies within Stanislaus County, including SFID No.1 and the School District, for which the Stanislaus County Treasurer is statutorily designated as the custodian of such funds. The Stanislaus County Treasurer is the *ex officio* treasurer of each of these participating entities, and such entities are legally required to deposit their cash receipts and revenues in the Stanislaus County Treasury. Under State law, withdrawals are allowed only to pay for expenses that have become due. The governing board of each school district and special district within Stanislaus County may allow, by appropriate board resolution, certain withdrawals of non-operating funds for purposes of investing outside the Stanislaus County Pool. Some school districts have from time to time authorized the Stanislaus County Treasurer to purchase specified investments for certain school district funds to mature on predetermined future dates when cash would be required for disbursements. Other local agencies, such as special districts and cities for which the Stanislaus County Treasurer is not the statutorily designated fund custodian, may participate in the Stanislaus County Pool. Such participation is subject to the consent of the Stanislaus County Treasurer and must be in accordance with State law.

Funds held in the Stanislaus County Pool are invested by the Stanislaus County Treasurer in accordance with State law and the Stanislaus County Investment Policy, which is prepared by the Stanislaus County Treasurer and approved by the Stanislaus County Board. A copy of the Stanislaus County Investment Policy is attached hereto as “APPENDIX D.” The Stanislaus County Treasurer neither monitors investments for arbitrage compliance, nor does it perform arbitrage calculations. The School District will maintain or cause to be maintained detailed records with respect to the applicable proceeds.

The Stanislaus County Pool is invested in order to earn a reasonable return while awaiting application for governmental purposes. The specific objectives for the Stanislaus County Pool are ranked in order of importance: safety of principal, liquidity and yield. The yield to maturity of the Stanislaus County Pool for February 28, 2019 was 2.42 percent, with weighted average maturity of 357 days.

A summary description of the composition of the Stanislaus County Pool from the monthly investment report as of February 28, 2019 is provided in the following table.

**Stanislaus County Treasury Pool
As of February 28, 2019**

<u>Investments</u>	<u>Dollar Cost</u>	<u>Market Value</u>	<u>Percent of Portfolio</u>	<u>Policy Limit</u>	<u>Average Days to Maturity</u>	<u>YTM 360 Equiv.</u>
Negotiable Certificate of Deposit	\$210,000,000.00	\$210,079,850.00	15.07%	30.00%	153	2.78%
Commercial Paper	59,213,683.33	59,490,200.00	4.25	15.00	118	2.73
Managed Pool – LAIF	60,000,000.00	59,943,067.62	4.31	--	1	2.36
Agencies	354,243,479.62	353,336,427.55	25.43	--	301	2.23
Treasuries	471,632,807.56	470,780,300.00	33.86	--	533	2.23
Medium Term Notes	210,357,198.19	210,679,349.35	15.10	30.00	480	2.74
Money Market	<u>27,544,657.62</u>	<u>27,544,657.62</u>	<u>1.98</u>	--	<u>1</u>	<u>2.23</u>
Total Investments	\$1,392,991,826.32	\$1,391,853,852.14	100.00%		357	2.42%
Cash/Bank Balances	<u>7,991,475.02</u>	<u>7,991,475.02</u>				
Total	\$1,400,983,301.34	\$1,399,845,327.16				

Source: Stanislaus County Treasurer.

Neither the School District nor the Underwriter has made an independent investigation of the investments in the Stanislaus County Pool and has made no assessment of the current Stanislaus County Investment Policy. The value of the various investments in the Stanislaus County Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Stanislaus County Treasurer, upon the approval by the Stanislaus County Board, may change the Stanislaus County Investment Policy at any time. Therefore, there can be no assurance that the values of the various investments in the Stanislaus County Pool will not vary significantly from the values described therein.

CITY AND COUNTY ECONOMIC PROFILE

The information in this section concerning the economy of the City of Turlock and Stanislaus County is provided as supplementary information only and is not intended to be an indication of security for the Bonds. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of SFID No. 1 pursuant to applicable laws and State Constitutional requirements, and required to be levied by Stanislaus County and Merced County on all taxable property in SFID No. 1 in an amount sufficient for the timely payment of principal of and interest on the Bonds. See “SECURITY AND SOURCE OF PAYMENT” herein.

General Information

Stanislaus County, incorporated in 1854, is located in the center of the State’s Central Valley, approximately 100 miles east of the San Francisco Bay Area. Comprised of approximately 1,515 square miles, Stanislaus County is one of the top ten agricultural producers in the State, with almonds as its principal commodity, followed by milk. Stanislaus County has nine incorporated cities. Based on data compiled by CoreLogic, Inc., the median sale price of a single-family home in Stanislaus County was \$302,500 in February 2019, an increase of approximately 2.3 percent from \$295,750 in February 2018.

The City of Turlock, founded in 1871 and comprised of approximately 17 square miles, is the second largest city in Stanislaus County. Based on data compiled by CoreLogic, Inc., the median sale price of a single-family home in the City was \$311,500 in February 2019, an increase of approximately 3.8 percent from \$300,000 in February 2018.

Population

The following table displays estimated population as of January 1 for the past five years for the City, Stanislaus County and the State.

Historical Population City of Turlock, Stanislaus County, and the State of California

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
City of Turlock	71,418	72,454	73,409	74,392	74,730
Stanislaus County	529,850	534,905	541,006	549,976	555,624
State of California	38,568,628	38,912,464	39,179,627	39,500,973	39,809,693

Source: State Department of Finance.

Personal Income

Total personal income includes income from all sources including net earnings, dividends, interest and rent, and personal current transfer receipts received by residents in the region. *Per capita* personal income (“PCPI”) was \$42,793 in Stanislaus County in 2017, an increase of 3.6 percent from 2016 levels, compared to an increase of 4.0 percent statewide and 3.6 percent nationally. The following table shows PCPI for the Stanislaus County as well as for the State and the United States for the past five years for which data is available.

***Per Capita Personal Income* Stanislaus County, State of California and United States**

	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
Stanislaus County	35,486	38,476	40,935	41,305	42,793
State of California	49,173	52,237	55,679	57,497	59,796
United States	44,826	47,025	48,940	49,831	51,640

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Labor Force and Employment

The following table contains a summary of the City’s historical unemployment data for the past five years and for the most recent month available in the current year, not seasonally adjusted.

Historical Unemployment City of Turlock

	<u>Annual 2014</u>	<u>Annual 2015</u>	<u>Annual 2016</u>	<u>Annual 2017</u>	<u>Annual 2018</u>	<u>March 2019</u>
Total Labor Force	33,800	33,900	34,300	33,300	33,900	33,800
Number of Employed	30,400	31,000	31,700	31,300	32,300	32,000
Number of Unemployed	3,400	2,900	2,600	2,000	1,600	1,800
Unemployment Rate	10.0%	8.5%	7.6%	6.0%	4.8%	5.4%

Preliminary.

Source: State Employment Development Department.

The following table contains a summary of Stanislaus County's historical unemployment data for the past five years and for the most recent month available in the current year, not seasonally adjusted.

**Historical Unemployment
Stanislaus County**

	Annual <u>2014</u>	Annual <u>2015</u>	Annual <u>2016</u>	Annual <u>2017</u>	Annual <u>2018</u>	March <u>2019ⁱ</u>
Total Labor Force	241,200	241,600	243,500	243,300	243,500	244,300
Number of Employed	214,200	218,700	222,600	225,100	227,900	225,900
Number of Unemployed	26,900	22,900	21,000	18,200	15,600	18,400
Unemployment Rate	11.2%	9.5%	8.6%	7.5%	6.4%	7.5%

Preliminary.

Source: State Employment Development Department.

Employment by Industry

The following table shows labor patterns by type of industry from 2014 through 2018 by annual average, not seasonally adjusted, in Stanislaus County.

Historical Employment by Industry Stanislaus County^a

	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>
Total, All Industries	175,800	181,000	186,300	189,200	192,800
Total Farm	14,100	14,600	14,900	14,300	14,600
Total Nonfarm	161,700	166,400	171,500	174,800	178,300
Total Private	135,600	139,700	143,900	146,500	148,800
Goods Producing	28,700	29,800	30,700	30,800	31,000
Mining, Logging, and Construction	7,500	8,500	9,000	9,300	10,000
Manufacturing	21,200	21,300	21,800	21,400	21,000
Durable Goods	6,300	6,300	6,200	6,000	5,700
Nondurable Goods	14,900	15,100	15,600	15,500	15,300
Service Providing	132,900	136,600	140,800	144,100	147,300
Private Service Providing	106,800	110,000	113,200	115,700	117,800
Trade, Transportation & Utilities	34,800	35,800	37,000	37,100	37,600
Wholesale Trade	5,800	5,800	6,000	6,100	6,400
Retail Trade	21,800	22,400	22,700	23,200	23,300
Transportation, Warehousing & Utilities	7,200	7,500	8,200	7,700	7,900
Information	900	900	1,000	1,000	1,000
Financial Activities	5,300	5,200	5,300	5,300	5,300
Professional & Business Services	13,800	14,200	14,600	14,900	15,000
Educational & Health Services	29,900	30,900	31,200	32,600	33,800
Leisure & Hospitality	16,900	17,800	18,700	19,200	19,300
Other Services	5,200	5,300	5,400	5,700	5,800
Government	26,100	26,700	27,600	28,300	29,500
Federal Government	800	800	800	800	800
State & Local Government	25,300	25,900	26,800	27,500	28,700

^aData is reported for Modesto Metropolitan Statistical Area which is comprised of Stanislaus County.

Figures may not foot due to rounding.

Source: State Employment Development Department.

Major Employers

The following table provides a list of 10 major employers, corresponding number of employees and percent of total employment in Stanislaus County for fiscal year 2017-18.

Major Employers Stanislaus County

<u>Employer</u>	<u>Number of Employees</u>	<u>Percent of Total County Employment</u>
E& J Gallo Winery	6,700	2.97%
Stanislaus County	4,480	1.99
Modesto City Schools	3,556	1.58
Doctors Medical Center	2,600	1.15
Memorial Medical Center	2,400	1.06
Foster Farms	2,200	0.98
Del Monte Foods	2,010	0.89
Stanislaus Food Products	1,875	0.83
Ceres Unified School District	1,790	0.79
Save Mart Supermarkets	<u>1,650</u>	<u>0.73</u>
Total	29,261	12.97%
Total all other	<u>196,339</u>	<u>87.03</u>
Total companies or organizations	225,600	100.00%

Source: Stanislaus County, Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2018.

Commercial Activity

Total taxable sales during calendar year 2016 in the City were reported to be \$1,221,243,000, a 3.03 percent increase from the total taxable sales of \$1,185,279,000 reported during calendar year 2015.

The number of establishments selling merchandise subject to sales tax and the valuation of taxable transactions in the City for the past five years are presented in the following table. Data for calendar year 2017 is not yet available.

Taxable Retail Sales City of Turlock

	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
Sales Tax Permits	1,485	1,502	1,532	n/a	n/a
Taxable Sales (000's)	\$1,019,562	\$1,076,470	\$1,148,835	\$1,185,279	\$1,221,243

Beginning in 2015, the reporting criteria for the number of permits/outlets changed, making the data not comparable to prior years.

Source: State Board of Equalization.

Total taxable sales during calendar year 2016 in Stanislaus County were reported to be \$8,671,624,000, a 6.1 percent increase from the total taxable sales of \$8,172,288,000 reported during calendar year 2015.

The number of establishments selling merchandise subject to sales tax and the valuation of taxable transactions in Stanislaus County for the past five years are presented in the following table. Data for calendar year 2017 is not yet available.

**Taxable Retail Sales
Stanislaus County**

	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>
Sales Tax Permits	9,761	9,757	9,899	n/a	n/a
Taxable Sales (000's)	\$7,178,273	\$7,639,992	\$7,903,608	\$8,172,288	\$8,671,624

Beginning in 2015, the reporting criteria for the number of permits/outlets changed, making the data not comparable to prior years.

Source: State Board of Equalization.

Construction Activity

Estimated new privately-owned residential housing units authorized by building permits and total construction costs in Stanislaus County for the past five years for which data is available are shown in the following table.

**New Residential Building Permits
Stanislaus County**

	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>
Single-Family Residential Units	280	404	413	573	644
Multi-Family Residential Units	<u>39</u>	<u>50</u>	<u>0</u>	<u>0</u>	<u>75</u>
Total New Building Permits	319	454	413	573	719
Total Construction Costs (000's)	\$63,367,424	\$97,036,179	\$93,426,404	\$116,155,714	\$170,165,090

Source: U.S. Bureau of the Census, Building Permit Estimates.

SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1

SFID No. 1 was established by the School Board on July 6, 2006 pursuant to the provisions of State law, specifically Chapter 2 of Part 10 of the Education Code Section 15300 *et seq.*, for the purpose of holding a bond election within the boundaries of SFID No. 1. The formation of SFID No. 1 allows the School District to finance school capital improvements from *ad valorem* taxes levied only against property located within the designated boundaries of SFID No. 1, which consists of all of the territory located within the boundaries of the former Turlock Joint Elementary School District. SFID No. 1 encompasses approximately 30 square miles, including the incorporated area of the City of Turlock and certain unincorporated areas lying along Highway 99, one of the main routes linking the Central San Joaquin Valley to the City of Los Angeles to the south and the City of Sacramento, the State capital, to the north.

The School Board has the same rights, powers, duties and responsibilities with respect to the formation and government of SFID No. 1 as it has with respect to the School District. SFID No. 1 has no legal authority beyond the issuance of approved bonds and taxation therefor.

THE SCHOOL DISTRICT

It should not be inferred from the inclusion of the information in this section concerning the operations of the School District and its finances that the principal of or interest on the Bonds is payable from the General Fund. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of SFID No. 1 pursuant to applicable laws and State Constitutional requirements, and required to be levied by Stanislaus County and Merced County on all taxable property in SFID No. 1 in an amount sufficient for the timely payment of principal of and interest on the Bonds. See “SECURITY AND SOURCE OF PAYMENT” herein.

All tables included in this section “THE SCHOOL DISTRICT” are from the School District unless a source is otherwise indicated.

General Information

The School District, a political subdivision of the State, was established in 2004 upon the unification of Turlock Joint Elementary School District and Turlock Joint Union High School District. The School District encompasses approximately 100 square miles, approximately 98 percent of which is located in the south-central portion of Stanislaus County, with the remaining portion located in the north-central portion of Merced County. The territory covered by the School District includes the City of Turlock and certain unincorporated areas on either side of Highway 99, a main route linking the central San Joaquin Valley to the City of Los Angeles to the south and the City of Sacramento, the State capital, to the north. The School District serves a population of approximately 86,200 people.

The School District provides education to approximately 14,000 students in transitional kindergarten through twelfth grade as well as additional students in adult education and a charter school. The School District operates nine elementary schools, one grade 6-8 middle school, one grade 7-8 junior high school, two comprehensive high schools, one continuation high school, one fiscally dependent K-12 charter school, and an adult school.

The School Board of Trustees and Key Administrative Personnel

The School Board governs all activities related to public education within the jurisdiction of the School District. The School Board has decision-making authority, the power to designate management, the responsibility to significantly influence operations and is accountable for all fiscal matters relating to the School District.

The School Board consists of seven members. Each member of the School Board is elected by the public for a four-year term of office. Elections for the School Board are held every two years, alternating between three and four positions available. A president of the School Board is elected by the members each year.

The members of the School Board, together with their office and the date their term expires, are set forth in the following table.

School Board of Trustees Turlock Unified School District

<u>Name</u>	<u>Title</u>	<u>Term Expires</u>
Lori Carlson	President	December 2022
Frank M. Lima	Clerk	December 2020
Jeffrey Cortinas	Member	December 2022
Barney Gordon	Member	December 2020
Mary Jackson	Member	December 2022
Ken Malech	Member	December 2020
Anthony Silva	Member	December 2020

The Superintendent of the School District is appointed by and reports to the School Board. The Superintendent is responsible for managing the School District's day-to-day operations and supervising the work of other key School District administrators. The current members of the School District's administration and positions held are set forth on page "iv" of this Official Statement.

Enrollment

Student enrollment determines to a large extent the amount of funding a State public school district receives for program, facilities and staff needs. Average daily attendance ("ADA") is a measurement of the number of pupils attending classes of the School District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, and public charter schools, inter-school district transfers in or out, and other causes. Losses in enrollment will cause a school district to lose operating revenues, without necessarily permitting the school district to make adjustments in fixed operating costs. The ADA as of the last day of the last full attendance month concluding prior to April 15 ("P-2 ADA") is used by the State as the basis for State apportionments.

Set forth in the following table is the historical and current fiscal year estimated P-2 ADA for the School District.

**Average Daily Attendance
Turlock Unified School District**

	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19²</u>
P-2 ADA ¹	12,996	13,167	13,166	13,208	13,242	13,312	13,458

¹Excluding charter school average daily attendance.

²Estimated as of the fiscal year 2018-19 second interim report.

Charter Schools

There are two charter schools operating within the School District, eCademy Charter at Crane, serving approximately 142 students in transitional kindergarten through twelfth grade in fiscal year 2017-18, and Fusion Charter School, serving approximately 97 students in seventh through twelfth grade in fiscal year 2017-18. The eCademy Charter at Crane is fiscally dependent on the School District. The eCademy Charter at Crane operates, to a certain extent, under the financial control of the School District, with its financial activities presented in the School District's financial statements. See "APPENDIX A" attached hereto. Fusion Charter is fiscally independent of the School District, and its financial activities are not presented in the School District's financial statements.

Charter schools can adversely affect school district funding, either by reducing funded enrollment at the school district or, for community-funded school districts, by increasing the in-lieu property tax transfer. However, certain per-pupil expenditures of a school district also decrease based upon the number of students enrolled in charter schools. Pursuant to Proposition 39, school districts are required to provide facilities reasonably equivalent to those provided to regular school district students for charter schools having a projected average daily attendance of at least 80 or more students from that school district.

Employee Relations

State law provides that employees of public school districts of the State are to be divided into appropriate bargaining units which then may be represented by an exclusive bargaining agent. The School District has three recognized bargaining units representing its non-management employees. The Turlock Teachers Association ("TTA") is the exclusive bargaining unit for the non-management certificated personnel of the School District. The California School Employees Association, Chapter #56 ("CSEA #56") is the exclusive bargaining unit for the non-management classified, paraprofessional, operations and support services employees of the School District. The Turlock Classified-American Federation of Teachers ("TC-AFT") is the exclusive bargaining unit for the non-management classified, clerical employees of the School District.

Set forth in the following table are the School District's bargaining units, number of full-time equivalents ("FTEs") budgeted for fiscal year 2018-19 as of the second interim report and contract status.

**Bargaining Units, Number of Employees and Contract Status
Turlock Unified School District**

<u>Bargaining Unit</u>	<u>Full-Time Equivalents</u>	<u>Contract Status</u>
TTA	733	Settled for fiscal year 2018-19
CSEA #56	463	Settled for fiscal year 2018-19
TC-AFT	139	Settled for fiscal year 2018-19

The School District has an additional 131 management and confidential FTEs not represented by a bargaining unit budgeted for fiscal year 2018-19 as of the second interim report.

Pension Plans

All full-time employees of the School District, as well as certain part-time employees, are eligible to participate under defined benefit retirement plans maintained by agencies of the State. Qualified certificated employees are eligible to participate in the cost-sharing multiple-employer State Teachers' Retirement System ("STRS"). Qualified classified employees are eligible to participate in the cost-sharing multiple-employer Public Employees' Retirement Fund of the Public Employees' Retirement System ("PERS"), which acts as a common investment and administrative agent for participating public entities within the State.

The School District accounts for its pension costs and obligations pursuant to *Governmental Accounting Standards Board ("GASB") Statement No. 67, Financial Reporting for Pension Plans ("GASB 67")* and *Statement No. 68, Accounting and Financial Reporting for Pensions ("GASB 68")* which replaced GASB Statements Nos. 25 and 27, respectively. GASB 68 requires an employer that provides a defined benefit pension, such as the School District, to recognize and report its long-term obligation for pension benefits as a liability as it is earned by employees. The School District implemented the new reporting standards as reflected in the School District's financial statements for fiscal year 2014-15. See "APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE SCHOOL DISTRICT FOR THE YEAR ENDED JUNE 30, 2018" attached hereto.

STRS—Description and Contributions. STRS operates under the Education Code sections commonly known as the State Teachers' Retirement Law. Membership is mandatory for all certificated employees of State public schools meeting the eligibility requirements. STRS provides retirement, disability and death benefits to beneficiaries. Benefits are based on members' final compensation, age and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, in 2014 the State passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by statute to contribute 8.25 percent of eligible salary expenditures, while participants contributed 8.0 percent of their respective salaries. On June 24, 2014, the Governor of California (the "Governor") signed AB 1469 ("AB 1469") into law as a part of the State's fiscal year 2014-15 budget. AB 1469 sought to

fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the “2014 Liability”), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing on July 1, 2014, the employee contribution rate increased over a three-year phase-in period. Pursuant to the California Public Employees’ Pension Reform Act of 2013, the contribution rates for members hired after January 1, 2013 will be adjusted if the normal cost increases by more than one percent since the last time the member contribution was set. The following table sets forth STRS member contribution rates for the past four years and the current year.

**Member Contribution Rates
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired On or after January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205
July 1, 2017	10.250	9.205
July 1, 2018	10.250	10.205

Sources: AB 1469 and STRS.

Pursuant to AB 1469, K-14 school districts’ contribution rate will increase over a seven-year phase in period in accordance with the schedule set forth in the following table.

**Employer Contribution Rates
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 School Districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Percentage of eligible salary expenditures to be contributed.

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter, the STRS Teachers’ Retirement Board (the “STRS Board”) is required to increase or decrease the K-14 school districts’ contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than one percent of creditable compensation upon which members’ contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25 percent. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The State also contributes to STRS, currently in an amount equal to 7.328 percent of covered STRS member payroll for fiscal year 2018-19. The State’s contribution reflects a base contribution rate of 2.017 percent, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State’s contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to

benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5 percent of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the “SBPA”), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85 percent of the purchasing power of their initial allowance.

The School District’s actual STRS contributions for fiscal years 2011-12 through 2017-18 and budgeted STRS contributions for fiscal year 2018-19 as of the second interim report are set forth in the following table.

**STRS Employer Contributions
Turlock Unified School District**

<u>Fiscal Year</u>	<u>School District Contribution Rate</u>	<u>School District Contributions¹</u>	<u>Total School District Governmental Funds Expenditures</u>	<u>School District Contributions as Percentage of Total Governmental Funds Expenditures</u>
2011-12	8.25%	\$4,680,325	\$129,583,461	3.61%
2012-13	8.25	4,573,471	144,878,525	3.16
2013-14	8.25	4,942,744	132,746,147	3.72
2014-15	8.88	5,496,799	144,018,631	3.82
2015-16	10.73	6,894,493	150,697,747	4.58
2016-17	12.58	8,477,486	166,109,010	5.10
2017-18	14.43	9,992,905	177,569,408	5.63
2018-19 ²	16.28	18,350,702 ³	180,983,915	10.14

¹In each instance equal to 100 percent of the required contribution.

²Budgeted as of the fiscal year 2018-19 second interim report.

³Includes State on-behalf payment of \$5,536,042. Excluding the State on-behalf payment would reduce the School District contribution as percentage of total governmental funds expenditures in fiscal year 2018-19 to 7.30 percent.

PERS—Description and Contributions. All full-time classified employees of the School District as well as certain part-time classified employees participate in PERS, which provides retirement and disability benefits, annual cost-of-living adjustments and death benefits to plan members and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member’s final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 55 with benefits equal to 2.0 percent of final compensation for each year of service credit. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 62 with benefits equal to 2.0 percent of final compensation for each year of service credit. All members are eligible for non-duty disability benefits after five years of service. Active plan members with an enrollment date prior to January 1, 2013 are required to contribute seven percent of their salary, while active plan members with an enrollment date on or after January 1, 2013 are required to contribute the greater of 50 percent of normal costs or six percent of their salary, and for fiscal year 2018-19 the rate is also 7.0 percent. The School District is required to pay an actuarially determined rate.

The School District's actual PERS contributions for fiscal years 2011-12 through 2017-18 and budgeted PERS contributions for fiscal year 2018-19 as of the second interim report are set forth in the following table.

**PERS Employer Contributions
Turlock Unified School District**

<u>Fiscal Year</u>	<u>School District Contribution Rate</u>	<u>School District Contributions¹</u>	<u>Total School District Governmental Funds Expenditures</u>	<u>School District Contributions as Percentage of Total Governmental Funds Expenditures</u>
2011-12	10.923%	\$1,943,954	\$129,583,461	1.50%
2012-13	11.417	2,066,601	144,878,525	1.43
2013-14	11.442	2,059,277	132,746,147	1.55
2014-15	11.771	2,352,910	144,018,631	1.63
2015-16	11.847	2,604,520	150,697,747	1.73
2016-17	13.888	3,208,666	166,109,010	1.93
2017-18	15.531	3,841,192	177,569,408	2.16
2018-19 ²	18.062	4,941,698	180,983,915	2.73

¹In each instance equal to 100 percent of the required contribution.

²Budgeted as of the fiscal year 2018-19 second interim report.

Unfunded Liabilities and Pension Expense Reporting. Both STRS and PERS have substantial statewide, unfunded liabilities. The amount of these liabilities will vary depending on actuarial assumptions, returns on investment, salary scales and participant contributions. The actuarial funding method used in the STRS actuarial valuation as of June 30, 2017 is the entry age normal cost method, and assumes, among other things, a 7.0 percent investment rate of return, 3.0 percent interest on member accounts, projected 2.75 percent inflation, and projected payroll growth of 3.5 percent.

The following table shows the statewide funding progress of the STRS plan for the previous seven years.

**Funding Progress
California State Teachers' Retirement System (STRS)¹**

<u>Actuarial Valuation Date as of June 30</u>	<u>Actuarial Value of Plan Assets</u>	<u>Actuarial Accrued Liability</u>	<u>Total Unfunded Actuarial Liability</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>Unfunded Liability as a Percentage of Payroll</u>
2011	\$143,930	\$208,405	\$64,475	69%	\$26,592	242%
2012	144,232	215,189	70,957	67	26,404	269
2013	148,614	222,281	73,667	67	26,483	278
2014	158,495	231,213	72,718	69	26,398	275
2015	165,553	241,753	76,200	69	28,640	266
2016	169,976	266,704	96,728	64	30,324	319
2017	179,689	286,950	107,261	63	n/a	n/a

¹Dollars in millions.

Source: California State Teachers' Retirement System, Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2017; California State Teachers' Retirement System, Defined Benefit Program Actuarial Valuation for Fiscal Year Ended June 30, 2017.

Pursuant to Government Code Section 20840 *et seq.*, PERS is authorized to create risk pools for public agencies, combining assets and liabilities across employers in large risk-sharing pools to help reduce the large fluctuations in the employer's contribution rate caused by unexpected demographic events. The "Schools Pool" provides identical retirement benefits to nearly all classified school employees in the State. The actuarial funding method used in the Schools Pool Actuarial Valuation

as of June 30, 2017 (the “2017 PERS Actuarial Valuation”) is the entry age normal cost method, and assumes, among other things, a 7.375 percent investment rate of return and projected 2.75 percent inflation; projected payroll growth varies by entry age and service.

In December 2016, PERS approved a plan to reduce the assumed investment rate of return from 7.5 percent to 7.0 percent over a three-year period. Based on the 2017 PERS Actuarial Valuation, the three-year phased in reduction of the discount rate is currently projected to result in a 25.5 percent employer contribution rate by fiscal year 2023-24. Such projections contained in the 2017 PERS Actuarial Valuation assume that all other actuarial assumptions will be realized and no changes to assumptions, contributions, benefits or funding will occur during the projected period.

The following table shows the statewide funding progress of the PERS plan for the previous seven years.

**Funding Progress
Public Employees’ Retirement System (PERS)**

<u>Actuarial Valuation Date as of June 30</u>	<u>Market Value of Plan Assets</u>	<u>Actuarial Accrued Liability</u>	<u>Total Unfunded Actuarial Liability</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>Unfunded Liability as a Percentage of Payroll</u>
2011	\$45,901	\$58,358	\$12,457	78.7%	\$10,540	118.2%
2012	44,854	59,439	14,585	75.5	10,242	142.4
2013	49,482	61,487	12,005	80.5	10,424	115.2
2014	56,838	65,600	8,761	86.6	11,294	77.6
2015	56,814	73,325	16,511	77.5	12,098	136.5
2016	55,785	77,544	21,759	71.9	13,022	167.1
2017	60,865	84,416	23,551	72.1	13,683	172.1

Dollars in millions.

Source: California Public Employees’ Retirement System, Schools Pool Actuarial Valuation as of June 30, 2017.

For the year ended June 30, 2018, the School District’s combined recognized pension expense was \$11,059,498. The School District’s net pension liability (“NPL”) as of June 30, 2018 was \$160,446,532.

The School District’s proportionate share of the State net pension liability as reported in the audited financial statements for fiscal years 2014-15, the first year for which the data was provided, through 2017-18 are set forth in the following tables.

**Proportionate Share of the Net Pension Liability—STRS
Turlock Unified School District**

<u>Fiscal Year</u>	<u>Proportion of Statewide Net Pension Liability</u>	<u>Proportionate Share of Statewide Net Pension Liability</u>	<u>Covered Employee Payroll</u>	<u>Proportionate Share of Statewide Liability as Percentage of Covered Employee Payroll</u>	<u>Fiduciary Net Position as Percentage of Total Pension Liability</u>
2014-15	0.1340%	\$78,305,580	\$57,827,047	135%	77%
2015-16	0.1306	87,945,115	59,911,984	147	74
2016-17	0.1282	103,681,340	61,900,890	168	70
2017-18	0.1266	117,081,605	67,388,601	174	69

**Proportionate Share of the Net Pension Liability—PERS
Turlock Unified School District**

<u>Fiscal Year</u>	<u>Proportion of Net Pension Liability</u>	<u>Proportionate Share of Net Pension Liability</u>	<u>Covered Employee Payroll</u>	<u>Proportionate Share of Statewide Liability as Percentage of Covered Employee Payroll</u>	<u>Fiduciary Net Position as Percentage of Total Pension Liability</u>
2014-15	0.1770%	\$20,093,810	\$16,645,910	121%	83%
2015-16	0.1789	26,353,721	17,997,524	146	79
2016-17	0.1835	36,237,590	19,989,041	181	74
2017-18	0.1817	43,364,927	23,103,874	188	72

The School District is unable to predict the future amount of State pension liabilities or the amount of required School District contributions. Pension plan, annual contribution requirements and liabilities are more fully described in “APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE SCHOOL DISTRICT FOR THE YEAR ENDED JUNE 30, 2018” attached hereto.

Other Postemployment Benefits (OPEB)

In addition to the pension benefits described above, the School District provides postemployment health care benefits (known as “other postemployment benefits,” or “OPEB”) as part of a single-employer defined benefit plan (the “OPEB Plan”). The OPEB Plan is administered by the School District and allows employees who retire after achieving retirement eligibility requirements to continue to receive medical coverage. The School Board has the authority to establish or amend benefit terms offered by the OPEB Plan, and also retains the authority to establish the requirements for paying for the OPEB Plan’s benefits as they come due. As of June 30, 2018, there were 1,569 participants in the OPEB Plan, including 127 inactive members or beneficiaries receiving benefits payments and 1,442 active members.

On June 2, 2015, GASB approved *Statement No. 74 Financial Reporting for Post Employment Benefit Plans Other Than Pension Plans* (“GASB 74”) and *Statement No. 75 Accounting and Financial Reporting for Post Employment Benefits Other Than Pensions* (“GASB 75”) with respect to pension accounting and financial reporting standards for public sector post-retirement benefit programs and the employers that sponsor them. GASB 74 and GASB 75 replace GASB Statements No. 43, 57 and 45.

GASB 74 and GASB 75 require a liability for OPEB obligations, known as the net OPEB liability (the “NOL”), to be recognized on the balance sheet of the plan and the participating employer’s financial statements. In addition, an OPEB expense will be recognized in the income statement of the participating employers. In the notes to its financial statements, employers providing OPEB will also have to include information regarding the year-to-year change in the NOL and a sensitivity analysis of the NOL to changes in the discount rate and healthcare trend rate. GASB 74 and GASB 75 are directed at quantifying and disclosing OPEB obligations, and do not impose any requirement on public agencies to fund such obligations.

GASB 74 has an effective date for plan fiscal years beginning after June 15, 2016, and GASB 75 will be effective for employer fiscal years beginning after June 15, 2017. The School District recognized GASB 74 and GASB 75 in its financial statements for fiscal year 2017-18.

The School District’s total OPEB liability (the “TOL”) as of June 30, 2018 is \$13,764,742. The School District has not set aside moneys in an irrevocable trust with which to pay the TOL, consequently, the NOL is also \$13,764,742. While the School District has not set aside moneys in an irrevocable trust to pay OPEB, the School District has established a Special Reserve Fund for Postemployment Benefits (the “Special Reserve for OPEB”) for the purpose of paying future OPEB expenses. Funds in the Special Reserve for OPEB can be used purposes other than paying OPEB upon School Board action. As of June 30, 2018, the School District had \$9,385,707 in its Special Reserve for OPEB, with an additional transfer in of \$1.35 million budgeted for fiscal year 2018-19 as of the second interim report.

The School District's OPEB expense in fiscal year 2017-18 was \$1,370,508. The OPEB expense is the amount recognized in accrual basis financial statements as the current period expense. The OPEB expense includes the service cost, interest and certain changes in the NOL, adjusted to reflect deferred inflows and outflows.

The School District funds its OPEB liability on a "pay-as-you go" basis. The School District's OPEB expenditures were \$179,926 in fiscal year 2016-17, were \$145,001 in fiscal year 2017-18, and are budgeted to be \$192,267 in fiscal year 2018-19 as of the second interim report. See "APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE SCHOOL DISTRICT FOR THE YEAR ENDED JUNE 30, 2018" for additional information regarding the School District's OPEB.

SCHOOL DISTRICT FINANCIAL INFORMATION

It should not be inferred from the inclusion of the information in this section concerning the operations of the School District and its finances that the principal of or interest on the Bonds is payable from the General Fund. The Bonds are payable from the proceeds of an ad valorem tax, approved by the voters of the School District pursuant to applicable laws and State Constitutional requirements, and required to be levied by Stanislaus County and Merced County on all taxable property in the School District in an amount sufficient for the timely payment of principal of and interest on the Bonds. See "SECURITY AND SOURCE OF PAYMENT" herein.

All tables in this section "SCHOOL DISTRICT FINANCIAL INFORMATION" are from the School District unless a source is otherwise indicated.

Accounting Practices

The School District accounts for its financial transactions in accordance with the policies and procedures of the State Department of Education's *California School Accounting Manual*, which, pursuant to Education Code Section 41010, is to be followed by all school districts in the State. The accounting policies of the School District conform to accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and the American Institute of Certified Public Accountants.

The School District's financial statements consist of government-wide statements and fund-based financial statements. Government-wide statements, consisting of a statement of net assets and a statement of activities, report all the assets, liabilities, revenue and expenses of the School District and are accounted for using the economic resources measurement focus and accrual basis of accounting. The fund-based financial statements consist of a series of statements that provide information about the School District's major and non-major funds. Governmental funds, including the General Fund, special revenues funds, capital project funds and debt service funds, are accounted for using the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recognized in the accounting period in which they become measurable and available, while expenditures are recognized in the period in which the liability is incurred, if measurable. Proprietary funds and fiduciary funds are accounted for using the economic resources measurement focus and accrual basis of accounting. See "NOTE 1" in "APPENDIX A" attached hereto for a further discussion of applicable accounting policies.

The independent auditor for the School District in fiscal year 2017-18 was Vavrinek, Trine, Day & Co., LLP, Fresno, California (the "Auditor"). The financial statements of the School District as of and for the year ended June 30, 2018, are set forth in "APPENDIX A" attached hereto. The School District has not requested nor did the School District obtain permission from the Auditor to include the audited financial statements as an appendix to this Official Statement. The Auditor has not been engaged to perform and has not performed, since the date of its report attached hereto, any procedures on the financial statements addressed in that report. The Auditor also has not performed any procedures relating to this Official Statement.

Budget and Financial Reporting Process

The General Fund finances the legally authorized activities of the School District for which restricted funds are not provided. General Fund revenues are derived from such sources as federal and State school apportionments, taxes, use of money and property, and aid from other governmental agencies.

The School District is required by provisions of the Education Code to maintain a balanced budget each year, where the sum of expenditures plus the ending fund balance cannot exceed revenues plus the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting format for all school districts.

The fiscal year for all State school districts and county offices of education is July 1 to June 30. Because most school districts depend on State funds for a substantial portion of revenue, the State budget is an extremely important input in the school district budget preparation process. However, there is very close timing between final approval of the State budget (legally required by June 15), the adoption of the associated school finance legislation, and the adoption of local school district budgets. In some years, the State budget is not approved by the legal deadline which forces school districts to begin the new fiscal year with only estimates of the amount of funding they will actually receive.

The school district budgeting process involves continuous planning and evaluation. Within the deadlines, school districts work out their own schedules for considering whether or not to hire or replace staff, negotiating contracts with all employees, reviewing programs, and assessing the need to repair existing or acquire new facilities. Decisions depend on the critical estimates of enrollment, fixed costs, commitments in contracts with employees as well as best guesses about how much money will be available for elementary and secondary education. The timing of some decisions is forced by legal deadlines. For example, preliminary layoff notices to teachers must be delivered in March, with final notices in May. This necessitates projecting enrollments and determining staffing needs long before a school district will know either its final financial position for the current year or its revenue for the next year.

School districts must adopt an annual budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The governing board of the school district must not adopt a budget before the governing board adopts a local control and accountability plan (the "LCAP") for that budget year. See "FUNDING OF PUBLIC EDUCATION IN THE STATE" herein.

The county superintendent will examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance, will determine if the budget allows the school district to meet its current obligations, will determine if the budget is consistent with a financial plan that will enable the school district to meet its multi-year financial commitments, and will determine if the budget ensures the fiscal solvency and accountability for the goals outlined in the LCAP. On or before September 15, the county superintendent will approve or disapprove the adopted budget for each school district within its jurisdiction based on these standards. The school district board must be notified by September 15 of the county superintendent's recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent's recommendations. The committee must report its findings no later than September 20. Any recommendations made by the county superintendent must be made available by the school district for public inspection. The law does not provide for conditional approvals; budgets must be either approved or disapproved. No later than October 22, the county superintendent must notify the State Superintendent of Public Instruction (the "State Superintendent") of all school districts whose budget may be disapproved, and no later than November 8, the county superintendent must notify the State Superintendent of all school district budgets that have been disapproved or budget committees waived.

For school districts whose budgets have been disapproved, the school district must revise and readopt its budget by October 8, reflecting changes in projected income and expense since July 1, and responding to the county superintendent's recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final school district budgets and not later than November 8, will approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code Section 42127.1. Until a school district's budget is approved, the school district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Under the provisions of State Assembly Bill 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent two fiscal years. Each school district is required by the Education Code to file two interim reports each year—the first report for the period ending October 31 by not later than December 15, and the second report for the period ending January 31 by not later than March 15. Each interim report shows fiscal year-to-date financial operations and the current budget, with any budget amendments made in light of operations and conditions to that point. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that

may not meet its financial obligations for the current fiscal year or subsequent two fiscal years. If either the first or second interim report is not positive, the county superintendent may require the school district to provide a third interim report by June 1 covering the period ending April 30. If not required, a third interim report is generally not prepared (though may be at the election of the school district).

The county superintendent must annually present a report to the governing board of the school district and the State Superintendent of Public Instruction regarding the fiscal solvency of any school district with a disapproved budget, qualified interim certification, or negative interim certification, or that is determined at any time to be in a position of fiscal uncertainty, pursuant to Education Code Section 42127.6. Any school district with a qualified or negative certification must allow the county office of education at least 10 working days to review and comment on any proposed agreement made between its bargaining units and the school district before it is ratified by the school district board (or the state administrator). The county superintendent will notify the school district, the county board of education, the school district governing board and the school district superintendent (or the state administrator), and each parent and teacher organization of the school district within those 10 days if, in his or her opinion, the agreement would endanger the fiscal well-being of the school district. Also, pursuant to Education Code Section 42133, a school district that has a qualified or negative certification in any fiscal year may not issue, in that fiscal year or the next succeeding fiscal year, non-voter approved debt unless the county superintendent of schools determines that the repayment of that debt by the school district is probable.

The filing status for each of the School District's interim reports for the previous five fiscal years and the current fiscal year appears in the following table.

**Certifications of Interim Financial Reports
Turlock Unified School District**

<u>Fiscal Year</u>	<u>First Interim</u>	<u>Second Interim</u>
2013-14	Positive	Positive
2014-15	Positive	Positive
2015-16	Positive	Positive
2016-17	Positive	Positive
2017-18	Positive	Positive
2018-19	Positive	Positive

Financial Statements

Figures presented in summarized form herein have been gathered from the School District's financial statements. The audited financial statements of the School District for the fiscal year ended June 30, 2018, have been included in "APPENDIX A" attached hereto. Audited financial statements and other financial reports for prior fiscal years are on file with the School District and available for public inspection during normal business hours. Copies of financial statements relating to any year are available to prospective investors and or their representatives upon request by contacting Turlock Unified School District, 1574 East Canal Drive, Turlock, California 95380, (209) 667-0632, Attention: Assistant Superintendent, Business Services, or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

The following table sets forth the School District's audited General Fund balance sheet data for fiscal years 2013-14 through 2017-18.

**General Fund Balance Sheet
Turlock Unified School District**

	2013-14 <u>Audited</u>	2014-15 <u>Audited</u>	2015-16 <u>Audited</u>	2016-17 <u>Audited</u>	2017-18 <u>Audited</u>
Assets					
Cash and Investments	\$25,708,554	\$38,046,573	\$48,319,478	\$53,936,805	\$59,310,496
Receivables	14,323,711	3,890,149	2,741,627	2,795,044	1,696,418
Due from Other Funds	616,110	55,036	367,534	332,247	586,584
Stores Inventory	489,990	403,012	376,991	329,457	416,295
Prepaid Expenditures	<u>17,297</u>	<u>8,075</u>	<u>29,820</u>	<u>191,961</u>	<u>394,197</u>
Total Assets	\$41,155,662	\$42,402,845	\$51,835,450	\$57,585,514	\$62,403,990
Liabilities and Fund Balances					
Liabilities					
Accounts Payable	\$7,502,670	\$6,383,209	\$6,740,795	\$9,553,873	\$9,362,558
Due to Other Funds	5,002,925	1,000,120	86,594	1,072,746	0
Other Liabilities	0	1,233,071	0	0	0
Unearned Revenue	<u>26,235</u>	<u>287,757</u>	<u>0</u>	<u>18,448</u>	<u>9,916</u>
Total Liabilities	\$12,531,830	\$8,904,157	\$6,827,389	\$10,645,067	\$9,372,474
Fund Balances					
Nonspendable	\$527,287	\$431,087	\$426,811	\$541,418	\$830,567
Restricted	8,037,353	2,919,018	6,349,429	5,727,104	6,900,701
Committed	1,076,530	1,083,162	2,410,235	4,744,514	9,473,456
Assigned	9,926,476	14,655,719	14,515,599	14,563,738	17,489,414
Unassigned	<u>9,056,186</u>	<u>14,409,702</u>	<u>21,305,987</u>	<u>21,363,673</u>	<u>18,337,378</u>
Total Fund Balances	\$28,623,832	\$33,498,688	\$45,008,061	\$46,940,447	\$53,031,516
Total Liabilities and Fund Balances	\$41,155,662	\$42,402,845	\$51,835,450	\$57,585,514	\$62,403,990

The following table sets forth the School District's audited General Fund activity for fiscal years 2014-15 through 2017-18 and budgeted activity for fiscal year 2018-19 as of the second interim report.

General Fund Activity¹
Turlock Unified School District

	2014-15 <u>Audited</u>	2015-16 <u>Audited</u>	2016-17 <u>Audited</u>	2017-18 <u>Audited</u>	2018-19 <u>2nd Interim</u>
Beginning Balance	\$28,623,832	\$33,498,688	\$45,008,061	\$46,940,447	\$53,031,516
Balance, Pupil Transportation Fund ¹	n/a	n/a	n/a	n/a	(87,749)
Balance, Special Reserve for OPEB ¹	n/a	n/a	n/a	n/a	<u>(9,385,707)</u>
Adjusted Beginning Balance	\$28,623,832	\$33,498,688	\$45,008,061	\$46,940,447	\$43,558,060
Revenues					
Local Control Funding Formula	\$103,611,602	\$117,567,073	\$124,108,357	\$127,896,560	\$138,732,384
Federal Revenue	6,331,590	7,319,872	6,506,981	7,493,172	8,618,723
Other State Revenues	7,742,228	15,606,925	12,461,815	15,882,100	12,731,474
Other Local Revenues	<u>12,894,027</u>	<u>12,243,767</u>	<u>12,842,451</u>	<u>11,451,806</u>	<u>12,822,355</u>
Total Revenues	130,579,447	152,737,637	155,919,604	162,723,638	\$172,904,936
Expenditures					
Certificated Salaries	\$60,537,146	\$63,699,985	\$65,768,641	\$68,235,882	\$76,166,362
Classified Salaries	20,760,755	22,819,392	24,233,045	25,615,093	27,773,659
Employee Benefits	22,052,709	23,565,844	28,931,103	31,989,997	38,431,768
Books and Supplies	6,128,770	5,366,111	9,565,506	5,928,236	11,141,214
Services/Other Operating Exp.	8,725,377	9,315,602	9,765,595	11,250,532	15,442,402
Capital Outlay	2,866,411	2,546,742	4,130,867	4,367,786	7,661,045
Other Outgo	<u>3,421,529</u>	<u>3,937,109</u>	<u>3,620,046</u>	<u>3,710,979</u>	<u>4,367,465</u>
Total Expenditures	124,492,697	\$131,250,785	\$146,014,803	\$151,098,505	\$180,983,915
Other Financing Sources	(\$1,211,894)	(\$9,977,479)	(\$7,972,415)	(\$5,534,064)	(\$2,172,000)
Net Increase / Decrease	\$4,874,856	\$11,509,373	\$1,932,386	\$6,091,069	(\$10,250,979)
Ending Balance	\$33,498,688	\$45,008,061	\$46,940,447	\$53,031,516	\$33,307,081
Balance, Pupil Transportation Fund ¹	n/a	n/a	n/a	n/a	89,249
Balance, Special Reserve for OPEB ¹	n/a	n/a	n/a	n/a	<u>10,735,707</u>
Ending Balance, GAAP Basis	\$33,498,688	\$45,008,061	\$46,940,447	\$53,031,516	\$44,132,037

¹The School District has implemented *Government Accounting Standard Board Statement No. 54, Fund Balance Reporting and Government Type Definitions* ("GASB 54"), the effect of which was to reclassify and restate the School District's Pupil Transportation Fund and Special Reserve for OPEB within the General Fund. However, the School District's internal reporting, including the fiscal year 2018-19 second interim report, does not reflect the implementation of GASB 54, and therefore does not include activity within the Pupil Transportation Fund and Special Reserve for OPEB.

Figures may not total due to rounding.

Revenues

The School District categorizes its General Fund revenues into four primary sources: LCFF, federal revenues, other State revenues and other local revenues.

Local Control Funding Formula (LCFF). For nearly half a century, State school districts operated under general purpose revenue limit funding based on a school district's average daily student attendance, much of which was restricted by category as to how each dollar could be spent. Revenue limit funding was calculated by multiplying a school district's ADA (using the greater of the current or prior year P-2 ADA) by the school district's revenue limit funding per ADA, with certain adjustments.

In landmark legislation effective fiscal year 2013-14, the State introduced a new formula, the local control funding formula ("LCFF"), originally scheduled to be phased in over eight years through fiscal year 2020-21. LCFF consolidated most categorical programs in order to give school districts more control over how to spend their revenues. At full implementation of LCFF, school districts will receive a uniform base grant per student based on grade span, a supplemental grant based on an unduplicated count of the targeted disadvantaged students ("unduplicated students") in the school district, and an additional concentration grant based on the number of unduplicated students in the school district above 55 percent, with qualifying schools receiving an additional necessary small school allowance. In fiscal year 2017-18, approximately 65.05 percent of the School District's students were unduplicated students for LCFF calculation purposes. The base, supplemental, and concentration grant amounts per student were set in fiscal year 2012-13 and are subject to cost-of-living adjustments thereafter. School districts that would otherwise receive less funding at full implementation of LCFF than they did under the revenue-limit system are also guaranteed an additional Economic Recovery Target ("ERT") grant to restore funding to at or above their pre-recession funding, adjusted for inflation. The ERT add-on is paid incrementally over the LCFF implementation period. In fiscal year 2018-19, the School District's LCFF funding at full implementation (as of the second interim report) is calculated to be \$136,800,500, comprised of \$114,934,984 in base grant funding, \$14,956,796 in supplemental grant funding, \$5,784,872 in concentration grant funding and \$1,123,848 in add-on funding.

To calculate LCFF funding during the phase-in period, school districts calculate their "funding gap," the difference between LCFF funding calculated at full implementation and their "funding floor," an amount based on fiscal year 2012-13 funding levels under the revenue limit system adjusted for prior LCFF phase-in adjustments. School districts receive their funding floor plus a percentage of their funding gap as specified in the State budget. In fiscal year 2018-19, the State has budgeted funding 100 percent of the remaining gap. In fiscal year 2017-18, the School District received \$126,224,848 as its floor entitlement and \$9,430,464 in gap funding under LCFF. See "FUNDING OF PUBLIC EDUCATION IN THE STATE" herein for more information about LCFF.

Set forth in the following table is the School District's funded ADA by grade span and the percentage of unduplicated student enrollment for fiscal years 2013-14 through 2018-19.

**Funded ADA and Unduplicated Student Enrollment Percentage
Turlock Unified School District**

<u>Fiscal Year</u>	<u>Funded P-2 ADA Grades TK-3</u>	<u>Funded P-2 ADA Grades 4-6</u>	<u>Funded P-2 ADA Grades 7-8</u>	<u>Funded P-2 ADA Grades 9-12</u>	<u>Total Funded P-2 ADA</u>	<u>Unduplicated Student Enrollment Percentage</u>
2013-14	4,074.70	2,924.49	1,916.65	4,559.78	13,475.62	66.93
2014-15	4,032.91	2,937.15	1,942.05	4,471.00	13,383.11	66.65
2015-16	3,938.94	2,997.04	1,955.79	4,493.82	13,385.59	65.98
2016-17	3,876.90	3,046.27	1,916.56	4,514.71	13,354.44	64.86
2017-18	3,883.24	3,004.08	2,005.90	4,539.41	13,432.63	64.70
2018-19 ^a	3,883.43	2,931.97	2,060.30	4,581.96	13,457.66	65.03

For purposes of calculating supplemental and concentration grants, a school district's fiscal year 2013-14 percentage of unduplicated students is determined solely as the percentage of its fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated students is based on the two-year average of unduplicated student enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district's percentage of unduplicated student enrollment is based on a rolling average of such school district's unduplicated student enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

^aProjected as of the fiscal year 2018-19 second interim report; does not include 111.87 charter school ADA.

Set forth in the following table is the School District's actual LCFF funding per ADA for fiscal years 2013-14 through 2017-18 and budgeted LCFF funding per ADA for fiscal year 2018-19.

**LCFF Funding per ADA
Turlock Unified School District**

<u>Fiscal Year</u>	<u>Funded ADA¹</u>	<u>Average LCFF Funding per ADA²</u>	<u>Average LCFF Funding per ADA at Full Implementation</u>
2013-14	13,475.62	\$6,724.28	\$9,403.10
2014-15	13,383.11	7,553.67	9,459.08
2015-16	13,385.59	8,584.99	9,516.09
2016-17	13,354.44	9,073.75	9,454.84
2017-18	13,432.63	9,293.10	9,591.63
2018-19 ³	13,457.66	10,081.97	10,081.97

¹Funded ADA is the greater of current year P-2 ADA and prior year P-2 ADA.

²Represents average LCFF funding per ADA across grade spans.

³Projected as of the second interim report; does not include 111.87 charter school ADA.

Funding of the School District's LCFF is accomplished by a mix of a) local taxes (composed predominantly of property taxes, and including miscellaneous taxes and community redevelopment funds, if any) and b) State apportionments. The majority of the School District's LCFF funding comes from State apportionments.

LCFF revenues were 79.6 percent of General Fund revenues in fiscal year 2016-17, were 78.6 percent of General Fund revenues in fiscal year 2017-18, and are budgeted to be 80.2 percent of General Fund revenues in fiscal year 2018-19 as of the second interim report.

Federal Revenues. The federal government provides funding for several School District programs. These federal revenues, most of which historically have been restricted, were 4.2 percent of General Fund revenues in fiscal year 2016-17, were 4.6 percent of General Fund revenues in fiscal year 2017-18, and are budgeted to be 5.0 percent of General Fund revenues in fiscal year 2018-19 as of the second interim report.

Other State Revenues. In addition to apportionment revenues, the State provides funding to the School District for categorical programs. Many categorical programs previously classified as other State revenues were incorporated under LCFF in fiscal year 2013-14, causing a reduction in other State revenues. These other State revenues were 8.0 percent of General Fund revenues in fiscal year 2016-17, were 9.8 percent of General Fund revenues in fiscal year 2017-18, and are budgeted to be 7.4 percent of General Fund revenues in fiscal year 2018-19 as of the second interim report. Included in other State revenues are proceeds received from the State from the State lottery.

Other Local Revenues. Revenues from other local sources were 8.2 percent of General Fund revenues in fiscal year 2016-17, were 7.0 percent of General Fund revenues in fiscal year 2017-18, and are budgeted to be 7.4 percent of General Fund revenues in fiscal year 2018-19 as of the second interim report.

Expenditures

The largest components of a school district's general fund expenditures are certificated and classified salaries and employee benefits. Changes in salary and benefit expenditures from year to year are generally based on changes in staffing levels, negotiated salary increases, and the overall cost of employee benefits. Even with no negotiated salary increases or changes in staffing levels, normal "step and column" advancements on the salary scale result in increased salary expenditures.

Employee salaries and benefits were 81.5 percent of General Fund expenditures in fiscal year 2016-17, were 83.3 percent of General Fund expenditures in fiscal year 2017-18, and are budgeted to be 78.7 percent of General Fund expenditures in fiscal year 2018-19 as of the second interim report.

Short-Term Borrowings

The School District has no short-term debt outstanding.

The School District has in the past issued short-term tax and revenue anticipation notes. Proceeds from the issuance of notes by the School District have been used to reduce inter-fund dependency and to provide the School District with greater overall efficiency in the management of its funds.

Capitalized Lease Obligations

On June 25, 2015, the School District issued a lease-purchase financing in the amount of \$7,111,787 (the “2015 Refunding LP”) to refinance the Turlock Unified School District (Counties of Stanislaus and Merced, California) 2005 Certificates of Participation (the “2005 Certificates”).

The School District’s outstanding lease-purchase is set forth in the following table.

Outstanding Lease Purchases Turlock Unified School District

<u>Issue</u>	<u>Date Issued</u>	<u>Amount Issued</u>	<u>Final Maturity</u>	<u>Outstanding Principal as of March 31, 2019</u>	<u>Debt Service in Fiscal Year 2018-19</u>
2015 Refunding LP	June 25, 2015	\$7,111,787	August 1, 2030	\$5,585,220	\$558,483

Long-Term Borrowings

On May 15, 2013, the School District issued the Turlock Unified School District (Counties of Stanislaus and Merced, California) 2013 General Obligation Refunding Bonds in the aggregate principal amount of \$8,475,000 (the “2013 Refunding Bonds”) to refund general obligation bonds previously issued by the School District.

On July 21, 2015, the School District issued the 2015 General Obligation Refunding Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District (Counties of Stanislaus and Merced, California) in the aggregate principal amount of \$7,915,000 (the “2015 SFID Refunding Bonds”) to refund general obligation bonds previously issued by the School District.

On July 22, 2015, the School District issued the Turlock Unified School District (Counties of Stanislaus and Merced, California) 2015 General Obligation Refunding Bonds in the aggregate principal amount of \$21,885,000 (the “2015 USD Refunding Bonds”) to refund general obligation bonds previously issued by the School District.

On May 9, 2017, the School District issued the first series of bonds authorized by the 2016 Election, the 2017 SFID Bonds in the aggregate principal amount of \$12,500,000. The Bonds represent the second series of general obligation bonds to be issued under Measure N. Upon the issuance of the Bonds, the School District will have \$14.7 million unissued authorization remaining under the 2016 Election.

On May 9, 2017, the School District issued the Turlock Unified School District (Stanislaus County and Merced County, California) General Obligation Bonds, Election of 2016, Series 2017 in the aggregate principal amount of \$14,700,000 (the “2017 USD Bonds”).

The School District's outstanding general obligation bonds are set forth in the following table.

**Outstanding General Obligation Bonds
Turlock Unified School District**

<u>Issue</u>	<u>Final Maturity</u>	<u>Principal Amount Issued</u>	<u>Outstanding Principal as of March 31, 2019</u>	<u>Debt Service in Fiscal Year 2018-19</u>
2013 Refunding Bonds	June 1, 2029	\$8,475,000	\$6,170,000	\$670,956
2015 SFID Refunding Bonds	June 1, 2032	7,915,000	6,910,000	626,262
2015 USD Refunding Bonds	August 1, 2032	21,885,000	16,385,000	2,614,769
2017 USD Bonds	August 1, 2046	14,700,000	13,440,000	1,802,156
2017 SFID Bonds	August 1, 2046	12,500,000	<u>11,480,000</u>	<u>1,480,650</u>
Total			\$54,385,000	\$7,194,793

Concurrently with the Bonds, the School District intends to issue \$33,300,000 aggregate principal amount of Turlock Unified School District General Obligation Bonds, Election of 2016, Series 2019.

In addition to the School District's outstanding general obligation bonds, the School District has entered into a loan agreement (the "Children's Facility Loan") with the State Department of Education to obtain funding necessary to complete the Crowell State Preschool Facility. The School District was granted \$210,000, to be paid back within ten years of the first repayment. Title to the facility is registered with the State until the loans are repaid in full, at which time title will transfer to the School District. As of June 30, 2018, the outstanding amount of the Children's Facility Loan was \$42,000, with final repayment scheduled for fiscal year 2019-20.

The School District has not defaulted on the payment of principal of or interest on any of its short-term indebtedness, capital lease obligations or long-term indebtedness in the past ten years. All long-term bonded indebtedness of the School District as of June 30, 2018 is set forth in "APPENDIX A" attached hereto.

**CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND
EXPENDITURES**

Background

From the Separation of Sources Act (1910) until Proposition 13 (1978), local governments had control over property tax rates and revenues within their jurisdiction. Voter approval was not required for most taxes, charges or fees imposed by local governments. Each school district in the State raised revenue by taxing local property owners according to a tax rate established by its governing board, subject to voter approval, and received some supplemental funds from the State. The State's role in providing for public education and education facilities was limited during this time. Local school districts relied largely on general obligation bonds as the primary source of funding for school facilities.

The passage of Proposition 13 brought this local property tax system to an end, fundamentally changing local government finance. Local government entities are no longer authorized to levy a general tax rate. Instead, they share in the revenues generated by Proposition 13's countywide tax rate. In the year following the passage of Proposition 13, local property tax revenue across the State fell approximately 60 percent. In order for school districts to continue operating, the State had to assume primary responsibility for public school funding, replacing the lost property tax revenue with moneys from the State general fund. As a result of Proposition 13, control over revenues shifted away from local school districts to the State government. Proposition 13 also eliminated the ability of school districts to issue bonds; for a decade, the State provided some of the cost of school facilities projects until the passage of Proposition 46 (1986) restored the ability of school districts to issue such bonds.

Article XIII A of the State Constitution

Article XIII A, added to the State Constitution by Proposition 13 and amended over time, limits the *ad valorem* tax rate that can be levied on real property to one percent of its “full cash value” except to pay debt service, discussed below. “Full cash value” is defined as the property’s assessed value as of the fiscal year 1975-76 tax bill, annually increased by the lesser of either two percent or the rate of inflation. Subsequently, the property is reappraised for tax purposes upon a change in ownership or new construction. Several types of changes in ownership and construction have been exempted from the reassessment requirement by amendment, including improvements for seismic retrofit, solar energy, fire prevention, disability access, certain purchases of replacement dwellings for persons over age 55 and by property owners whose original property is destroyed in a declared disaster, and certain transfers of property between family members.

In most years, the market value of a property increases at a rate greater than the maximum two percent increase a county is allowed to calculate. As amended by Proposition 8 (1978), Article XIII A allows for a county to temporarily reduce the assessed value to current market value when the market value of the property falls below the property’s adjusted acquisition value due to an economic recession, natural disaster or other cause of damage. In years in which reduced reassessments are widespread, property tax revenue available to local governments such as school districts is reduced. Pursuant to interpretation of the Revenue and Taxation Code and upheld by State courts, once the market has rebounded or the property has been repaired to substantially its original condition, a county may increase the assessed value of the property at a rate greater than two percent annually until it has reached the property’s pre-decline assessed value.

As a result of these laws, real property that has been owned by the same taxpayer for many years can have an assessed value that is much lower than the market value of the property and of similar properties more recently sold. Likewise, changes in ownership of property and reassessment of such property to market value commonly lead to increases in aggregate assessed value even when the rate of inflation or consumer price index would not permit the full two percent increase on any property that has not changed ownership. Any increase or decrease in assessed valuation is allocated among the various jurisdictions.

The one percent tax is levied and collected by each county, and the revenue is apportioned by the county to each local government agency in the taxing area roughly in proportion to the relative shares of taxes as levied prior to 1979. Local government agencies, including school districts, may not directly levy any *ad valorem* tax, unless the tax is levied to pay debt service (interest and redemption charges) on a local government’s indebtedness approved by voters prior to July 1, 1978, or, thereafter, as amended by Proposition 46 (1986), bonded indebtedness for the acquisition or improvement of real property approved by a two-thirds majority. In addition, Proposition 39 (2000) added a provision allowing for a lowered voter approval rate specifically for bonds to fund school facilities projects. A school district or community college district may levy *ad valorem* taxes in excess of one percent with 55 percent voter approval if the bonds will be used for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities. The measure must include the specific list of projects to be funded and certification that the school district’s governing board has evaluated safety, class size reduction, and information technology needs in developing the list, and must conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Pursuant to legislation, the projected tax rate per \$100,000 of taxable property value levied as the result of any single election may be no more than \$60 in a unified school district, \$30 in a high school or elementary school district, or \$25 in a community college district. The School District’s 2016 Election was conducted pursuant to Proposition 39.

Article XIII B of the State Constitution

Article XIII B, added to the State Constitution by Proposition 4 (1979) (the “Gann Limit”), amended by Proposition 111 (1990), limits the amount of certain funds, including tax revenues, that may be annually appropriated by the State and local governments, including school districts, to the amount appropriated the prior year, adjusted to reflect the rate of economic growth by measuring the change in *per capita* personal income and population. Certain payments are exempt from the appropriations limit calculation, including debt service payments; certain benefit payments, mandated expenses, State payments to school districts and community college districts, increases in revenues gained from fuel, vehicle and tobacco taxes, emergency appropriations; and qualified capital outlay projects (projects involving fixed assets such as land or construction that have an expected life of more than 10 years and a value greater than \$100,000).

Tax revenues in excess of the appropriation limit are shared between increased education funding and taxpayer rebates. Calculated over two years, half of any excess is transferred to K-14 school districts and half is returned to taxpayers through a revision of tax rates within two fiscal years. Any such excess revenues transferred to K-14 school districts are not counted as part of the school districts’ base expenditures for calculating their entitlement for State aid in the next year, nor is the State’s

appropriations limit increased by this amount. If a K-14 school district's revenues exceed its appropriations limit, the school district may increase its appropriations limit to equal its spending by borrowing from the State's appropriations limit.

Articles XIIC and XIID of the State Constitution

Articles XIIC and XIID, added to the State Constitution by Proposition 218 (1996) and amended over time, limit the ability of local governments, including school districts, to levy and collect non-*ad valorem* taxes, assessments, fees and charges. The law establishes that a tax must be either a "general" tax, requiring the approval of a simple majority of voters, the proceeds of which can only be used for general government purposes, or a "special" tax, requiring the approval of two-thirds of voters, the proceeds of which are used for a specific purpose, or if the tax is levied by a special-purpose government agency, including a school district. Any tax levied on property, other than the *ad valorem* tax governed by Article XIIA, is a special tax, requiring the approval of two-thirds of voters. Special-purpose government agencies, such as a school district, cannot levy general taxes.

Article XIIC also provides that the initiative power shall not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. A portion of the School District's revenues are received annually from property taxes. The State Constitution and the laws of the State impose a mandatory, statutory duty on the Stanislaus County Treasurer to levy a property tax sufficient to pay debt service on the Bonds coming due in each year. There is no court case which directly addresses whether the initiative power may be used to reduce or repeal the *ad valorem* taxes pledged to repay general obligation bonds. In the case of *Bighorn-Desert View Water Agency v. Virgil (Kelley)* (the "Bighorn Decision"), the California Supreme Court held that water service charges may be reduced or repealed through a local voter initiative subject to Article XIIC. The Supreme Court did state that it was not holding that the initiative power is free of all limitations. Such initiative power could be subject to the limitations imposed on the impairment of contracts under the contract clause of the United States Constitution. Legislation adopted in 1997 provides that Article XIIC shall not be construed to mean that any owner or beneficial owner of a municipal security assumes the risk of or consents to any initiative measure that would constitute an impairment of contractual rights under the contracts clause of the United States Constitution.

The initiative power can be used to reduce or repeal most local taxes, assessments, fees and charges. Article XIID deals with assessments and property-related fees and charges and expressly cautions that its provisions shall not be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development; however it is not clear whether the initiative power is available to repeal or reduce developer and mitigation fees imposed by the School District. The School District has no power to impose taxes except those property taxes associated with a general obligation bond election, following approval by 55 percent or two-thirds of the School District's voters, depending upon the legal authority for the issuance of such bonds.

As amended by Proposition 26 (2010), the law defines any levy, charge, or exaction of any kind imposed by a local government as a tax requiring voter approval. The following exceptions do not require voter approval: a reasonable charge for a specific benefit, privilege, product or service that is received only by the payor of the charge; a reasonable charge for regulatory costs of issuing a license or permit, performing an inspection or audit, or enforcing an order; a charge for use, rental, or purchase of government property; a charge, fine or penalty for violation of law; and assessments and property-related fees imposed as a condition of property development. Although such fees and charges levied by one taxing jurisdiction do not directly impact the amount of revenue available to another taxing jurisdiction from *ad valorem* property taxes, if the ability to impose the fee or charge is restricted, it could indirectly impact such revenues.

Minimum Guarantee of State Funding for Education

Proposition 98 (1988), added Article XVI to the State Constitution, requiring that "from all State revenues there shall first be set apart the moneys to be applied by the State for support of the public school system and higher education." Known as the "minimum guarantee," funding for K-14 school districts, made up of a combination of State general fund income tax revenues and local property tax revenues, must be the greater of either the same percentage of State general fund revenues as was appropriated in fiscal year 1986-87, or the amount actually appropriated to such school districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The minimum guarantee allocated each year, determined by a set of tests, is approximately 40 percent or more of State general fund revenues. The amount of the minimum guarantee is not finalized until the final economic analysis is completed for a fiscal year; if the revisions result in a higher minimum guarantee than was budgeted, the State makes a one-time "settle-up" payment and uses the increased minimum to calculate the subsequent year's funding, as described below. If the revised minimum guarantee is lower than budgeted, the State can use the higher level or make mid-year adjustments to reduce funding.

“Test 1” (share of the State general fund) allocates approximately 41 percent of the State general fund revenue to K-14 school districts. Test 1, in which the amount of the minimum guarantee is based on the share of the State general fund revenue spent on K-14 education funding in fiscal year 1986-87, only applies if Test 2 or Test 3 (described below) does not result in additional funding for K-14 school districts. Test 1 has been used four times in the last 30 years, including fiscal year 2014-15.

“Test 2” (change in *per capita* personal income) provides that K-14 school districts receive the same amount of funding received in the prior year, adjusted for year-over-year statewide changes in K-12 attendance and *per capita* personal income. Test 2 is used if it results in more funding for K-14 school districts than Test 1 (unless Test 3 applies instead). Test 2 has been used in 15 of the past 30 years, including fiscal years 2017-18 and 2018-19.

“Test 3” (change in general fund revenue) provides that K-14 school districts receive the same amount of funding received in the prior year, adjusted for year-over-year statewide changes in K-12 attendance and general fund revenue; this calculation is only used if the percentage change in *per capita* State general fund revenue is less than the change in *per capita* personal income. Test 3 has been used in nine of the past 30 years, including fiscal years 2015-16 and 2016-17.

In years of economic hardship, the State Legislature can suspend the minimum guarantee for a year by a two-thirds vote, which also triggers the maintenance factor obligation, to be restored in later years. Such suspension has only occurred twice, in fiscal years 2004-05 and 2010-11.

The State creates a maintenance factor obligation when Test 3 is operative or when the minimum guarantee is suspended. In any year in which Test 3 is used, the difference between the actual amount of funding provided and the amount that would have been appropriated, under the larger amount of either Test 1 or Test 2, is considered a “maintenance factor” credit to K-14 school districts, to be restored in future years when State revenue growth rebounds to exceed personal income. The State constitution requires the maintenance factor be paid off in annual amounts determined by formula, with stronger revenue growth generally requiring larger payments.

The State Legislature has the authority to spend more than the minimum guarantee, although any increase creates a higher minimum floor for the following year; this has occurred from time to time. At times, the State also has had outstanding one-time Proposition 98 obligations known as “settle-up” obligations. A settle-up obligation is created when the minimum guarantee increases midyear and the State does not make an additional payment within that fiscal year to meet the higher guarantee. The increased amount is used as the base for the following year’s minimum guarantee. Settle-up funds can be used for any educational purpose, including paying off other state one-time obligations, such as deferrals and mandates.

Community Redevelopment and Revitalization

Beginning with the Community Redevelopment Act (1945) under Article XVI of the State Constitution, amended over time, until the termination and dissolution of the program in 2011, a local government could improve an economically depressed area by creating a redevelopment agency (an “RDA”) to pay for development projects with the future increase in property tax revenue, or “tax increment,” attributable to the growth in assessed value of taxable property within the project area when the project was complete. However, the allocation of the tax increment to the local RDA caused a reduction in the one percent countywide property tax levy for other local taxing agencies, including school districts, although *ad valorem* property taxes in excess of the one percent property tax levy collected for payment of debt service on school district bonds were not affected. Although a school district could negotiate with the RDA for “pass-through” payments of local tax revenues, because the State was replacing the school district’s lost tax revenue, there was little incentive for most school districts to negotiate for greater amounts of pass-through from the RDAs. The State’s share of reimbursements to such school districts soared into the hundreds of millions of dollars per year.

Facing economic crisis, Assembly Bill, First Extended Session 26 (“AB1X 26”) (2011), upheld by the State Supreme Court in *California Redevelopment Association v. Matosantos* (2011), was enacted to dissolve the more than 400 RDAs in the State to preserve funding for core public services at the local level. Successor agencies were established to facilitate the management of projects underway, making payments on enforceable obligations, and disposing of assets and properties. Senate Bill 107 (2015) streamlined the dissolution process and expanded the types of loans for which cities and counties can seek reimbursement. The School District does not receive pass-through payments from a dissolution process. See “SCHOOL DISTRICT FINANCIAL INFORMATION—Revenues” herein.

Assembly Bill 2 (“AB2”) (2015), the result of several legislative efforts to replace the redevelopment law in order to provide local government options for sustainable community economic development, is a limited version of the former law, targeting only the State’s most impoverished areas. AB2 allows a local government to create a community revitalization investment area (“CRIA”) if several conditions are met, including measures of unemployment, crime, and dilapidated infrastructure and residential structures, which are required to insure that the CRIA process is actually used for the intended purpose of alleviating blight. Significantly, school districts are prohibited from participating in the CRIA; because schools may not contribute their share of the tax increment to the project area, the funding impact to schools and the State is avoided. Assembly Bill 2492 (2016) was enacted that clarified implementation issues of AB2.

Limits on State Authority Over Local Tax Revenues

State and local governments’ funding and responsibilities are interrelated. Both levels of government share revenues raised by certain taxes such as sales and fuel taxes, and both also share in the costs for some programs such as health and social services. Although the State does not receive local property tax revenue, it has had authority over the distribution of these revenues among local agencies and school districts. Under Article XIII A, the State had the authority to permanently shift property taxes among local governments. At times, the State fulfilled some portion of the Proposition 98 minimum guarantee by shifting some of the property tax revenues share belonging to cities, counties, other special districts and redevelopment agencies to K-14 school districts through an Educational Revenue Augmentation Fund (“ERAF”) established in each county.

Proposition 1A (2004) amended Articles XI and XIII of the State Constitution to require two-thirds approval of the State Legislature to shift property tax revenues allocation between local governments, preventing the State from reducing the property tax share allocated to cities, counties, and special districts. However, the State could still transfer property tax revenues to schools in the case of severe fiscal hardship and two-thirds approval of the State Legislature.

Proposition 22 (2010) amended Articles XIII and XIX of the State Constitution to further restrict the State’s control over local property taxes in order to stabilize local government revenue sources. Even during times of severe fiscal hardship, the State could not take revenue derived from locally imposed taxes, such as parcel taxes, hotel taxes, utility taxes, and sales taxes, for State purposes, nor could the State delay distribution of tax revenues to local governments, redirect redevelopment agency property tax revenue to other local governments such as school districts, or shift money to the school districts under an ERAF. As a result, the State would have to take other actions to balance its budget in some years, such as reducing State spending or increasing State taxes. Proposition 22’s restriction of the State’s ability to shift local funds made K-14 school districts more directly dependent on the State general fund for Proposition 98 funding.

Temporary State Tax Increases

From 2008 to 2012, the State eliminated more than \$56 billion from State and local funding for local services including education, police, fire, and health care. Proposition 30 (2012) allows the State to levy a temporary sales tax (lasting four years) and income tax on high-income earners (lasting seven years), the revenues of which are dedicated to increased education funding and to balance the State budget. Existing law requires that in years in which the State’s general fund revenues grow by a large amount, funding for education must also be increased by a large amount. The tax revenues allocated to education as part of the minimum guarantee are deposited into the Education Protection Account (“EPA”), recalculated and distributed quarterly to K-14 school districts (89 percent to K-12 school districts and 11 percent to community college districts) as a continuing appropriation not subject to budget adoption. The funds are distributed in the same manner as existing unrestricted per-student funding. The Proposition 30 tax revenue is included in the Proposition 98 calculation, raising the guarantee by billions each year. The remaining Proposition 30 tax revenues will be used to balance the budget.

Proposition 55 (2016) extends the income tax increase on high-income taxpayers through the year 2030-31. Approximately half of the revenue raised by this measure is allocated to K-14 school districts. The measure also directs half of any excess revenues, up to a maximum of \$2 billion, for additional funding for Medi-Cal, if revenues exceed the constitutionally required education spending and the costs of government programs in place as of January 1, 2016. A portion would also be saved in reserves and spent on debt payments. Any remaining revenues would be available for any State purpose.

Enacted Budget Required for Disbursement of State Funds

In years in which the State Legislature has not enacted a budget by the required deadline, the fiscal year begins without an enacted budget, and the State has, in some cases, issued registered warrants or IOUs, to pay certain State employees’ wages

and State debts. In 1988, during such a budgetary impasse, a taxpayers' association argued that such warrants were not authorized without an enacted budget. In the case, known as *Jarvis v. Connell*, the State Court of Appeal held that without an enacted budget, State funds may not be disbursed unless the payment is authorized by the State Constitution, as a continuing appropriation, or by federal mandate. This could affect school district budgets to the extent that, if there is neither an enacted budget nor emergency appropriation, State payments owed to school districts could be delayed unless they are required as a continuing appropriation or federal mandate.

State and School District Budgetary Reserves

Proposition 58 (2004) amended Article IV of the State Constitution to require the State to enact a balanced budget, in which estimated revenues would meet or exceed estimated expenditures in each year, and that mid-year adjustments be made if the budget fell out of balance. The law established the Budget Stabilization Account (the "BSA") in the State's general fund, which required a deposit of three percent of the State general fund each year.

Proposition 2 (2014) addressed the need for long-term financial stability in the State in the face of economic volatility by dedicating funds to pay down the State's debt, changing the State's reserve policies, and creating a separate budget reserve for K-14 school districts called the Public School System Stabilization Account (the "PSSSA"). The law reduced legislative discretion over the timetable for the repayment of State debts and required that 1.5 percent of the State general fund be deposited into the BSA annually, plus an additional amount when the State experiences spikes in capital gains tax revenue in excess of eight percent of State general fund revenues. The PSSSA, also funded with capital gains spikes, is drawn upon when the Proposition 98 minimum guarantee exceeds available State general fund and property tax revenues. Through 2030, half of the funds deposited each year into the BSA must be used to pay fiscal obligations such as budget loans and unfunded State level pension plans. Funds may be withdrawn from the BSA only for a disaster-related emergency or a fiscal emergency (which occurs if estimated resources in the current or upcoming fiscal year are insufficient to keep spending at the level of the prior three budgets adjusted for inflation and population). In the case of a recession, only half of the funds can be withdrawn. As a result, a large amount of incremental gains in the State's general fund revenues are allocated to building reserves and repaying debt.

The State has a constitutional obligation to ensure that school districts continue to operate even in times of financial difficulty so that the education of students in the State is not disrupted. The State requires school districts to maintain a minimum reserve in their general fund's reserve for economic uncertainties to help school districts manage cash flow, address unexpected costs, save for large purchases, reduce costs of borrowing money, and mitigate the volatility in funding produced by the reliance on tax revenue funding sources. The minimum reserve amount required depends on the size of the school district's enrollment. Smaller school districts are required to keep a higher percentage of reserves because they are more easily overwhelmed by unexpected costs, such as a single major facility repair, which could deplete most of its reserves in a single year. School districts with enrollment of 300 or fewer students, which represent 25 percent of school districts in the State, must keep a minimum reserve of five percent of expenditures. School districts with enrollment of 301 to 1,000 students, which represent 17 percent of school districts in the State, must keep a minimum reserve of four percent. School districts with enrollment of 1,001 to 30,000 students, which represent 55 percent of school districts in the State, must keep a minimum reserve of three percent. School districts with enrollment of 30,001 to 400,000 students, which represent three percent of school districts in the State, must keep a minimum reserve of two percent. The one school district in the State with an enrollment of 400,001 or more students must keep a minimum reserve of one percent. Many school districts attempt to keep their reserve levels higher than State minimum requirements.

Senate Bill 858 (2014), enacted as trailing legislation to the fiscal year 2014-15 State budget, required K-12 school districts, in the event of a deposit by the State to the PSSSA, to reduce total assigned and unassigned reserves in the following year to no more than twice its minimum reserve for economic uncertainties, ranging from one to five percent of expenditures depending on the size of the school district. Senate Bill 751 (2018), signed into law on October 11, 2017 and effective January 1, 2018, makes certain changes to the cap on school district reserves, increasing both the State PSSSA deposit amount required to trigger the reserve cap (to three percent of State general fund revenues appropriated for K-12 school districts), and increasing the cap on individual school district reserves (to 10 percent of combined assigned and unassigned ending general fund balances). In addition, basic aid school districts and small school districts with fewer than 2,501 students are exempted from the cap. County education officials can exempt a school district from the cap if the school district demonstrates extraordinary fiscal circumstances, including undertaking multi-year infrastructure or technology projects. A smaller reserve could affect the school district's financial condition in the event of an economic downturn. The School District cannot predict when a deposit to the PSSSA might occur or whether future legislation will be enacted that changes this requirement.

School Facilities Funding

The Leroy F. Greene School Facilities Act (1998) established the State Facilities Program (“SFP”) to allocate funding grants based on proposals submitted by school districts for the new construction of or the modernization of existing school facilities, although the program has evolved to allow funding for other types of school facility needs including facility hardship, seismic mitigation, charter school facilities, relief of overcrowding, career technical education facilities, incentives for energy efficiency and high-performance architectural attributes, and joint-use programs with other government entities.

Funding for SFP grants comes from statewide general obligation bonds approved by the voters in the State. The State retires these bonds by making annual debt service payments. In fiscal year 2016-17, the State paid \$2.4 billion in debt service on previously issued K-12 facilities bonds and \$300 million in debt service on community college facilities bonds. Proposition 1A (1998) provided \$9.2 billion (\$6.7 billion for K-12 facilities), Proposition 47 (2002) provided \$13.2 billion (\$11.4 billion for K-12 facilities), Proposition 55 (2004) provided \$12.3 billion (\$10 billion for K-12 facilities), Proposition 1D (2006) provided \$10.4 billion (\$7.3 billion for K-12 facilities), and Proposition 51 (2016), the first initiative facilities bond measure, provides \$9 billion (\$6 billion for K-12 facilities).

Proposition 51 amends the Education Code, prescribing the fiscal allocation and purpose of the \$9 billion bond and establishing the 2016 State School Facilities Fund and the 2016 California Community College Capital Outlay Bond Fund in the State Treasury. Of the total amount, \$6 billion is allocated to K-12 facilities (half for new construction and half for modernization), \$500 million for charter schools, \$500 million for career technical education programs, and \$2 billion to community colleges. The Governor allotted \$653 million in Proposition 51 funds to be available for funding in fiscal year 2018-19.

In most cases, K-12 school and community college districts that receive funding for approved projects must match the funding with local funding according to the type of project. Projects for the purchase of land and new construction are matched evenly. Modernization projects require a match of 40 percent local funding to 60 percent State funding. If no local funding is available, the school district can apply for additional grant funding. Community college projects do not have a specified contribution model and are determined individually. K-12 school and community college districts may sell local general obligation bonds to cover the school district’s share of the cost of facility projects. K-12 school districts may also raise funds for facilities by charging fees on new development (community college districts may not). Both K-12 school and community college districts may also raise funds by parcel taxes and other methods used less frequently.

Impact of Future Legislation

Laws affecting school district funding and the power of State and local governments to raise and spend revenue have been subject to many changes as voters and lawmakers react to economic and political cycles. The complex patchwork of the many different provisions at times results in uncertainty regarding their operation or interpretation. Many of the laws discussed above were enacted through the State’s initiative process. Initiative constitutional amendments may be changed only by another statewide initiative. Legislative constitutional provisions may be changed by a majority vote of both houses of the State Legislature and approval by the Governor, if the change furthers the purposes of the provision. The School District cannot predict whether or when the voters in the State or the State Legislature will approve further legislation that could restrict the School District’s sources of revenue or its ability to spend that revenue, or require the School District to appropriate additional revenue.

FUNDING OF PUBLIC EDUCATION IN THE STATE

Sources of Revenue for Public Education

There are four general sources of funding for K-12 public education in the State: the federal government, local property taxes, other local funding sources and State funding, the principal source of funding for most school districts. Proposition 13 eliminated the possibility of raising additional *ad valorem* property taxes above one percent for general-purpose school support, and the courts have declared that school districts may not charge fees for school-related activities, unless the charge is specifically authorized by law for a particular program or activity. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES” herein.

State Funding. Many school districts in the State receive the majority of their funds from the State. According to the State Legislative Analyst's Office (the "LAO"), State funding accounted for approximately 62 percent of the State's K-12 public education funding in fiscal year 2016-17 and approximately 61 percent in fiscal year 2017-18, and is budgeted to account for approximately 61 percent of funding in fiscal year 2018-19. There are three sources of State funds for K-12 public education: the Proposition 98 minimum guarantee, comprised of a combination of State general fund revenues and local property tax revenues, representing the majority (80 percent in fiscal year 2018-19) of State funding; additional State funds for targeted programs such as facilities and remaining categorical programs such as special education, nutrition, afterschool programs, and home-to-school transportation; and State lottery funds, a portion of which may only be used for instructional purposes. The Proposition 98 guaranteed minimum amount is set forth each year in the State budget. See "—The 2018-19 State Budget" herein.

More than 60 percent of the State's general fund revenue comes from personal income taxes, with capital gains taxes representing more than 10 percent of the State's general fund revenue, so a downturn in the stock market may significantly impact the State's general fund. Because funding for education in the State depends on the amount of money available in the State general fund, the linkage can result in significant volatility in education funding. For instance, during the recent recession in fiscal year 2011-12, State general fund revenues available for education funding were approximately eight percent less than the amount available four years prior. Provisions added to the State Constitution and statutes in 2013 and 2014 attempt to provide funding stability to public education by capturing spikes in capital gains revenue to use for paying down debts and obligations and to create reserves. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES" herein.

The State Revenue Limit was instituted in fiscal year 1973-74 to provide a mechanism to calculate the total amount of general-purpose revenue a school district, community college district or county office of education is entitled to receive from combined State and local sources per average daily attendance, known as its "revenue limit," and the funding from this calculation formed the bulk of school districts' income, and was annually increased to adjust for changes in the cost of living. The revenue limit for each school district or county office of education was funded first by the property tax revenue available to that entity, with the remaining balance filled by State funds. "Community-funded" school districts whose local property tax revenues exceeded their calculated revenue limit did not receive State revenue limit funding, although such school districts did receive the constitutionally required minimum funding, or "basic aid" per pupil, and categorical State and federal aid that was restricted to specific programs and purposes.

In landmark legislation, the fiscal year 2013-14 State budget replaced revenue limit funding with the LCFF. The LCFF transfers control over spending decisions to local authorities, requiring community input about those spending decisions along with increased transparency and accountability for the outcomes of those decisions. The general-purpose funds for school districts are now funneled through LCFF, and funds received through categorical programs are greatly reduced. As under the revenue limit system, the amount a school district is entitled to receive for general-purpose LCFF funds is financed through the local property tax revenue available to the school district, with the remaining balance funded by the State.

Most public education funding from the State is provided through the LCFF, including approximately 80 percent of Proposition 98 funding for K-12 public education. As under the revenue limit system, school districts continue to receive funds based on the greater of prior year or current year ADA figures. Under LCFF, school districts across the State receive the same base grants for each grade span, based on ADA. In fiscal year 2018-19, the adjusted base grants are \$8,235 for kindergarten through third grade, \$7,571 for fourth through sixth grade, \$7,796 for seventh through eighth grade, and \$9,269 for ninth through twelfth grade. These figures include increases for class size reduction for kindergarten through third grade and career technical education for ninth through twelfth grade.

School districts receive a supplemental grant of 20 percent of the base grant for each student in the school district who is low-income, English-learner, or foster youth. Enrollment counts are "unduplicated," such that students may not be counted as both English-learner and low-income (foster youth automatically meet the eligibility requirements for free or reduced-price meals, and are therefore not discussed separately). School districts with more than 55 percent enrollment of unduplicated students receive a concentration grant, an additional 50 percent of the base grant for each unduplicated student above the threshold, intended to address the additional academic challenges faced by such students when their peers are similarly disadvantaged. The supplemental and concentration grants are allocated so that as a school district's proportion of unduplicated students increases, so does its total funding allocation. A school district in which 100 percent of enrollment is unduplicated students will receive 42.5 percent more total funding than a school district with no unduplicated students. The supplemental and concentration grant amounts are based on the unduplicated count of pupils divided by the total enrollment in the school district, based on the fall P-1 certified enrollment report. School districts have broad discretion to decide how to spend the base grant. The supplemental and concentration grants must be used to increase or improve services to the population they are intended to serve, although some services may be provided school district - or site-wide.

The implementation of LCFF began in fiscal year 2013-14, with full implementation planned by fiscal year 2020-21, but budgeted to be completed ahead of schedule in fiscal year 2018-19. Until full implementation has occurred, the difference between the actual amount school districts receive in a year and the target amount they will receive as of full implementation is referred to as the “funding gap.” The funding gap is determined by the difference between the “funding floor,” or amount of funding a school district received the prior year, and the target amount of funding the school district will receive at full implementation. The funding floor consists of the deficated revenue limit for fiscal year 2012-13 divided by ADA multiplied by current year ADA, plus the sum of any categorical funding. Sufficient funding was available to fund 12 percent of the funding gap in fiscal year 2013-14, 33 percent of the remaining gap in fiscal year 2014-15, 53 percent of the remaining gap in fiscal year 2015-16, 57 percent of the remaining gap in fiscal year 2016-17, 43 percent of the remaining gap in fiscal year 2017-18, and 100 percent of the remaining gap in fiscal year 2018-19 (budgeted), bringing LCFF to full implementation in the sixth year of its implementation.

Under the “hold harmless” provision, no school district will receive less State aid than it received in fiscal year 2012-13. Most school districts will receive more funding at full implementation of LCFF than they did previously under the revenue-limit system. For some school districts, their per-pupil undeficated fiscal year 2012-13 funding was higher than their LCFF entitlement at full implementation. Such school districts will have their undeficated funding level restored through a supplemental ERT add-on payment. School districts that are eligible for ERT funding will receive the difference between their LCFF target and their LEA’s fiscal year 2012-13 undeficated funding, adjusted for cost-of-living increases.

Community-funded school districts continue to receive at least the amount of State funding they received in fiscal year 2012-13. Although community-funded school districts do not receive LCFF funding grants, they must comply with the regulations and accountability requirements of LCFF. Community-funded school districts also continue to receive the constitutionally guaranteed \$120 per-pupil minimum as well the \$200 per-pupil minimum from the EPA pursuant to Proposition 30 as additional revenue. The School District is not a community-funded school district.

The State funds school districts in monthly installments based on calculations made in a series of three apportionments throughout the fiscal year. Each apportionment includes funding for the LCFF and for other State programs. The amount of each apportionment is based on calculations made by each school district and reviewed by its county office of education. The Advance Principal Apportionment (“Advance Apportionment”), certified by July 20, sets forth the amount the school district will receive for the year, paid in a series of installments from August through January. The First Principal Apportionment (“P-1 Apportionment”), certified by February 20, set forth a new calculation based on the school district’s first period ADA determined as of December, for installments that will be paid to the school district from February through June. The Second Principal Apportionment (“P-2 Apportionment”), certified July 2, based on second period ADA determined as of April, recalculates the amount of the final installment for the fiscal year paid to the school district in July. At the close of the fourth quarter, a final annual recalculation (“Annual Apportionment”) provides an updated estimate of the prior year’s adjustment.

In addition, school districts receive a quarterly allocation of the tax revenue deposited in the EPA from the temporary tax increases associated with Proposition 30 and extended under Proposition 55. The funds in the EPA are allocated between K-12 school districts and community college districts by 89 percent and 11 percent, respectively, and entitlements are calculated based on the adjusted LCFF entitlement of the school district. The EPA funds received by an LCFF-funded school district count towards the school district’s LCFF funding entitlement; community-funded school districts also receive the \$200 per-pupil EPA funding. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES” herein.

The LCFF requires each school district to demonstrate that its spending decisions are producing the desired results of increased student performance as stated in each school district’s own LCAP. Each school district must create its own annually updated LCAP with input from teachers, parents and the community, including the parents or guardians of unduplicated students. School districts must review and share the results to determine whether spending achieved the goals stated in the LCAP, for each school site and for the school district as a whole. All school districts must use the State’s LCAP template beginning fiscal year 2014-15. The LCAP must include a description of the annual goals to be achieved for each student group for each State priority, including the content standards adopted by the SBE. The LCAP of each school district is overseen and approved by the county superintendent.

Charter schools must comply with LCFF and receive mostly the same funds as public schools, although calculation of targeted disadvantaged students differs somewhat to prevent abuse of the system. There are also differences in the process of LCAP adoption and assessment. In the case of a charter school that fails to perform according to its LCAP, the State is not required to provide the same support that a public school district or county office of education receives, and its charter can be revoked.

Federal Funding. According to the LAO, federal revenue accounted for approximately nine percent of the State's K-12 public education funding in fiscal years 2016-17 and 2017-18, and is budgeted to account for approximately nine percent of funding in fiscal year 2018-19. Most of these funds are designated for particular purposes. There are no unfunded federal education mandates; each is conditioned on a state's voluntary decision to accept federal program funds. The primary source of federal supplemental education funding is the Elementary and Secondary Education Act ("ESEA") (1965), enacted to address inequality in education. The previous authorization of ESEA, the No Child Left Behind Act ("NCLB") (2001), expanded the federal government's role and increased testing requirements to measure improvement. Most recently reauthorized under the Every Student Succeeds Act ("ESSA") (2015), responsibility for school improvement has been shifted to the states. ESSA provides funding through six programs: Title I grants, tied to student assessment, to assist economically disadvantaged children; Title II grants for professional development; Title III grants for ancillary student services; Title IV grants for research and training; Title V grants for state departments; and Title VI grants for special education. Another significant source of federal funding for school districts is the Education for All Handicapped Children Act ("EHA") (1975), enacted to support special education and related services, reauthorized by the Individuals with Disabilities Education Act ("IDEA") (1990). The largest of the law's three sections, Part B, authorizes grants to states and local school districts to offset special education costs. As of fiscal year 2017, IDEA federal funding covered 14.6 percent of the estimated excess cost of educating students with disabilities; the shortfall is assumed by states and local school districts.

Local Property Tax Revenue. According to the LAO, local property taxes revenue accounted for approximately 24 percent of the State's K-12 public education funding in fiscal year 2016-17 and approximately 25 percent of funding in fiscal year 2017-18, and is budgeted to account for approximately 25 percent of funding in fiscal year 2018-19. Property taxes are constitutionally limited to one percent of the property's value, except to repay voter-approved debt.

Other Local Funds. According to the LAO, local miscellaneous revenue accounted for approximately five percent of the State's K-12 public education funding in fiscal years 2016-17 and 2017-18, and is budgeted to account for approximately five percent of funding in fiscal year 2018-19. There are several types of revenue a school district may receive from other local sources, including developer fees, parcel taxes, property lease revenues, and private donations. A school district may levy developer fees on new residential or commercial development within the school district's boundaries to finance the construction or renovation of school facilities. A school district may, with two-thirds approval from local voters, levy special taxes on parcels to fund specific programs within the school district. A school district may lease or sell its unused sites or facilities as another source of revenue. A school district may also seek contributions, sometimes channeled through private foundations established to solicit donations from local families and businesses.

The State Budget Process

Under the State Constitution, money may be drawn from the California Centralized Treasury System (the "State Treasury") only by an appropriation authorized by law. The primary source of annual appropriations authorizations is the budget act approved by the State Legislature and signed by the Governor (the "Budget Act"), which can provide for projected expenditures only to the amount of projected revenues and balances available from prior fiscal years.

The annual budget cycle begins when the Governor releases a proposed budget in January for the next fiscal year, which starts each July 1 and ends June 30. The Governor releases a revised budget in May based on new projections regarding State revenues and feedback from the State Legislature and other constituents. The State Constitution requires that the State Legislature pass the Budget Act by June 15 by majority approval from both Houses. The Governor may reduce or eliminate specific line items in the Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature.

Appropriations may also be included in legislation other than the Budget Act. Bills containing appropriations (including for K-14 education) must be approved by a majority vote in each House of the State Legislature, unless such appropriations require tax increases, in which case they must be approved by a two-thirds vote of each House of the State Legislature, and be signed by the Governor. The State Constitution or a State statute may also provide for continuing appropriations that are available without regard to fiscal year. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt.

The 2018-19 State Budget

On June 27, 2018, the Governor signed the Budget Act of 2018 and associated trailer bills to enact the fiscal year 2018-19 State budget (the "2018-19 State Budget"). Under the 2018-19 State Budget, State general fund revenues and transfers are

projected to total \$133.3 billion, an increase of \$3.5 billion (2.7 percent) from revised fiscal year 2017-18 estimates. The State's largest three sources of general fund tax revenue – personal income taxes, sales and use taxes, and corporate taxes – are projected to increase by 4.2 percent in fiscal year 2018-19. State general fund expenditures in fiscal year 2018-19 are projected to be \$138.7 billion, an increase of \$11.6 billion (9.2 percent) from revised fiscal year 2017-18 levels.

The State is projected to end fiscal year 2017-18 with total available general fund reserves of \$16.7 billion, including \$7.3 billion in the discretionary Special Fund for Economic Uncertainties (SFEU) reserve and \$9.4 billion in the Proposition 2 mandatory Budget Stabilization Account. The State is projected to end fiscal year 2018-19 with total available general fund reserves of \$15.9 billion, including \$2.0 billion in the Special Fund for Economic Uncertainties (SFEU) reserve, \$13.8 billion in the Budget Stabilization Account and \$200 million in the Safety Net Reserve, a new reserve fund created by the 2018-19 State Budget to save money specifically for CalWORKs and Medi-Cal, both of which have increased expenditures during recessions.

Under the 2018-19 State Budget, the Budget Stabilization Account is projected to reach a fiscal year 2018-19 ending balance of \$13.8 billion, equal to the constitutional maximum of 10 percent of estimated State general fund revenues, upon a \$2.6 billion optional deposit. This optional deposit will be placed into a new temporary reserve, the Budget Deficit Savings Account, until May 2019, at which time the amount will be adjusted and then deposited into the Budget Stabilization Account based on revised revenue estimates.

The following table identifies historical and budgeted State general fund revenues, expenditures and fund balances.

**State General Fund
2018-19 State Budget**

	2016-17 <u>Revised</u> (Millions)	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Enacted</u> (Millions)
Prior-year Fund Balance	\$5,029	\$5,702	\$8,483
Revenues and Transfers	118,669	129,825	133,332
Expenditures	<u>119,087</u>	<u>127,045</u>	<u>138,688</u>
Ending Fund Balance	\$4,610	\$8,483	\$3,127
Encumbrances	1,165	1,165	1,165
Special Fund for Economic Uncertainties	3,445	7,318	1,962
Reserves			
Special Fund for Economic Uncertainties	\$3,445	\$7,318	\$1,962
Budget Stabilization Account	6,713	9,410	13,768
Safety Net Reserve	--	--	<u>200</u>
Total Reserves	\$10,158	\$16,728	\$15,930

Source: The State Legislative Analyst's Office.

Education Funding. The 2018-19 State Budget includes total K-12 education funding of \$97.2 billion (\$56.1 billion from the State general fund and \$41.1 billion from other State funds). The 2018-19 State Budget funds the Proposition 98 minimum guarantee at \$78.4 billion, an increase of \$2.8 billion (3.7 percent) from revised fiscal year 2017-18 levels and an increase of \$31 billion (66 percent) from fiscal year 2011-12 levels, the depth of the State's budget crisis. The minimum guarantee for fiscal year 2018-19 is determined under Proposition 98's Test 2, operative when the increase in the minimum guarantee is attributable to an increase in *per capita* personal income (see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING SCHOOL DISTRICT REVENUES AND EXPENDITURES" herein). Of the \$78.4 billion Proposition 98 spending budgeted for fiscal year 2018-19, \$54.9 billion is from the State general fund and \$23.5 billion is from local property tax revenue. Proposition 98 K-12 per-pupil expenditures are \$11,645 in fiscal year 2018-19, an increase of \$579 (5.2 percent) per pupil from revised fiscal year 2017-18 levels and an increase of approximately \$4,633 (66.1 percent) per pupil from fiscal year 2011-12 levels.

The Proposition 98 maintenance factor, created in years in which State general fund revenue growth is slow or decreases compared to growth in *per capita* personal income, is calculated as the difference between the funding level that would have been budgeted had revenue growth been stronger and the lesser amount that is actually budgeted. The maintenance factor is

carried forward from year to year until the State's economy is strong enough to restore the difference by accelerating Proposition 98 funding. As a result of upward revisions to fiscal year 2017-18 Proposition 98 spending, the State is making an additional maintenance factor payment of \$789 million (on top of a previous \$536 million payment). After making the \$1.3 billion total payment, the State will have eliminated all remaining maintenance factor for the first time since fiscal year 2005-06.

The 2018-19 State Budget also creates a new Proposition 98 certification process so that the final calculation of the Proposition 98 minimum guarantee will not take as long to certify, beginning with the certification of the fiscal year 2017-18 Proposition 98 minimum guarantee in May 2019. The new process assigns a leadership role to the Director of Finance for the State and creates a defined review period for legal challenges. The 2018-19 State Budget also creates a similar process for adjusting spending when the final calculation of the minimum guarantee results in an increase or decrease, called the "Proposition 98 Cost Allocation Schedule."

Local Control Funding Formula The 2018-19 State Budget provides \$3.7 billion in new funding for LCFF, bringing total LCFF funding to \$61.1 billion in fiscal year 2018-19 and fully implementing the school district and charter school formula two years earlier than originally scheduled. LCFF funding in fiscal year 2018-19 includes both a 2.71 percent cost-of-living adjustment ("COLA") and an additional \$570 million above the COLA as an ongoing increase to the formula, effectively funding a 3.7 percent COLA.

The 2018-19 State Budget also provides \$300 million in one-time Proposition 98 State funding for the Low-Performing Students Block Grant, which will provide resources in addition to LCFF funds to local educational agencies with students who perform at the lowest levels on the State's academic assessments and do not generate supplemental LCFF funds or State or federal special education resources.

The 2018-19 State Budget provides for certain adjustments in education spending, including the following:

Statewide System of Support: \$57.8 million in Proposition 98 funding for county offices of education to provide technical assistance to school districts, of which \$4 million will go towards geographical regional leads to build system-wide capacity to support school district improvement.

Multi-Tiered Systems of Support (MTSS): \$15 million in one-time Proposition 98 funding to expand the State's MTSS framework to foster positive school climate in both academic and behavioral areas.

California Collaborative for Educational Excellence: \$13.3 million in one-time Proposition 98 funding for the California Collaborative for Educational Excellence (the "Collaborative") and a co-lead county office of education to help build capacity for community engagement in the LCAP process, as well as \$11.5 million in Proposition 98 funding to support the Collaborative in its role within the statewide system of support.

Special Education Local Plan Area (SELPA) Technical Assistance: \$10 million in Proposition 98 funding for SELPAs to assist county offices of education in providing technical assistance to school districts identified for differentiated assistance within the statewide system of support.

Dashboard Improvement: \$300,000 in one-time Proposition 98 funding to improve the user interface of the California School Dashboard.

LCFF Budget Summary for Parents: \$200,000 in one-time Proposition 98 funding to develop the electronic template for the LCFF Budget Summary for Parents, which will help stakeholders better understand funding decisions made within the LCAP.

LCAP Redesign: \$200,000 in one-time Proposition 98 funding to support intended future legislation to streamline the LCAP.

Career Technical Education (CTE): \$164 million in ongoing Proposition 98 funding to create a new K-12 Career Technical Education ("CTE") program funded through the Strong Workforce Program, which is administrated by the California Community College Chancellor's Office, in consultation with the State Department of Education, as well as \$150 million in ongoing Proposition 98 funding to make permanent the State's Career Technical Education Incentive Grant Program.

One-Time Discretionary Funding: \$1.1 billion in one-time Proposition 98 funding for school districts, charter schools and county offices of education to use at local discretion. Similar to features included in prior State budgets, these funds would offset any applicable mandate reimbursement claims for these entities.

Inclusive Early Education Expansion Program: \$167.2 million in one-time Proposition 98 funding to create the Inclusive Early Education Expansion Program through a competitive grant program to increase the availability of inclusive early education and care for children aged zero to five years old, especially in low-income areas and in areas with relatively low access to care.

Special Education, Bilingual, and STEM Teachers: \$75 million in one-time Proposition 98 funding to support locally sponsored, one-year intensive, mentored, clinical teacher preparation programs with \$50 million aimed at preparing and retaining special education teachers and \$25 million aimed at bilingual and STEM teachers; and \$50 million in onetime Proposition 98 funding to provide one-time competitive grants to local educational agencies to develop and implement new, or expand existing, locally identified solutions that address a local need for special education teachers.

Classified School Employee Summer Assistance Program: \$50 million in one-time Proposition 98 funding to provide State matching funds to classified school employees that elect to have a portion of their monthly paychecks withheld during the school year and then paid during the summer recess period.

Classified School Employee Professional Development Block Grant Program: \$50 million in one-time Proposition 98 funding for professional development opportunities for classified staff, with a priority on professional development for the implementation of school safety plans.

Charter School Facility Grant Program: \$21.1 million in one-time and \$24.8 million in ongoing Proposition 98 funding to reflect increases in programmatic costs.

Kids Code After School Program: \$15 million in one-time Proposition 98 funding to increase opportunities for students in after-school programs to access computer coding education.

Fire-Related Support: \$4.4 million in Proposition 98 funding over two years in property tax relief to schools impacted by the fires in Northern and Southern California in 2017, and an additional \$25 million in Proposition 98 funding relief through the LCFF. The 2018-19 State Budget also holds harmless the ADA used in calculating the LCFF for these counties for three years.

Fiscal Crisis and Management Assistance Team (FCMAT): \$972,000 in Proposition 98 funding to allow FCMAT to coordinate with county offices of education to offer more proactive and preventive services to fiscally distressed school districts, specifically those with a qualified interim budget status.

The following table identifies Proposition 98 budgeted funding levels for fiscal year 2018-19 and revised levels for fiscal years 2016-17 and 2017-18, both by segment of educational level and by source of funding.

**Proposition 98 Funding
2018-19 State Budget**

	2016-17 <u>Revised</u> (Millions)	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Enacted</u> (Millions)
Funding By Segment			
K-12 Education			
General Fund	\$43,701	\$46,240	\$47,507
Local Property Tax Revenue	<u>18,582</u>	<u>19,295</u>	<u>20,414</u>
Subtotal	\$62,283	\$65,535	\$67,920
Community Colleges			
General Fund	\$5,473	\$5,757	\$6,063 ³
Local Property Tax Revenue	<u>2,825</u>	<u>2,941</u>	<u>3,110</u>
Subtotal	\$8,299	\$8,698	\$9,173 ³
Preschool ¹	\$975	\$1,190 ²	\$1,215
Other Agencies ¹	<u>85</u>	<u>95</u>	<u>85</u>
Total	\$71,642	\$75,618	\$78,393
Funding By Source			
General Fund	\$50,234	\$53,381	\$54,870
Local Property Tax Revenue	<u>21,407</u>	<u>22,236</u>	<u>23,523</u>
Total	\$71,642	\$75,618	\$78,393

¹Consists entirely of State general fund.

²Includes \$167 million for one-time grants to fund the expansion of early education programs, including preschool. Excluding this amount, the preschool increase from fiscal year 2017-18 to fiscal year 2018-19 is \$93 million (8.3 percent).

³Includes \$164 million for the new K-12 component of the Strong Workforce Program. Excluding this amount, the increase from fiscal year 2017-18 to fiscal year 2018-19 is \$142 million (2.5 percent) for State general fund spending and \$310 million (3.6 percent) for total community college spending.

Figures may not total due to rounding.

Source: The State Legislative Analyst's Office.

The Proposed 2019-20 State Budget

On January 10, 2019, the Governor released the proposed State budget for fiscal year 2019-20 (the "Proposed 2019-20 State Budget"). Under the Proposed 2019-20 State Budget, State general fund revenues (excluding transfers) grow from \$135.9 billion in fiscal year 2017-18 to \$146.1 billion in fiscal year 2019-20, with revenues in fiscal years 2017-18 and 2018-19 combined \$5.7 billion higher than those estimated in the 2018-19 State Budget. Spending under the Proposed 2019-20 State Budget grows from \$124.7 billion in fiscal year 2017-18 to \$144.2 billion in fiscal year 2019-20. Fiscal year 2019-20 ends with \$18.5 billion in reserves, comprised of \$15.3 billion in the BSA, \$2.3 billion in the Special Fund for Economic Uncertainties and \$900 million in the Safety Net Reserve.

The Proposed 2019-20 State Budget allocates the majority of the projected \$20.6 billion in discretionary resources to one-time spending and reserves, with \$9.7 billion to reduce debts and liabilities, \$5.1 billion to one-time or temporary programmatic spending, \$3.0 billion to reserves and \$2.7 billion to ongoing spending. Of the \$9.7 billion in proposed spending to reduce debts and liabilities, \$4.4 billion would be allocated to repay budgetary liabilities, with an additional \$5.3 billion allocated to pay down unfunded pension liabilities (\$3.0 billion toward the State's unfunded PERS liability and \$2.3 billion toward school districts' share of the unfunded STRS liability). In addition, the Proposed 2019-20 State Budget uses increased capacity under

a proposed restructuring of Proposition 2 to pay an additional \$1.1 billion to reduce the State's share of the unfunded STRS liability.

The following table from the State Legislative Analyst's Office identifies historical and budgeted State general fund revenues and expenditures under the Proposed 2019-20 State Budget.

**State General Fund
Proposed 2019-20 State Budget**

	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Revised</u> (Millions)	2019-20 <u>Proposed</u> (Millions)
Prior-year Fund Balance	\$5,582	\$12,377	\$5,241
Revenues and Transfers	131,495	136,945	142,618
Expenditures	<u>124,699</u>	<u>144,082</u>	<u>144,192</u>
Ending Fund Balance	\$12,377	\$5,241	\$3,667
Encumbrances	1,385	1,385	1,385
Special Fund for Economic Uncertainties	10,992	3,855	2,282
Reserves			
Special Fund for Economic Uncertainties	\$10,992	\$3,855	\$2,282
Budget Stabilization Account	10,798	13,535	15,302
Safety Net Reserve	=	<u>900</u>	<u>900</u>
Total Reserves	\$21,790	\$18,291	\$18,484

Source: The State Legislative Analyst's Office.

Education Funding. After reaching a low of \$47.3 billion in fiscal year 2011-12, Proposition 98 funding would increase from \$77.9 billion in fiscal year 2018-19 to \$80.7 billion in fiscal year 2019-20 under the Proposed 2019-20 State Budget. Per-pupil spending from all funds is projected to be \$16,857 in fiscal year 2018-19 and \$17,160 in fiscal year 2019-20, the highest level ever. Ongoing Proposition 98 K-12 per-pupil expenditures would be \$12,003 in fiscal year 2019-20, an increase of \$435 per-pupil from fiscal year 2018-19 levels.

Separate from the proposal to pay down \$2.3 billion of the STRS unfunded liability, the Proposed 2019-20 State Budget would provide \$700 million over the next two years (\$350 million per year) from non-Proposition 98 State general fund sources to reduce school districts' required contribution rates to STRS during those years. Based on current assumptions, employer contribution rates would decrease from 18.13 percent to 17.1 percent in fiscal year 2019-20 and from 19.1 percent to 18.1 percent in fiscal year 2020-21. In addition, the \$2.3 billion proposed to pay down the STRS unfunded liability described above is estimated to reduce out-year employer contribution levels by approximately half a percentage point.

Additional significant proposals and adjustments regarding K-12 education funding contained in the Proposed 2019-20 State Budget include:

Local Control Funding Formula: A \$2 billion increase to LCFF reflecting a 3.46 percent cost-of-living adjustment and bringing total LCFF funding to \$63 billion.

Special Education: \$576 million in Proposition 98 funding (\$390 million ongoing and \$187 million one-time) to support expanded special education services and school readiness supports at local education agencies with large concentrations of students with disabilities.

State Preschool: \$125 million in non-Proposition 98 funding to increase access to subsidized full-day, full-year State preschool for four year old children.

Universal Full-Day Kindergarten: \$750 million in one-time non-Proposition 98 funding to eligible school districts to construct new or retrofit existing facilities for full-day kindergarten programs.

School Facilities Bond Funds: \$1.5 billion in Proposition 51 bond funds, an increase of \$906 million from fiscal year 2018-19 levels, to support school construction projects.

School District Average Daily Attendance: A decrease of \$388 million in Proposition 98 funding in fiscal year 2018-19 for school districts resulting from a decrease in average daily attendance from the 2018-19 State Budget, and a decrease of \$187 million in Proposition 98 funding in fiscal year 2019-20 for school districts resulting from a further projected decline in average daily attendance in fiscal year 2019-20.

Local Property Tax Adjustments: A decrease of \$283 million in Proposition 98 funding in fiscal year 2018-19 for school districts and county offices of education as a result of higher offsetting property tax revenues, and a decrease of \$1.25 billion in Proposition 98 funding in fiscal year 2019-20 for school districts and county offices of education as a result of increased higher offsetting property tax revenues.

Cost-of-Living-Adjustments: An increase of \$187 million in Proposition 98 funding to support a 3.46 percent cost-of-living adjustment for categorical programs that remain outside of LCFF.

CalWORKs Stages 2 and 3 Child Care: A net increase of \$119.4 million in non-Proposition 98 funding in fiscal year 2019-20 to reflect increases in the number of CalWORKs child care cases.

The following table from the State's Legislative Analyst's Office identifies historical and proposed Proposition 98 funding under the Proposed 2019-20 State Budget.

**Proposition 98 Funding
Proposed 2019-20 State Budget**

	2017-18 <u>Revised</u> (Millions)	2018-19 <u>Revised</u> (Millions)	2019-20 <u>Proposed</u> (Millions)
Funding By Segment			
K-12 Education			
General Fund	\$47,130	\$47,973	\$49,179
Local Property Tax Revenue	<u>19,648</u>	<u>20,720</u>	<u>22,064</u>
Subtotal	\$66,778	\$68,693	\$71,242
Community Colleges			
General Fund	\$5,757	\$6,055	\$6,117
Local Property Tax Revenue	<u>2,963</u>	<u>3,119</u>	<u>3,321</u>
Subtotal	\$8,720	\$9,174	\$9,438
Total	\$75,498	\$77,867	\$80,680
Funding By Source			
General Fund	\$52,887	\$54,028	\$55,295
Local Property Tax Revenue	<u>22,610</u>	<u>23,839</u>	<u>25,384</u>
Total	\$75,498	\$77,867	\$80,680

Includes funding for instruction provided directly by State agencies and the portion of State preschool funded through Proposition 98.

Figures may not total due to rounding.

Source: The State Legislative Analyst's Office.

On May 9, 2019, the Governor released the 2019-20 May Revision to the Proposed 2019-20 State Budget. The 2019-20 May Revision projects short-term revenues to be \$3.2 billion higher than those projected in the Proposed 2019-20 State Budget. However, most of the increased revenues are constitutionally obligated to reserves, debt payment and schools. As a result, the budget surplus in the 2019-20 May Revision remains relatively unchanged from that projected in the Proposed 2019-20 State Budget.

Despite the short-term gains in projected revenues, slower economic growth leads to lower forecasted out-year revenues in the 2019-20 May Revision—\$1.6 billion lower in fiscal year 2022-23 compared to the Proposed 2019-20 State Budget. To maintain structural balance in each year over the forecast period, the 2019-20 May Revision proposes to sunset certain program expansions at the end of December 31, 2021, including programs in which the growth of expenditures continues to outpace long-term revenue growth.

The 2019-20 May Revision allocates \$15 billion to building budgetary resiliency and paying down the State's unfunded liabilities—\$1.4 billion more than proposed in the Proposed 2019-20 State Budget. This includes \$4.5 billion to eliminate debts and reverse deferrals, \$5.7 billion to build reserves and \$4.8 billion to pay down unfunded retirement liabilities. An additional \$1.2 billion deposit to the Budget Stabilization Account in the 2019-20 May Revision brings the balance in that reserve to \$16.5 billion in fiscal year 2019-20. The Budget Stabilization Account is now projected to reach the constitutional cap of 10 percent of State general fund revenues in fiscal year 2020-21, two years earlier than predicted in the Proposed 2019-20 State Budget.

Education Funding. The 2019-20 May Revision includes total K-12 education program funding of \$101.8 billion (\$58.9 billion from the State general fund and \$42.9 billion from other funds). Total K-14 Proposition 98 funding in the 2019-20 May Revision is \$75.6 billion in fiscal year 2017-18, \$78.1 billion in fiscal year 2018-19 and \$81.1 billion in fiscal year 2019-20, increases of \$78.4 million, \$278.8 million and \$389.3 million, respectively, from the levels in the Proposed 2019-20 State Budget. These changes are due largely to increases in State general fund revenues, an increase in the minimum guarantee funding level in fiscal year 2017-18 due to increases in prior year apportionment costs, and a slightly lower decline in average daily attendance than that projected in the Proposed 2019-20 State Budget.

Additional significant proposals and adjustments regarding K-12 education funding contained in the 2019-20 May Revision include:

Public School System Stabilization Account: Under the 2019-20 May Revision, \$389.3 million in Proposition 98 funding is reserved in the Public School System Stabilization Account (PSSSA) established under Proposition 2 (2014), the first time a deposit to the PSSSA would occur. Under current law, there is a cap on school district reserves in fiscal years immediately succeeding those in which the balance in the PSSSA is equal to or greater than 3 percent of the total K-12 share of the Proposition 98 Guarantee (approximately \$2.1 billion). Because the balance in fiscal year 2019-20 is equal to the amount of the deposit (\$389.3 million), school district reserve caps are not required in fiscal year 2020-21.

Special Education: The 2019-20 May Revision proposes to allocate \$696.2 million in Proposition 98 funding to special education, an increase of \$119.2 million from the Proposed 2019-20 State Budget.

Retaining and Supporting Educators: The 2019-20 May Revision includes \$89.8 million one-time non-Proposition 98 State general fund to provide an estimated 4,500 loan assumptions (repayments) of up to \$20,000 for newly credentialed teachers to work in high-need schools for at least four years. Additionally, the 2019-20 May Revision includes \$44.8 million one-time non-Proposition 98 State general fund to provide training and resources for classroom educators, including teachers and paraprofessionals. Finally, the 2019-20 May Revision includes \$13.9 million ongoing federal funds for professional learning opportunities for public K-12 school administrators to provide the knowledge, skills, and competencies necessary to successfully support the diverse student population served in State public schools.

Computer Science: The 2019-20 May Revision includes \$15 million one-time non-Proposition 98 State general fund for broadband infrastructure and \$1 million one-time non-Proposition 98 State general fund, available over four years, to the State Board of Education to establish a State Computer Science Coordinator.

STRS Employer Contribution Rate: The Proposed 2019-20 State Budget included funding to reduce employer contributions to STRS from 18.13 percent (of covered salaries) to 17.1 percent in fiscal year 2019-20. The 2019-20 May Revision adds \$150 million one-time non-Proposition 98 State general fund to reduce the employer contribution rate to 16.7 percent in fiscal year 2019-20.

Local Control Funding Formula: The 2019-20 May Revision includes an increase of \$70 million in Proposition 98 funding in fiscal year 2018-19 and a decrease of \$63.9 million in Proposition 98 funding in fiscal year 2019-20 for school districts, charter schools and county offices of education reflecting changes in average daily attendance and cost-of-living adjustments (in fiscal year 2019-20 only) that affect the LCFF calculation.

Classified School Employees Summer Assistance Program: The 2019-20 May Revision includes an increase of \$36 million one-time non-Proposition 98 State general fund to provide an additional year of funding for the Classified School Employees

Summer Assistance Program (which provides a State match for classified employee savings used to provide income during summer months).

Local Property Tax Adjustments: The 2019-20 May Revision includes an increase of \$146.6 million in Proposition 98 funding in fiscal year 2018-19 and \$142.1 million in Proposition 98 funding in fiscal year 2019-20 for school districts, special education local plan areas and county offices of education as a result of lower offsetting property tax revenues in both years.

Categorical Program Cost-of-Living-Adjustments: The 2019-20 May Revision includes a decrease of \$7.4 million in Proposition 98 funding to selected categorical programs in fiscal year 2019-20 to reflect a change in the cost-of-living factor from 3.46 percent in the Proposed 2019-20 State Budget to 3.26 percent in the 2019-20 May Revision.

Categorical Program Growth: The 2019-20 May Revision includes an increase of \$7.6 million in Proposition 98 funding for selected categorical programs based on updated estimates of average daily attendance.

Future Budgets

The School District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the School District will have no control. Certain actions could result in a significant shortfall of revenue and cash, and could impair the State's ability to fund schools as budgeted. State budget shortfalls in future fiscal years could have an adverse financial impact on the School District.

For more information on the State budget, please refer to the State Department of Finance's website at www.dof.ca.gov and to the LAO's website at www.lao.ca.gov. The School District takes no responsibility for the continued accuracy of these Internet addresses or for the accuracy, completeness or timeliness of the information presented therein, and such information is not incorporated herein by such reference.

LEGAL MATTERS

Litigation

There is no action, suit or proceeding known by the School District to be pending or threatened restraining or enjoining the sale or delivery of the Bonds, or in any way contesting or affecting the validity thereof or any proceeding of the School District taken with respect to the issuance or sale of the Bonds, or the pledge or application of moneys or security provided for the payment of the Bonds, or the authority of Stanislaus County or Merced County to levy property taxes to pay principal of and interest on the Bonds when due.

The School District may be or may become a party to lawsuits and claims which are unrelated to the Bonds or actions taken with respect to the Bonds and which have arisen in the normal course of operating the School District. The School District maintains certain insurance policies which provide coverage under certain circumstances and with respect to certain types of incidents. In the opinion of the School District, there currently are no claims or actions pending which could have a material adverse effect on the financial position or operations of the School District. The School District cannot predict what types of claims may arise in the future.

Legal Opinion

The proceedings in connection with the authorization, sale, execution and delivery of the Bonds are subject to the approval as to their legality of Parker & Covert LLP, Bond Counsel. A form of the legal opinion is attached hereto as "APPENDIX C—FORM OF OPINION OF BOND COUNSEL."

Bond Counsel's employment is limited to a review of the legal proceedings required for authorization of the Bonds and to rendering the aforementioned opinion. Bond Counsel has not been engaged by the School District to undertake, and has not undertaken, any responsibility for the accuracy, completeness, or fairness of this Official Statement, and the opinion of Bond Counsel will not extend to any documents, agreements, representations, offering circulars, official statements or other material

of any kind concerning the Bonds that are not referred to in the aforementioned opinion. The fees of Bond Counsel are contingent upon the issuance and delivery of the Bonds.

Limitations on Remedies; Amounts Held in the Stanislaus County Pool

The opinion of Bond Counsel with respect to the enforceability of the rights of the Registered Owners and Beneficial Owners is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights. Bankruptcy proceedings, if initiated, could subject the Registered Owners and Beneficial Owners to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

Stanislaus County on behalf of the School District is expected to be in possession of the annual *ad valorem* property taxes and certain funds to repay the Bonds and may invest these funds in the Stanislaus County Pool, as described under the caption "STANISLAUS COUNTY TREASURY POOL" herein and in "APPENDIX D—STANISLAUS COUNTY TREASURY POOL INVESTMENT POLICY" attached hereto. In the event the School District or Stanislaus County were to go into bankruptcy, a federal bankruptcy court might hold that the Registered Owners and Beneficial Owners are unsecured creditors with respect to any funds received by the School District or by Stanislaus County prior to the bankruptcy, which may include taxes that have been collected and deposited into the Tax Collection Fund, where such amounts are deposited into the Stanislaus County Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the Registered Owners and Beneficial Owners can "trace" those funds. There can be no assurance that the Registered Owners and Beneficial Owners could successfully so "trace" such taxes on deposit in the Tax Collection Fund where such amounts are invested in the Stanislaus County Pool. The Resolution and the Government Code require Stanislaus County and Merced County to annually levy *ad valorem* property taxes upon all property subject to taxation by the School District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates) for the payment of the principal of and interest on the Bonds.

Tax Matters

The following discussion of federal income tax matters written to support the promotion and marketing of the Bonds was not intended or written to be used, and cannot be used, by a taxpayer for the purpose of avoiding federal tax penalties that may be imposed. Each taxpayer should seek advice based on the taxpayer's particular circumstances from an independent tax advisor.

In the opinion of Parker & Covert LLP, Sacramento, California, Bond Counsel, based upon the analysis of existing statutes, regulations, ruling and court decisions, and assuming, among other things, the accuracy of certain representations and compliance with certain covenants, the interest on the Bonds is excludable from gross income for federal income tax purposes and is exempt from State of California personal income taxes. Bond Counsel is also of the opinion that interest on the Bonds is not an item of tax preference for purposes of the alternative minimum tax imposed on individuals. A complete copy of the proposed form of opinion of Bond Counsel is set forth in "APPENDIX C—FORM OF OPINION OF BOND COUNSEL" attached hereto.

The amount, if any, by which the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds) constitutes "original issue discount," the accrual of which, to the extent properly allocable to each owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and which is exempt from State personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons, or organizations acting in the capacity of underwriters, placement agents, or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of purchasers who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount greater than their principal amount payable on their respective maturity dates (or, in some cases, at their earlier call date) (“Premium Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, a purchaser’s basis in a Premium Bond, and under Treasury Regulations the amount of tax-exempt interest received, will be reduced by the amount of amortizable premium properly allocable to such purchaser. Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable premium in their particular circumstances.

The Internal Revenue Code of 1986, as amended, (the “Code”) imposes various restrictions, conditions, and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The School District has covenanted to comply with certain restrictions designed to assure that interest on the Bonds will not be included in federal gross income. Failure to comply with these covenants may result in interest on the Bonds being included in federal gross income, possibly from the date of issuance of the Bonds. The opinion of Bond Counsel assumes compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring) after that date of issuance of the Bonds may adversely affect the tax status of interest on the Bonds. Prospective Owners are urged to consult their own tax advisors with respect to proposals to restructure the federal income tax.

Certain requirements and procedures contained or referred to in the Resolution, the tax certificate to be entered into on the date of issuance of the Bonds (the “Tax Certificate”), and other relevant documents may be changed and certain actions (including, without limitation, defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. Bond Counsel expresses no opinion as to any Bond or the interest thereon if any such change occurs or action is taken or omitted upon the advice or approval of bond counsel other than Parker & Covert LLP, Sacramento, California.

Although Bond Counsel expects to render an opinion that interest on the Bonds is excludable from gross income for federal income tax purposes and exempt from State personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may otherwise affect a Beneficial Owner’s federal or state tax liability. The nature and extent of these other tax consequences will depend upon the particular tax status of the Beneficial Owner or the Beneficial Owner’s other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

In addition, no assurance can be given that any future legislation, including amendments to the Code, if enacted into law, or changes in interpretation of the Code, will not cause interest on the Bonds to be subject, directly or indirectly, to federal and/or state income taxation, or otherwise prevent Beneficial Owners of the Bonds from realizing the full current benefit of the tax status of such interest. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal and/or state tax legislation. Further, no assurance can be given that the introduction or enactment of any such future legislation, or any action of the Internal Revenue Service (“IRS”), including but not limited to regulation, ruling, or selection of the Bonds for audit examination, or the course or result of any IRS examination of the Bonds, or obligations that present similar tax issues, will not affect the market price or liquidity of the Bonds.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium, and other similar laws affecting creditor’s rights heretofore or hereafter enacted to the extent constitutionally applicable, and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases.

The IRS has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and target audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds).

The complete text of the final opinion that Bond Counsel expects to deliver upon the issuance of the Bonds is set forth in “APPENDIX C—FORM OF OPINION OF BOND COUNSEL” attached hereto.

Legality for Investment in California

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors, and under provisions of the Government Code, are eligible to secure deposits of public moneys in the State.

RATING

Moody's Investors Service ("Moody's") has assigned a municipal bond rating of "Aa3" to the Bonds. Such rating reflects only the views of Moody's, and an explanation of the significance of such rating may be obtained from Moody's. Moody's may have obtained and considered information and material which has not been included in this Official Statement. Generally, a rating agency bases its rating on information and material so furnished and on investigations, studies and assumptions made by them. The rating is not a recommendation to buy, sell or hold the Bonds. There is no assurance that any such rating will continue for any given period of time or that any such rating will not be revised downward or withdrawn entirely by the rating agency, if, in the judgment of the rating agency, circumstances so warrant. The School District has not undertaken any responsibility to assure the maintenance of the rating or to oppose any such revision or withdrawal. Any such downward revision or withdrawal of any such rating may have an adverse effect on the market price of the Bonds.

MUNICIPAL ADVISOR

Government Financial Strategies inc. has been employed by the School District to perform municipal advisory services in relation to the sale and delivery of the Bonds. Government Financial Strategies inc., in its capacity as Municipal Advisor, has prepared this Official Statement. Government Financial Strategies inc. has not, however, independently verified nor confirmed all of the information contained within this Official Statement. Government Financial Strategies inc. will not participate in the underwriting of the Bonds. Fees charged by Government Financial Strategies inc. are not contingent upon the sale of the Bonds.

INDEPENDENT AUDITOR

The financial statements of the School District as of and for the year ended June 30, 2018, have been audited by Vavrinek, Trine, Day & Co., LLP, Fresno, California. The audited financial statements of the School District as of and for the year ended June 30, 2018, are set forth in "APPENDIX A—AUDITED FINANCIAL STATEMENTS OF THE SCHOOL DISTRICT FOR THE YEAR ENDED JUNE 30, 2018" attached hereto. The School District has not requested nor did the School District obtain permission from the Auditor to include the audited financial statements as an appendix to this Official Statement. The Auditor has not been engaged to perform and has not performed, since the date of its report attached hereto, any procedures on the financial statements addressed in that report. The Auditor also has not performed any procedures relating to this Official Statement.

UNDERWRITING AND INITIAL OFFERING PRICE

Following a competitive sale process, the Bonds will be purchased by Robert W. Baird & Co. Incorporated (the "Underwriter") pursuant to a bond purchase agreement (the "Purchase Agreement") by and between the School District and the Underwriter at a price of \$13,619,566.95 (equal to the principal amount of the Bonds of \$13,600,000.00, plus a net original issue premium of \$157,936.95, less an underwriting discount of \$138,370.00).

The obligation of the Underwriter to purchase the Bonds is subject to certain terms and conditions set forth in the Purchase Agreement. The Underwriter intends to offer the Bonds to the public at the initial offering prices and yields stated on the inside cover page hereof. The Underwriter may offer and sell the Bonds to certain dealers and others at prices lower than said public offering prices. The offering prices may be changed from time to time by the Underwriter.

On April 1, 2019, Baird Financial Corporation, the parent company of the Underwriter, acquired HL Financial Services, LLC, its subsidiaries, affiliates and assigns (collectively "Hilliard Lyons"). As a result of such common control, the Underwriter, Hilliard Lyons and Hilliard Lyons Trust Company are now affiliated. It is expected that Hilliard Lyons will merge with and into the Underwriter later in 2019.

CONTINUING DISCLOSURE

The School District will covenant for the benefit of the holders and Beneficial Owners of the Bonds to annually provide certain financial information and operating data relating to the School District (the “Annual Report”) by not later than nine and one-half months after the end of the fiscal year, commencing with the report for fiscal year 2018-19 (which is due no later than April 15, 2020), and to provide notices of the occurrence of certain enumerated events. The Annual Report and notices of certain enumerated events will be filed by the School District with the MSRB through EMMA. The specific nature of the information to be contained in the Annual Report and the notices is specified in “APPENDIX B—FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto. These covenants are being made in order to assist the Underwriter in complying with SEC Rule 15c2-12(b)(5) (the “Rule”).

In the past five years, the School District has not complied in all respects with its previous undertakings with regard to said Rule to provide annual reports and notices of significant events. The following notices of significant events were posted more than ten business days after their occurrence:

- On May 21, 2014, Moody’s upgraded the rating of National Public Finance Guarantee Corporation, insurer of the 2005 Certificates, resulting in an upgrade in the rating of the 2005 Certificates. Notice of the upgrade was not posted until June 25, 2014.
- On December 19, 2017, S&P Global Ratings (“S&P”) upgraded the underlying ratings of the 2013 Refunding Bonds, the 2015 USD Refunding Bonds and the 2015 SFID Refunding Bonds. Notices of the upgrades were not posted until March 20, 2018. Since the bond insurer for the 2013 Refunding Bonds, the 2015 USD Refunding Bonds and the 2015 SFID Refunding Bonds was rated “AA” by S&P, the rating on the 2013 Refunding Bonds, the 2015 USD Refunding Bonds and the 2015 SFID Refunding Bonds remained “AA” after the underlying rating upgrade.

The District has implemented procedures to assist in complying with its continuing disclosure undertakings. The procedures have been amended in response to two new event notices that were added effective February 27, 2019 to the list of events for which notice is required by the Rule. As of the date of this Official Statement, the School District has made all required filings in the past five years for currently outstanding issues in connection with prior undertakings under the Rule.

ADDITIONAL INFORMATION

Additional information concerning SFID No. 1, the School District, the Bonds or other matters concerning the sale and delivery of the Bonds may be obtained by contacting Turlock Unified School District, 1574 East Canal Drive, Turlock, California 95380, (209) 667-0632, Attention: Assistant Superintendent, Business Services, or by contacting the Municipal Advisor, Government Financial Strategies inc., 1228 N Street, Suite 13, Sacramento, California 95814-5609, telephone (916) 444-5100.

All of the preceding summaries of the Bonds, the Resolution, the Paying Agent Agreement and other documents are made subject to the provisions of such documents respectively, and do not purport to be complete statements of any or all of such provisions. Reference is hereby made to such documents on file with the School District for further information in connection therewith. Further, this Official Statement does not constitute a contract with the purchasers of the Bonds, and any statements made in this Official Statement involving matters of opinion or of estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized.

The execution and delivery of this Official Statement by the School District has been duly authorized by the School Board.

Turlock Unified School District

By: /s/ Dana Salles Trevethan
Dana Salles Trevethan
Superintendent

APPENDIX A

AUDITED FINANCIAL STATEMENTS OF THE SCHOOL DISTRICT
FOR THE YEAR ENDED JUNE 30, 2018

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TURLOCK UNIFIED SCHOOL DISTRICT

ANNUAL FINANCIAL REPORT

JUNE 30, 2018

TURLOCK UNIFIED SCHOOL DISTRICT

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TURLOCK UNIFIED SCHOOL DISTRICT

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FINANCIAL SECTION



VAVRINEK, TRINE, DAY & CO., LLP
Certified Public Accountants

VALUE THE *difference*

INDEPENDENT AUDITOR'S REPORT

Governing Board
Turlock Unified School District
Turlock, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Turlock Unified School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Turlock Unified School District, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 and Note 16 to the financial statements, in 2018, the District adopted new accounting guidance, GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 5 through 11, budgetary comparison schedule on page 68, schedule of changes in the District's total OPEB liability and related ratios on page 69, schedule of the District's proportionate share of the net pension liability on page 70, and the schedule of District contributions on page 71, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Turlock Unified School District's basic financial statements. The accompanying supplementary information such as the combining and individual non-major fund financial statements and Schedule of Expenditures of Federal Awards, as required by *Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* as listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 12, 2018, on our consideration of the Turlock Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Turlock Unified School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Turlock Unified School District's internal control over financial reporting and compliance.

Varrinck, Trine, Day + Co. LLP

Fresno, California
December 12, 2018



This section of Turlock Unified School District's 2017-2018 annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2018. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the Turlock Unified School District (the District) and its component units using the integrated approach as prescribed by GASB Statement Number 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. These statements include all assets of the District (including capital assets), as well as all liabilities (including long-term obligations). Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables and receivables.

The *Fund Financial Statements* include statements for each of the three categories of activities: governmental, proprietary, and fiduciary.

The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Proprietary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

The *Fiduciary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Turlock Unified School District.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The *Statement of Net Position* and the *Statement of Activities* report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the *Statement of Net Position* and the *Statement of Activities*, we present the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade twelve students, adult education students, and the on-going effort to improve and maintain buildings and sites. Property taxes, state income taxes, user fees, interest income, federal, state and local grants, as well as general obligation bonds, finance these activities.

Business-Type Activities - The District charges fees to help it cover the costs of certain services it provides. The District's cafeteria vending program is included here.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the *Statement of Net Position* and the *Statement of Activities*. An internal service fund is used to report activities that provide services for the District's other programs and activities, such as the District's Self-Insurance Fund. The internal service fund is reported with governmental activities in the government-wide financial statements. The District's Cafeteria Enterprise Fund is used to report the District's business-type activities for its vending program.

THE DISTRICT AS TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or *fiduciary*, for funds held on behalf of others, like our funds for associated student body activities and scholarships. The District's fiduciary balances are reported in the *Fiduciary Funds Statement of Net Position*. We exclude these amounts from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$73.2 million for the fiscal year ended June 30, 2018, and \$63.9 million for the fiscal year ended June 30, 2017; an increase of \$9.3 million. Of this amount, \$19.8 million was restricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the School Board's ability to use net position for day-to-day operations. Our analysis below focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

Table 1

	Governmental Activities			Business-Type Activities		
	2018	2017, as restated	Change	2018	2017	Change
Assets						
Current and other assets	\$ 122,847,116	\$ 116,754,180	\$ 6,092,936	\$ 3,902	\$ 20,288	\$ (16,386)
Capital assets	168,361,719	162,251,177	6,110,542	89,189	104,859	(15,670)
Total Assets	291,208,835	279,005,357	12,203,478	93,091	125,147	(32,056)
Deferred Outflows of Resources	46,194,541	28,255,221	17,939,320	6,824	5,536	1,288
Liabilities						
Current liabilities	12,333,734	12,818,985	(485,251)	5,928	39,185	(33,257)
Long-term liabilities	81,786,841	83,717,296	(1,930,455)	-	-	-
Aggregate net pension liability	160,429,186	139,900,811	20,528,375	17,346	18,119	(773)
Total Liabilities	254,549,761	236,437,092	18,112,669	23,274	57,304	(34,030)
Deferred Inflows of Resources	9,625,130	6,916,731	2,708,399	367	544	(177)
Net Position						
Net investment in capital assets	124,481,491	117,507,323	6,974,168	89,189	104,859	(15,670)
Restricted	19,756,514	18,711,586	1,044,928	-	-	-
Unrestricted	(71,009,520)	(72,312,154)	1,302,634	(12,915)	(32,024)	19,109
Total Net Position	\$ 73,228,485	\$ 63,906,755	\$ 9,321,730	\$ 76,274	\$ 72,835	\$ 3,439

The \$73.2 million net position of the governmental activities represents the accumulated results of all past years' governmental operations. Unrestricted net position – the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements increased by \$1.3 million.

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the *Statement of Activities*. Table 2 takes the information from the Statement and rearranges them slightly so you can see our total revenues for the year.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

Table 2

	Governmental Activities			Business-Type Activities		
	2018	2017	Change	2018	2017	Change
Revenues						
Program revenues:						
Charges for services	\$ 5,353,375	\$ 6,574,537	\$ (1,221,162)	\$ 109,364	\$ 113,777	\$ (4,413)
Operating grants and contributions	31,252,587	27,402,042	3,850,545	-	-	-
General revenues:						
Federal and State aid not restricted	106,363,736	104,098,320	2,265,416	-	-	-
Property taxes	36,614,831	31,035,755	5,579,076	-	-	-
Other general revenues	6,433,366	3,555,287	2,878,079	10,884	197	10,687
Total Revenues	186,017,895	172,665,941	13,351,954	120,248	113,974	6,274
Expenses						
Instruction-related	131,870,104	125,959,659	5,910,445	-	-	-
Pupil services	15,678,115	13,703,951	1,974,164	-	-	-
Administration	7,769,145	6,876,995	892,150	-	-	-
Plant services	13,433,381	12,123,622	1,309,759	-	-	-
Other	7,945,420	7,315,466	629,954	116,809	149,730	(32,921)
Total Expenses	176,696,165	165,979,693	10,716,472	116,809	149,730	(32,921)
Change in Net Position	\$ 9,321,730	\$ 6,686,248	\$ 2,635,482	\$ 3,439	\$ (35,756)	\$ 39,195

Governmental Activities

As reported in the *Statement of Activities*, the cost of all of our governmental activities this year was \$176.7 million as compared to \$166.0 million in the prior year. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$36.6 million because the cost was paid by those who benefited from the programs (\$5.4 million) or by other governments and organizations who subsidized certain programs with grants and contributions (\$31.3 million). We paid for the remaining "public benefit" portion of our governmental activities with \$106.4 million in State and Federal unrestricted funds and with \$6.4 million in other revenues, like interest and general entitlements.

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$110.7 million as compared to \$103.9 million in the prior year, which is an overall increase of \$6.8 million from last year. The General Fund balance increased by more than \$6.0 million primarily due to increased State funding. The Building Fund showed a decrease of nearly \$2.3 million due to capital outlay. The Capital Facilities Fund showed a decrease of nearly \$1.0 million as capital outlay exceeded developer fees. The Special Reserve Capital Outlay Fund increased by about \$2.9 million as transfers in for current capital projects from the General Fund exceeded capital outlay. The District's non-major governmental funds increased by approximately \$1.1 million due primarily to an increase in the Bond Interest and Redemption Fund as property taxes levied for debt service exceeded current required debt payments.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

General Fund Budgetary Highlights

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. A schedule showing the District's General Fund original and final budget amounts compared with amounts actually paid and received is provided in our annual report. The District originally budgeted an increase in General Fund balance of approximately \$2.0 million, however, revenues and transfers in were about \$6.5 million more than expected, and expenditures and transfers out were approximately \$2.4 million less than expected, leaving the fund with an actual increase of about \$6.1 million.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2018, the District had \$168.4 million in a broad range of capital assets, including land, buildings, and furniture and equipment (net of accumulated depreciation). This amount represents a net increase (including additions, deductions and depreciation) of \$6.1 million from last year.

Table 3

	Governmental Activities		
	2018	2017	Change
Land and construction in progress	\$ 16,507,665	\$ 16,764,934	\$ (257,269)
Buildings and improvements	260,096,476	246,207,808	13,888,668
Equipment	18,604,659	18,101,743	502,916
Less accumulated depreciation	(126,847,081)	(118,823,308)	(8,023,773)
Total	\$ 168,361,719	\$ 162,251,177	\$ 6,110,542

Additions include: renovation of the Special Education facilities on Colorado, Bond Measures N and O fencing and modernization projects; construction and equipment for the new Child Nutrition Education Center (CNEC); replacement of aging vehicles and equipment; renovation of facilities at Turlock High School, Pitman High School, Turlock Junior High School, Dutcher Middle School, Wakefield Elementary School, and the District Office; the addition of classrooms at Wakefield Elementary School; installing LED lighting throughout the District; security cameras at CNEC and Medeiros Elementary School; plumbing at Roselawn High School; wireless communication throughout the District; track and field improvements at Walnut Education Center; and turf replacement at Debely Stadium. The District also disposed of assets that had been replaced, upgraded or that were no longer in use. We present more detailed information about our capital assets in the Notes to Financial Statements.

TURLOCK UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

Long-Term Obligations

At the end of this year, the District had \$81.8 million in long-term obligations outstanding versus \$83.7 million last year, a decrease of \$1.9 million. These obligations consisted of:

Table 4

	Governmental Activities		
	2018	2017, as restated	Change
General obligation bonds (including premiums)	\$ 61,777,127	\$ 64,534,489	\$ (2,757,362)
Certificates of participation	5,970,369	6,342,739	(372,370)
Children's facility loan	42,000	63,000	(21,000)
Compensated absences	232,603	221,497	11,106
Other postemployment benefits	13,764,742	12,555,571	1,209,171
Total	\$ 81,786,841	\$ 83,717,296	\$ (1,930,455)

The District's general obligation bond Moody's rating at the time of their last issuance was "Aa3". We present more detailed information regarding our long-term liabilities in the Notes to Financial Statements.

Net Pension Liability (NPL)

As of June 30, 2015, the District implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*, which required the District to recognize its proportionate share of the unfunded pension obligation for CalSTRS and CalPERS. As of June 30, 2018, the District reported Deferred Outflows from pension activities of \$45.8 million, Deferred Inflows from pension activities of \$9.6 million, and a Net Pension Liability of \$160.4 million. We present more detailed information regarding our net pension liability in the Notes to Financial Statements.

FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared, factors affecting the District's future include:

- Significant increased costs and contributions to Special Education
- Increased contributions to CalSTRS and CalPERS to cover projected liabilities for pension benefits earned to date
- Aging infrastructure which will require major repairs, updates, placement, and renovation
- Uncertainties with changes to LCFF and possible economic downturn

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, parents, investors, and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need additional financial information, please contact the Assistant Superintendent of Finance & Accountability, Turlock Unified School District, 1574 East Canal Drive, P.O. Box 819013, Turlock, CA 95380.

TURLOCK UNIFIED SCHOOL DISTRICT

STATEMENT OF NET POSITION JUNE 30, 2018

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Deposits and investments	\$ 118,807,335	\$ 1,832	\$ 118,809,167
Receivables	2,856,483	-	2,856,483
Internal balances (Due from other funds)	4,932	-	4,932
Prepaid expenses	609,014	-	609,014
Stores inventories	569,352	2,070	571,422
Capital assets not being depreciated	16,507,665	-	16,507,665
Capital assets being depreciated	278,701,135	183,492	278,884,627
Accumulated depreciation	(126,847,081)	(94,303)	(126,941,384)
Total Assets	291,208,835	93,091	291,301,926
DEFERRED OUTFLOWS OF RESOURCES			
Deferred charges on refunding	436,172	-	436,172
Deferred outflows of resources related to pensions	45,758,369	6,824	45,765,193
Total Deferred Outflows of Resources	46,194,541	6,824	46,201,365
LIABILITIES			
Accounts payable	11,112,776	996	11,113,772
Accrued interest	949,015	-	949,015
Internal balances (Due to other funds)	-	4,932	4,932
Unearned revenue	271,943	-	271,943
Long-term obligations:			
Current portion of long-term obligations other than pensions	5,326,149	-	5,326,149
Noncurrent portion of long-term obligations other than pensions	76,460,692	-	76,460,692
Total Long-Term Obligations	81,786,841	-	81,786,841
Aggregate net pension liability	160,429,186	17,346	160,446,532
Total Liabilities	254,549,761	23,274	254,573,035
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows of resources related to pensions	9,625,130	367	9,625,497
NET POSITION			
Net investment in capital assets	124,481,491	89,189	124,570,680
Restricted for:			
Debt service	5,511,745	-	5,511,745
Capital projects	5,831,778	-	5,831,778
Educational programs	7,040,371	-	7,040,371
Other activities	1,372,620	-	1,372,620
Unrestricted	(71,009,520)	(12,915)	(71,022,435)
Total Net Position	\$ 73,228,485	\$ 76,274	\$ 73,304,759

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2018

Functions/Programs	Expenses	Program Revenues	
		Charges for Services and Sales	Operating Grants and Contributions
Governmental Activities			
Instruction	\$ 111,898,232	\$ 3,872,864	\$ 19,394,079
Instruction-related activities:			
Supervision of instruction	6,154,042	220,806	2,310,029
Instructional library, media, and technology	1,340,996	-	44,978
School site administration	12,476,834	15,408	1,069,123
Pupil services:			
Home-to-school transportation	2,463,076	-	-
Food services	6,965,743	623,031	5,093,506
All other pupil services	6,249,296	13,714	900,496
Administration:			
Data processing	1,976,987	-	1,257
All other administration	5,792,158	210,517	904,600
Plant services	13,433,381	2,037	216,781
Ancillary services	1,199,179	1,915	156,515
Community services	207	-	207
Enterprise services	115	53	436
Interest on long-term obligations	2,617,077	-	-
Other outgo	4,128,842	393,030	1,160,580
Total Governmental Activities	176,696,165	5,353,375	31,252,587
Business-Type Activities			
Enterprise services	116,809	109,364	-
Total Business-Type Activities	116,809	109,364	-
Total School District	\$ 176,812,974	\$ 5,462,739	\$ 31,252,587
General revenues and subventions:			
Property taxes, levied for general purposes			
Property taxes, levied for debt service			
Taxes levied for other specific purposes			
Federal and State aid not restricted to specific purposes			
Interest and investment earnings			
Interagency revenues			
Internal transfers			
Miscellaneous			
Subtotal, General Revenues			
Change in Net Position			
Net Position - Beginning as Restated			
Net Position - Ending			

The accompanying notes are an integral part of these financial statements.

Net (Expenses) Revenues and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (88,631,289)	\$ -	\$ (88,631,289)
(3,623,207)	-	(3,623,207)
(1,296,018)	-	(1,296,018)
(11,392,303)	-	(11,392,303)
(2,463,076)	-	(2,463,076)
(1,249,206)	-	(1,249,206)
(5,335,086)	-	(5,335,086)
(1,975,730)	-	(1,975,730)
(4,677,041)	-	(4,677,041)
(13,214,563)	-	(13,214,563)
(1,040,749)	-	(1,040,749)
-	-	-
374	-	374
(2,617,077)	-	(2,617,077)
(2,575,232)	-	(2,575,232)
(140,090,203)	-	(140,090,203)
-	(7,445)	(7,445)
-	(7,445)	(7,445)
(140,090,203)	(7,445)	(140,097,648)
27,898,680	-	27,898,680
7,328,207	-	7,328,207
1,387,944	-	1,387,944
106,363,736	-	106,363,736
1,035,361	(248)	1,035,113
108,182	-	108,182
(11,132)	11,132	-
5,300,955	-	5,300,955
149,411,933	10,884	149,422,817
9,321,730	3,439	9,325,169
63,906,755	72,835	63,979,590
\$ 73,228,485	\$ 76,274	\$ 73,304,759

TURLOCK UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEET

JUNE 30, 2018

	General Fund	Building Fund	Capital Facilities Fund
ASSETS			
Deposits and investments	\$ 59,310,496	\$ 22,658,593	\$ 7,508,557
Receivables	1,696,418	-	-
Due from other funds	586,584	1,897,607	-
Prepaid expenditures	394,197	214,817	-
Stores inventories	416,295	-	-
Total Assets	\$ 62,403,990	\$ 24,771,017	\$ 7,508,557
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 9,362,558	\$ 644,932	\$ 172,723
Due to other funds	-	216,817	1,904,740
Unearned revenue	9,916	-	-
Total Liabilities	9,372,474	861,749	2,077,463
Fund Balances:			
Nonspendable	830,567	214,817	-
Restricted	6,900,701	23,694,451	5,431,094
Committed	9,473,456	-	-
Assigned	17,489,414	-	-
Unassigned	18,337,378	-	-
Total Fund Balances	53,031,516	23,909,268	5,431,094
Total Liabilities and Fund Balances	\$ 62,403,990	\$ 24,771,017	\$ 7,508,557

The accompanying notes are an integral part of these financial statements.

Special Reserve Capital Outlay Fund	Non-Major Governmental Funds	Total Governmental Funds
\$ 21,384,907	\$ 7,222,505	\$ 118,085,058
-	1,160,065	2,856,483
-	-	2,484,191
-	-	609,014
-	153,057	569,352
<u>\$ 21,384,907</u>	<u>\$ 8,535,627</u>	<u>\$ 124,604,098</u>

\$ 544,964	\$ 384,375	\$ 11,109,552
-	357,702	2,479,259
-	262,027	271,943
<u>544,964</u>	<u>1,004,104</u>	<u>13,860,754</u>
-	153,057	1,198,441
-	7,271,662	43,297,908
-	106,804	9,580,260
20,839,943	-	38,329,357
-	-	18,337,378
<u>20,839,943</u>	<u>7,531,523</u>	<u>110,743,344</u>
<u>\$ 21,384,907</u>	<u>\$ 8,535,627</u>	<u>\$ 124,604,098</u>

TURLOCK UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2018

Total Fund Balance - Governmental Funds **\$ 110,743,344**

**Amounts Reported for Governmental Activities in the
Statement of Net Position are Different Because:**

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.

The cost of capital assets is	\$ 295,208,800	
Accumulated depreciation is	<u>(126,847,081)</u>	
Net Capital Assets		168,361,719

In governmental funds, unmatured interest on long-term obligations is recognized in the period when it is due. On the government-wide financial statements, unmatured interest on long-term obligations is recognized when it is incurred. (949,015)

An internal service fund is used by the District's management to charge the costs of the liability insurance program to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities. 719,053

Deferred charges on refunding (the difference between the reacquisition price and net carrying amount of refunded debt) are capitalized and amortized over the remaining life of the new or old debt (whichever is greater) and are included with governmental activities. 436,172

Deferred outflows of resources related to pensions represent a consumption of net position in a future period and is not reported in the District's funds. Deferred outflows of resources related to pensions at year-end consist of:

Pension contributions subsequent to measurement date	13,834,097	
Net change in proportionate share of net pension liability	412,713	
Difference between projected and actual earnings on pension plan investments	1,500,129	
Differences between expected and actual experience in the measurement of the total pension liability.	1,986,565	
Changes of assumptions	<u>28,024,865</u>	
Total Deferred Outflows of Resources Related to Pensions		45,758,369

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION, *Continued* JUNE 30, 2018

Deferred inflows of resources related to pensions represent an acquisition of net position that applies to a future period and is not reported in the District's funds. Deferred inflows of resources related to pensions at year-end consist of:

Net change in proportionate share of net pension liability	\$ (3,954,261)	
Difference between projected and actual earnings on pension plan investments	(3,118,209)	
Differences between expected and actual experience in the measurement of the total pension liability.	(2,042,092)	
Changes of assumptions	<u>(510,568)</u>	
Total Deferred Inflows of Resources Related to Pensions		\$ (9,625,130)

Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds. (160,429,186)

Long-term obligations, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.

General obligation bonds	61,777,127	
Certificates of participation	5,970,369	
Children's facility loan	42,000	
Compensated absences	232,603	
Other postemployment benefits (OPEB) liability	<u>13,764,742</u>	
Total Long-Term Obligations		(81,786,841)
Total Net Position - Governmental Activities		<u>\$ 73,228,485</u>

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2018

	General Fund	Building Fund	Capital Facilities Fund
REVENUES			
Local Control Funding Formula	\$ 127,896,560	\$ -	\$ -
Federal sources	7,493,172	-	-
Other State sources	15,882,100	-	-
Other local sources	11,451,806	246,614	1,863,254
Total Revenues	162,723,638	246,614	1,863,254
EXPENDITURES			
Current			
Instruction	98,058,043	-	-
Instruction-related activities:			
Supervision of instruction	5,329,747	-	-
Instructional library, media and technology	1,088,160	-	-
School site administration	10,978,101	-	-
Pupil services:			
Home-to-school transportation	1,738,226	-	-
Food services	4	-	-
All other pupil services	5,454,955	-	-
Administration:			
Data processing	1,857,364	-	-
All other administration	4,857,235	-	34,921
Plant services	12,522,640	-	-
Ancillary services	1,164,291	-	-
Community services	167	-	-
Other outgo	4,117,710	-	-
Enterprise services	-	-	-
Facility acquisition and construction	3,931,862	2,558,027	2,218,582
Debt service			
Principal	-	-	372,370
Interest and other	-	-	184,697
Total Expenditures	151,098,505	2,558,027	2,810,570
Excess (Deficiency) of Revenues			
Over Expenditures	11,625,133	(2,311,413)	(947,316)
Other Financing Sources (Uses)			
Transfers in	12,800	24,307	-
Transfers out	(5,546,864)	-	(37,107)
Net Financing Sources (Uses)	(5,534,064)	24,307	(37,107)
NET CHANGE IN FUND BALANCES	6,091,069	(2,287,106)	(984,423)
Fund Balance - Beginning as restated	46,940,447	26,196,374	6,415,517
Fund Balance - Ending	\$ 53,031,516	\$ 23,909,268	\$ 5,431,094

The accompanying notes are an integral part of these financial statements.

Special Reserve Capital Outlay Fund	Non-Major Governmental Funds	Total Governmental Funds
\$ -	\$ -	\$ 127,896,560
-	7,535,785	15,028,957
-	3,074,148	18,956,248
142,579	8,865,071	22,569,324
<u>142,579</u>	<u>19,475,004</u>	<u>184,451,089</u>
-	3,155,291	101,213,334
-	498,207	5,827,954
-	-	1,088,160
-	641,647	11,619,748
-	-	1,738,226
-	7,560,469	7,560,473
-	308,817	5,763,772
-	-	1,857,364
-	401,799	5,293,955
91,151	79,198	12,692,989
-	-	1,164,291
-	-	167
-	-	4,117,710
-	605	605
2,640,932	1,023,884	12,373,287
-	2,551,000	2,923,370
-	2,149,306	2,334,003
<u>2,732,083</u>	<u>18,370,223</u>	<u>177,569,408</u>
<u>(2,589,504)</u>	<u>1,104,781</u>	<u>6,881,681</u>
5,500,000	46,864	5,583,971
-	(11,132)	(5,595,103)
<u>5,500,000</u>	<u>35,732</u>	<u>(11,132)</u>
2,910,496	1,140,513	6,870,549
17,929,447	6,391,010	103,872,795
<u>\$ 20,839,943</u>	<u>\$ 7,531,523</u>	<u>\$ 110,743,344</u>

TURLOCK UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2018

Total Net Change in Fund Balances - Governmental Funds **\$ 6,870,549**
**Amounts Reported for Governmental Activities in the Statement
of Activities are Different Because:**

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation expenses in the Statement of Activities.

This is the amount by which depreciation exceeds capital outlays in the period.

Capital outlays	\$ 14,174,845	
Depreciation expense	<u>(8,059,712)</u>	
Net Expense Adjustment		6,115,133

In governmental funds, the entire proceeds from the disposal of capital assets are reported as revenue, however, in the statement of activities, only the gain or loss from disposals are reported. (4,591)

In the Statement of Activities, certain operating expenses - compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). Vacation earned was more than the amounts used by \$11,106. (11,106)

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year. (5,264,320)

In the governmental funds, OPEB costs are based on employer contributions made to OPEB plans during the year. However, in the Statement of Activities, OPEB expense is the net effect of all changes in the deferred outflows, deferred inflows and net OPEB liability during the year. (1,209,171)

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES, Continued FOR THE YEAR ENDED JUNE 30, 2018

Payment of principal on long-term obligations is an expenditure in the governmental funds, but it reduces long-term obligations in the Statement of Net Position and does not affect the Statement of Activities:

General obligation bonds	\$ 2,530,000
Certificates of participation	372,370
Children's facility loan	21,000

Governmental funds report the effect of premiums, discounts, and deferred amounts on refunding when the debt is first issued, however, the amounts are deferred and amortized on the Statement of Activities.

Amortization of debt premium	\$ 227,362	
Amortization of deferred amount on refunding	<u>(33,134)</u>	
Combined adjustment		194,228

Interest on long-term obligations in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the funds when it is due, and thus requires the use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due. The additional interest reported in the Statement of Activities is accrued interest on the District's debt obligations.

(249,940)

An internal service fund is used by the District's management to charge the costs of certain health and welfare insurance programs to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.

(42,422)

Change in Net Position of Governmental Activities

\$ 9,321,730

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF NET POSITION JUNE 30, 2018

	Enterprise Fund Cafeteria	Internal Service Fund Self-Insurance
ASSETS		
Current Assets		
Deposits and investments	\$ 1,832	\$ 722,277
Stores inventories	2,070	-
Total Current Assets	3,902	722,277
Noncurrent Assets		
Furniture and equipment (net)	89,189	-
Total Assets	93,091	722,277
DEFERRED OUTFLOWS OF RESOURCES		
Deferred outflows of resources related to pensions	6,824	-
LIABILITIES		
Current Liabilities		
Accounts payable	996	3,224
Due to other funds	4,932	-
Total Current Liabilities	5,928	3,224
Noncurrent Liabilities		
Net pension liability	17,346	-
Total Liabilities	23,274	3,224
DEFERRED INFLOWS OF RESOURCES		
Deferred inflows of resources related to pensions	367	-
NET POSITION		
Net investment in capital assets	89,189	-
Restricted	-	719,053
Unrestricted	(12,915)	-
Total Net Position	\$ 76,274	\$ 719,053

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS

STATEMENT OF REVENUES, EXPENSES, AND CHANGES

IN FUND NET POSITION

FOR THE YEAR ENDED JUNE 30, 2018

	Enterprise Fund	Internal
	Cafeteria	Service Fund
		Self-Insurance
OPERATING REVENUES		
Charges for services	\$ 109,364	\$ -
OPERATING EXPENSES		
Payroll costs	11,323	-
Supplies and materials	84,884	14,988
Facility rental	-	9,800
Other operating cost	4,932	24,791
Depreciation	15,670	-
Total Operating Expenses	116,809	49,579
Operating Loss	(7,445)	(49,579)
NONOPERATING REVENUES		
Interest income	(248)	7,157
Transfers in	11,132	-
Total Nonoperating		
Revenues and Uses	10,884	7,157
Change in Net Position	3,439	(42,422)
Total Net Position - Beginning	72,835	761,475
Total Net Position - Ending	\$ 76,274	\$ 719,053

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED JUNE 30, 2018

	Enterprise Fund Cafeteria	Internal Service Fund Self-Insurance
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received for goods and services	\$ 112,365	\$ -
Cash paid for goods and services	(122,279)	(46,355)
Cash paid for salaries and benefits	(13,561)	-
Net Cash Used for Operating Activities	(23,475)	(46,355)
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES		
Nonoperating transfers	11,132	-
CASH FLOWS FROM INVESTING ACTIVITIES		
Interest on investments	(248)	7,157
Net Decrease in Cash and Cash Equivalents	(12,591)	(39,198)
Cash and Cash Equivalents - Beginning	14,423	761,475
Cash and Cash Equivalents - Ending	\$ 1,832	\$ 722,277
RECONCILIATION OF OPERATING LOSS TO NET CASH USED FOR FOR OPERATING ACTIVITIES		
Operating loss	\$ (7,445)	\$ (49,579)
Adjustments to reconcile operating loss to net cash used for operating activities:		
Depreciation	15,670	-
Changes in assets and liabilities:		
Receivables	3,001	-
Stores inventory	794	-
Deferred outflows of resources	(1,288)	-
Accounts payable	(7,130)	3,224
Due to other funds	(26,127)	-
Net pension liability	(773)	-
Deferred inflows of resources	(177)	-
NET CASH USED FOR FOR OPERATING ACTIVITIES	\$ (23,475)	\$ (46,355)

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

FIDUCIARY FUNDS

STATEMENT OF NET POSITION

JUNE 30, 2018

	Agency Funds
ASSETS	
Deposits	<u>\$ 1,040,198</u>
LIABILITIES	
Due to student groups	<u>\$ 1,040,198</u>

The accompanying notes are an integral part of these financial statements.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Turlock Unified School District (the District) was unified on July 1, 2004, under the laws of the State of California. The District operates under a locally elected seven-member Board form of government and provides educational services to grades K-12 as mandated by the State and/or Federal agencies. The District operates seven K-6 elementary schools, two elementary magnet schools, one middle school, one junior high school, two comprehensive high schools, a charter school, and a continuation high school, as well as preschool, Head Start, and adult education programs.

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Turlock Unified School District, this includes general operations, food service, and student related activities of the District.

Component Units

Component units are legally separate organizations for which the District is financially accountable. Component units may also include organizations that are fiscally dependent on the District, in that the District approves their budget, the issuance of their debt or the levying of their taxes. In addition, component units are other legally separate organizations for which the District is not financially accountable but the nature and significance of the organization's relationship with the District is such that exclusion would cause the District's financial statements to be misleading or incomplete. For financial reporting purposes, the component units have a financial and operational relationship which meets the reporting entity definition criteria of the Governmental Accounting Standards Board (GASB) Statement No. 14, *The Financial Reporting Entity*, and thus are included in the financial statements of the District. The component units, although legally separate entities, are reported in the financial statements using the blended presentation method as if they were part of the District's operations because the governing board of the component units is essentially the same as the governing board of the District and because their purpose is to finance the construction of facilities to be used for the direct benefit of the District.

The Turlock Public Schools Financing Agency was formed in 1991 by a joint powers agreement between the then separate school districts, Turlock Joint Elementary School District and Turlock Joint Union High School District, pursuant to the Mello-Roos Community Facilities Act of 1982. In 2004 when the two districts were unified, the Turlock Unified School District succeeded to the rights and obligations of under the agreement. The agency established Community Facilities District No. 1991-1 for the purpose of administering and collecting special taxes for its member districts.

The Turlock Schools Financing Corporation, a nonprofit public benefits corporation, was formed for the sole purpose of providing financial assistance to the district by financing various capital outlay projects.

The District has an approved Charter for eCademy Charter School pursuant to *Education Code* Section 47605. The non-classroom based Charter School is operated by the District, and its financial activities are presented in the District's financial statements within the General Fund.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary, and fiduciary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 15, Pupil Transportation Equipment Fund and Fund 20, Special Reserve Fund for Postemployment Benefits, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements. As a result, the General Fund reflects an increase in fund balance of \$9,473,456.

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Capital Facilities Fund The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approval (*Education Code* Sections 17620-17626 and *Government Code* Section 65995 et seq.). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

Special Reserve Capital Outlay Fund The Special Reserve Capital Outlay Fund exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Adult Education Fund The Adult Education Fund is used to account separately for Federal, State, and local revenues for restricted or committed for adult education programs and is to be expended for adult education purposes only.

Child Development Fund The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.

Cafeteria Fund The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Capital Project Funds The Capital Project funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Mello Roos Fund The Mello Roos Fund is used to account for capital projects financed by Mello-Roos Community Facilities Districts and similar entities that are considered blended component units of the District under generally accepted accounting principles (GAAP).

Debt Service Funds The Debt Service funds are used to account for the accumulation of resources for, and the payment of, principal and interest on general long-term obligations.

Bond Interest and Redemption Fund The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

Cafeteria Enterprise Fund Enterprise funds may be used to account for any activity for which a fee is charged to external users for goods or services. The only enterprise fund of the District accounts for the financial transactions related to the vending operations of the District.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Internal Service Fund Internal Service funds may be used to account for goods or services provided to other funds of the District on a cost-reimbursement basis. The District operates a self-insurance fund that is accounted for in an internal service fund which is used to pay claims or losses not covered by property and liability insurance such as those under deductible amounts.

Fiduciary Funds Fiduciary funds are used to account for assets held in trustee or agent capacity for others that cannot be used to support the District's own programs. The District's fiduciary fund is an agency fund. Agency funds are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Such funds have no equity accounts since all assets are due to individuals or entities at some future time. The District's agency fund accounts for student body activities (ASB).

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, and program revenues for the business-type activities of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the *Statement of Activities*, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service fund is presented in a single column on the face of the proprietary fund statements.

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JUNE 30, 2018

Governmental Funds All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total assets. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Fiduciary Funds Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. Generally, available is defined as collectible within 60 days. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Certain grants received before the eligibility requirements are met are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable, and typically paid within 90 days. Principal and interest on long-term obligations, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the entity-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments held at June 30, 2018, with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in the county pool is determined by the program sponsor.

Prepaid Expenditures (Expenses)

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures when incurred.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the first-in, first-out basis. The costs of inventory items are recorded as expenditures in the governmental funds and expenses in the proprietary funds when used.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$5,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

TURLOCK UNIFIED SCHOOL DISTRICT

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JUNE 30, 2018

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at the donor's acquisition cost.

Capital assets in the proprietary funds are capitalized in the fund. The valuation basis for proprietary fund capital assets is the same as those used for the capital assets of governmental funds.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 20 to 50 years; improvements, 5 to 50 years; equipment, 5 to 15 years.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental and business-type activities columns of the statement of net position, except for the net residual amounts due between governmental and business-type activities, which are presented as internal balances.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resources. These amounts are reported in the fund from which the employees who have accumulated leave are paid.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the governmental funds.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

However, claims and judgments, compensated absences, special termination benefits, and contractually required pension contributions that will be paid from governmental funds are reported as a liability in the governmental fund financial statements only to the extent that they are due for payment during the current year. Bonds, capital leases, and other long-term obligations are recognized as liabilities in the governmental fund financial statements when due.

Debt Premiums

In the government-wide financial statements, long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, and in the proprietary fund statement of net position. Debt premiums are amortized over the life of the debt using the straight-line method.

In governmental fund financial statements, debt premiums are recognized in the current period and reported as other financing sources.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for deferred charges on refunding of debt and for pension related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for pension related items.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Fund Balances - Governmental Funds

As of June 30, 2018, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief financial officer may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The District has adopted a minimum fund balance policy in order to protect the district against revenue shortfalls or unpredicted on-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than 5.0 percent of General Fund expenditures and other financing uses. Should the reserve fall below 5.0 percent, it shall be recovered at a rate of at least 1.0 percent annually.

Net Position

Net position represents the difference between assets and liabilities. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$19,756,514 of restricted net position.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are vending sales reported in the Cafeteria Enterprise Fund. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Interfund Activity

Transfers between governmental and business-type activities in the government-wide financial statements are reported in the same manner as general revenues.

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental and business-type activities columns of the Statement of Activities, except for the net residual amounts transferred between governmental and business-type activities.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Stanislaus bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles

In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. The primary objective of this Statement is to improve accounting and financial reporting by State and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by State and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The District has implemented the provisions of this Statement as of June 30, 2018.

In March 2017, the GASB issued Statement No. 85, *Omnibus 2017*. The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits [OPEB]). Specifically, this Statement addresses the following topics:

- Blending a component unit in circumstances in which the primary government is a business-type activity that reports in a single column for financial statement presentation;
- Reporting amounts previously reported as goodwill and "negative" goodwill;
- Classifying real estate held by insurance entities;
- Measuring certain money market investments and participating interest-earning investment contracts at amortized cost;
- Timing of the measurement of pension or OPEB liabilities and expenditures recognized in financial statements prepared using the current financial resources measurement focus;
- Recognizing on behalf payments for pensions or OPEB in employer financial statements;
- Presenting payroll-related measures in required supplementary information for purposes of reporting by OPEB plans and employers that provide OPEB;
- Classifying employer-paid member contributions for OPEB;
- Simplifying certain aspects of the alternative measurement method for OPEB; and
- Accounting and financial reporting for OPEB provided through certain multiple-employer defined benefit OPEB plans.

The District has implemented the provisions of this Statement as of June 30, 2018.

In May 2017, the GASB issued Statement No. 86, *Certain Debt Extinguishment Issues*. The primary objective of this Statement is to improve consistency in accounting and financial reporting for in-substance defeasance of debt by providing guidance for transactions in which cash and other monetary assets acquired with only existing resources—resources other than the proceeds of refunding debt—are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also improves accounting and financial reporting for prepaid insurance on debt that is extinguished and notes to financial statements for debt that is defeased in substance.

The District has implemented the provisions of this Statement as of June 30, 2018.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

New Accounting Pronouncements

In November 2016, the GASB issued Statement No. 83, *Certain Asset Retirement Obligations*. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement.

This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs. This Statement requires that recognition occur when the liability is both incurred and reasonably estimable. The determination of when the liability is incurred should be based on the occurrence of external laws, regulations, contracts, or court judgments, together with the occurrence of an internal event that obligates a government to perform asset retirement activities. Laws and regulations may require governments to take specific actions to retire certain tangible capital assets at the end of the useful lives of those capital assets, such as decommissioning nuclear reactors and dismantling and removing sewage treatment plants. Other obligations to retire tangible capital assets may arise from contracts or court judgments. Internal obligating events include the occurrence of contamination, placing into operation a tangible capital asset that is required to be retired, abandoning a tangible capital asset before it is placed into operation, or acquiring a tangible capital asset that has an existing ARO.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2018. Early implementation is encouraged.

In January 2017, the GASB issued Statement No. 84, *Fiduciary Activities*. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported.

This Statement establishes criteria for identifying fiduciary activities of all State and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.

The requirements of this Statement are effective for reporting periods beginning after December 15, 2018. Early implementation is encouraged.

In June 2017, the GASB issued Statement No. 87, *Leases*. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The requirements of this Statement are effective for the reporting periods beginning after December 15, 2019. Early implementation is encouraged.

In April 2018, the GASB issued Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt.

This Statement defines debt for purposes of disclosure in notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date the contractual obligation is established.

This Statement requires that additional essential information related to debt be disclosed in notes to financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance-related consequences, and significant subjective acceleration clauses.

For notes to financial statements related to debt, this Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2018. Early implementation is encouraged.

In June 2018, the GASB issued Statement No. 89, *Accounting for Interest Cost Incurred Before the End of a Construction Period*. The objectives of this Statement are (1) to enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and (2) to simplify accounting for interest cost incurred before the end of a construction period.

This Statement establishes accounting requirements for interest cost incurred before the end of a construction period. Such interest cost includes all interest that previously was accounted for in accordance with the requirements of paragraphs 5–22 of Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements*, which are superseded by this Statement. This Statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or enterprise fund.

This Statement also reiterates that in financial statements prepared using the current financial resources measurement focus, interest cost incurred before the end of a construction period should be recognized as an expenditure on a basis consistent with governmental fund accounting principles.

The requirements of this Statement are effective for reporting periods beginning after December 15, 2019. Earlier application is encouraged. The requirements of this Statement should be applied prospectively.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 2 - DEPOSITS AND INVESTMENTS

Summary of Deposits and Investments

Deposits and investments as of June 30, 2018, are classified in the accompanying financial statements as follows:

Governmental funds	\$ 118,085,058
Internal service fund	722,277
Subtotal, Governmental Activities	118,807,335
Enterprise fund	1,832
Fiduciary fund	1,040,198
Total Deposits and Investments	<u>\$ 119,849,365</u>

Deposits and investments as of June 30, 2018, consist of the following:

Cash on hand and in banks	\$ 1,099,893
Cash in revolving	20,675
Investments	118,728,797
Total Deposits and Investments	<u>\$ 119,849,365</u>

Policies and Practices

The District is authorized under California *Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following schedule that shows the distribution of the District's investments by maturity:

Investment Type	Fair Value	13 - 24 Months
County Pool	\$ 118,728,788	\$ 118,728,788

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California *Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2018, the District's bank balance of \$1,070,130 was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District.

NOTE 3 - FAIR VALUE MEASUREMENTS

The District categorizes the fair value measurements of its investments based on the hierarchy established by generally accepted accounting principles. The fair value hierarchy, which has three levels, is based on the valuation inputs used to measure an asset's fair value. The following provides a summary of the hierarchy used to measure fair value:

Level 1 - Quoted prices in active markets for identical assets that the District has the ability to access at the measurement date. Level 1 assets may include debt and equity securities that are traded in an active exchange market and that are highly liquid and are actively traded in over-the-counter markets.

Level 2 - Observable inputs other than Level 1 prices such as quoted prices for similar assets in active markets, quoted prices for identical or similar assets in markets that are not active, or other inputs that are observable, such as interest rates and curves observable at commonly quoted intervals, implied volatilities, and credit spreads. For financial reporting purposes, if an asset has a specified term, a Level 2 input is required to be observable for substantially the full term of the asset.

Level 3 - Unobservable inputs should be developed using the best information available under the circumstances, which might include the District's own data. The District should adjust that data if reasonable available information indicates that other market participants would use different data or certain circumstances specific to the District are not available to other market participants.

Uncategorized - Investments in the Stanislaus County Treasury Investment Pool are not measured using the input levels above because the District's transactions are based on a stable net asset value per share. All contributions and redemptions are transacted at \$1.00 net asset value per share.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 4 - RECEIVABLES

Receivables at June 30, 2018, consisted of intergovernmental grants, entitlements, and local sources. All receivables are considered collectible in full.

	General Fund	Non-Major Governmental Funds	Total Governmental Activities
Federal Government			
Categorical aid	\$ 601,725	\$ 637,728	\$ 1,239,453
State Government			
State grants and other entitlements	877,177	404,367	1,281,544
Local sources	217,516	117,970	335,486
Total	<u>\$ 1,696,418</u>	<u>\$ 1,160,065</u>	<u>\$ 2,856,483</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 5 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2018, was as follows:

	Balance July 1, 2017	Additions	Deductions	Balance June 30, 2018
Governmental Activities				
Capital Assets not being depreciated				
Land	\$ 10,579,757	\$ -	\$ 50	\$ 10,579,707
Construction in progress	6,185,177	4,937,987	5,195,206	5,927,958
Total Capital Assets Not Being Depreciated	16,764,934	4,937,987	5,195,256	16,507,665
Capital Assets being depreciated				
Land improvements	28,878,738	2,156,539	16,109	31,019,168
Buildings and improvements	217,329,070	11,748,238	-	229,077,308
Furniture and equipment	18,101,743	527,287	24,371	18,604,659
Total Capital Assets Being Depreciated	264,309,551	14,432,064	40,480	278,701,135
Less Accumulated Depreciation				
Land improvements	19,789,938	1,132,774	11,568	20,911,144
Buildings and improvements	87,147,414	6,000,504	-	93,147,918
Furniture and equipment	11,885,956	926,434	24,371	12,788,019
Total Accumulated Depreciation	118,823,308	8,059,712	35,939	126,847,081
Governmental Activities Capital Assets, Net	<u>\$ 162,251,177</u>	<u>\$ 11,310,339</u>	<u>\$ 5,199,797</u>	<u>\$ 168,361,719</u>
Business-Type Activities				
Furniture and equipment	\$ 183,492	\$ -	\$ -	\$ 183,492
Less Accumulated Depreciation	78,633	15,670	-	94,303
Business-Type Activities Capital Assets, Net	<u>\$ 104,859</u>	<u>\$ (15,670)</u>	<u>\$ -</u>	<u>\$ 89,189</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Depreciation expense was charged as a direct expense to governmental and business-type functions as follows:

Governmental Activities

Instruction	\$ 5,238,813
Supervision of instruction	20,149
Instructional library, media, and technology	201,493
School site administration	221,642
Home-to-school transportation	644,777
Food services	564,180
Other pupil services	161,194
All other general administration	241,791
Data processing	40,299
Plant services	725,374
Total Depreciation Expenses, Governmental Activities	<u>\$ 8,059,712</u>

Business-Type Activities

Enterprise activities	<u>\$ 15,670</u>
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NOTE 6 - INTERFUND TRANSACTIONS

Interfund Receivables/Payables (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2018, between major and non-major governmental funds and proprietary funds are as follows:

	Interfund Receivables	Interfund Payables
Major Governmental Funds		
General	\$ 586,584	\$ -
Building	1,897,607	216,817
Capital Facilities	-	1,904,740
Total Major Governmental Funds	<u>2,484,191</u>	<u>2,121,557</u>
Non-Major Governmental Funds		
Adult Education	-	66,156
Child Development	-	1,132
Cafeteria	-	290,414
Total Non-Major Governmental Funds	<u>-</u>	<u>357,702</u>
Cafeteria Enterprise	-	4,932
Total All Governmental Funds	<u>\$ 2,484,191</u>	<u>\$ 2,484,191</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The Capital Facilities Fund owes the Building Fund for capital outlay costs.	\$ 1,888,550
The Capital Facilities Fund owes the General Fund for three percent developer fee administration costs.	7,133
The Capital Facilities Fund owes the Building Fund for an interest transfer.	9,057
The Building Fund owes the General Fund for capital outlay costs.	216,817
The Cafeteria Non-Major Governmental Fund owes the General Fund for indirect costs.	290,414
The Child Development Non-Major Governmental Fund owes the General Fund for records management.	22
The Child Development Non-Major Governmental Fund owes the General Fund for indirect costs.	1,110
The Adult Education Non-Major Governmental Fund owes the General Fund for indirect costs.	66,156
The Cafeteria Enterprise Fund owes the General Fund for indirect costs.	4,932
Total	<u>\$ 2,484,191</u>

Operating Transfers

Interfund transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations. Interfund transfers for the year ended June 30, 2018, consisted of the following:

The General Fund transferred to the Special Reserve Capital Outlay Fund for District Renovation.	\$ 1,000,000
The General Fund transferred to the Special Reserve Capital Outlay Fund for land acquisition and development.	3,000,000
The General Fund transferred to the Special Reserve Capital Outlay Fund for the Special Education Facility.	1,500,000
The General Fund transferred to the Cafeteria Non-Major Governmental Fund for unpaid student lunches - No Student Turned Away.	46,864
The Cafeteria Non-Major Governmental Fund transferred to the Cafeteria Enterprise Fund for a prior year insurance payment.	11,132
The Capital Facilities Fund transferred to the General Fund for three percent developer fee administration costs.	12,800
The Capital Facilities Fund transferred to the Building Fund for reclassification of capital outlay costs.	24,307
Total	<u>\$ 5,595,103</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 7 - PREPAID EXPENDITURES (EXPENSES)

Prepaid expenditures (expenses) at June 30, 2018, consist of the following:

	General Fund	Building Fund	Total Governmental Activities
Dues and conferences	\$ 16,957	\$ -	\$ 16,957
Lease payments	377,240	214,817	592,057
Total	<u>\$ 394,197</u>	<u>\$ 214,817</u>	<u>\$ 609,014</u>

NOTE 8 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2018, consisted of the following:

	General Fund	Building Fund	Capital Facilities Fund	Special Reserve Capital Outlay Fund	Non-Major Governmental Funds	Total Governmental Funds	Cafeteria Enterprise Fund	Internal Service Fund
Vendor payables	\$2,517,965	\$644,932	\$172,723	\$ 544,964	\$ 87,699	\$ 3,968,283	\$ 162	\$ 3,224
Salaries and benefits	5,752,707	-	-	-	296,676	6,049,383	834	-
LCFF apportionment	1,091,886	-	-	-	-	1,091,886	-	-
Total	<u>\$9,362,558</u>	<u>\$644,932</u>	<u>\$172,723</u>	<u>\$ 544,964</u>	<u>\$ 384,375</u>	<u>\$ 11,109,552</u>	<u>\$ 996</u>	<u>\$ 3,224</u>

NOTE 9 - UNEARNED REVENUE

Unearned revenue at June 30, 2018, consisted of the following:

	General Fund	Non-Major Governmental Funds	Total Governmental Activities
Federal financial assistance	\$ 2,830	\$ 262,027	\$ 264,857
State categorical aid	7,086	-	7,086
Total	<u>\$ 9,916</u>	<u>\$ 262,027</u>	<u>\$ 271,943</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 10 - LONG-TERM OBLIGATIONS

Summary

The changes in the District's long-term obligations during the year consisted of the following:

	Balance June 30, 2017, as Restated	Additions	Deductions	Balance June 30, 2018	Due in One Year
General obligation bonds	\$ 60,995,000	\$ -	\$ 2,530,000	\$ 58,465,000	\$ 4,920,000
Bond premiums	3,539,489	-	227,362	3,312,127	-
Certificates of participation	6,342,739	-	372,370	5,970,369	385,149
Children's facility loan	63,000	-	21,000	42,000	21,000
Compensated absences - net	221,497	11,106	-	232,603	-
Other postemployment benefits	12,555,571	1,209,171	-	13,764,742	-
Total	<u>\$ 83,717,296</u>	<u>\$ 1,220,277</u>	<u>\$ 3,150,732</u>	<u>\$ 81,786,841</u>	<u>\$ 5,326,149</u>

Payments on the general obligation bonds are made from the Bond Interest and Redemption Fund with local property taxes. The Certificates of Participation are paid from the Capital Facilities Fund and the Children's Facility Loan is paid from the Child Development Fund. All other payments are primarily made from the General Fund.

Bonded Debt

2013 General Obligation Refunding Bonds

On April 30, 2014, the District issued \$8,475,000 in general obligation refunding bonds. The bonds were issued to refund the remaining 2002 Series 2004 General Obligation Bonds. The 2015 General Obligation Refunding Bonds were issued as current interest bonds with interest rates ranging from 2.00 percent to 3.125 percent and are scheduled to mature through June 1, 2029.

2015 General Obligation Refunding Bonds

In July 2015, the District issued \$21,885,000 in general obligation refunding bonds. The bonds were issued to refund the remaining Measure Y, Series 2007 General Obligation Bonds. The 2015 General Obligation Refunding Bonds were issued as current interest bonds with interest rates ranging from 2.00 percent to 5.00 percent and are scheduled to mature through August 1, 2032.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

2015 General Obligation Refunding Bonds (School Facilities Improvement District No. 1)

In July 2015, the School Facilities Improvement District No. 1 of the Turlock Unified School District issued \$7,915,000 in general obligation refunding bonds. The bonds were issued to refund the remaining Measure Z, Series 2007 General Obligation Bonds. The 2015 General Obligation Refunding Bonds were issued as current interest bonds with interest rates ranging from 2.00 percent to 5.00 percent and are scheduled to mature through June 1, 2032.

Election of 2016, Series 2017 General Obligation Bonds

In April 2017, the District issued \$14,700,000 in general obligation bonds under Measure O. The bonds were issued to upgrade and repair high schools within the District. The Series 2017 General Obligation Bonds were issued as current interest bonds with interest rates ranging from 3.125 percent to 5.00 percent and are scheduled to mature through August 1, 2046.

Election of 2016, Series 2017 General Obligation Bonds

In April 2017, the School Facilities Improvement District No. 1 of the Turlock Unified School District issued \$12,500,000 in general obligation bonds under Measure N. The bonds were issued to upgrade and repair elementary schools within the District. The Series 2017 General Obligation Bonds were issued as current interest bonds with interest rates ranging from 3.125 percent to 5.00 percent and are scheduled to mature through August 1, 2046.

The outstanding general obligation bonded debt is as follows:

Issue Date	Maturity Date	Interest Rate %	Original Issue	Bonds Outstanding July 1, 2017	Redeemed	Bonds Outstanding June 30, 2018
2013	6/1/29	2.0-3.125	\$ 8,475,000	\$ 6,660,000	\$ 490,000	\$ 6,170,000
2015	8/1/32	2.0-5.0	21,885,000	19,900,000	1,715,000	18,185,000
2015	6/1/32	2.0-5.0	7,915,000	7,235,000	325,000	6,910,000
2017	8/1/46	3.125-5.0	14,700,000	14,700,000	-	14,700,000
2017	8/1/46	3.125-5.0	12,500,000	12,500,000	-	12,500,000
Total				<u>\$ 60,995,000</u>	<u>\$ 2,530,000</u>	<u>\$ 58,465,000</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Debt Service Requirements to Maturity

The bonds mature as follows:

2013 General Obligation Refunding Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2019	\$ 495,000	\$ 175,956	\$ 670,956
2020	500,000	166,056	666,056
2021	515,000	156,056	671,056
2022	525,000	140,606	665,606
2023	540,000	124,856	664,856
2024-2028	2,950,000	371,230	3,321,230
2029	645,000	20,156	665,156
Total	<u>\$ 6,170,000</u>	<u>\$ 1,154,916</u>	<u>\$ 7,324,916</u>

2015 General Obligation Refunding Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2019	\$ 1,800,000	\$ 814,769	\$ 2,614,769
2020	1,895,000	722,394	2,617,394
2021	2,000,000	625,019	2,625,019
2022	2,100,000	522,519	2,622,519
2023	2,220,000	414,519	2,634,519
2024-2028	5,875,000	795,119	6,670,119
2029-2033	2,295,000	192,565	2,487,565
Total	<u>\$ 18,185,000</u>	<u>\$ 4,086,904</u>	<u>\$ 22,271,904</u>

2015 General Obligation Refunding Bonds (SFID)

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2019	\$ 345,000	\$ 281,262	\$ 626,262
2020	370,000	264,014	634,014
2021	390,000	245,514	635,514
2022	410,000	226,014	636,014
2023	430,000	205,512	635,512
2024-2028	2,535,000	690,010	3,225,010
2029-2032	2,430,000	203,682	2,633,682
Total	<u>\$ 6,910,000</u>	<u>\$ 2,116,008</u>	<u>\$ 9,026,008</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Election of 2016, Series 2017 General Obligation Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2019	\$ 1,260,000	\$ 542,156	\$ 1,802,156
2020	1,500,000	473,156	1,973,156
2021	-	435,656	435,656
2022	-	435,656	435,656
2023	-	435,656	435,656
2024-2028	-	2,178,280	2,178,280
2029-2033	445,000	2,171,605	2,616,605
2034-2038	2,825,000	1,897,931	4,722,931
2039-2043	4,120,000	1,302,707	5,422,707
2044-2047	4,550,000	380,000	4,930,000
Total	<u>\$ 14,700,000</u>	<u>\$ 10,252,803</u>	<u>\$ 24,952,803</u>

Election of 2016, Series 2017 General Obligation Bonds (SFID)

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2019	\$ 1,020,000	\$ 460,650	\$ 1,480,650
2020	1,300,000	402,650	1,702,650
2021	-	370,150	370,150
2022	-	370,150	370,150
2023	-	370,150	370,150
2024-2028	-	1,850,750	1,850,750
2029-2033	-	1,850,750	1,850,750
2034-2038	2,515,000	1,660,087	4,175,087
2039-2043	3,655,000	1,139,794	4,794,794
2044-2047	4,010,000	334,800	4,344,800
Total	<u>\$ 12,500,000</u>	<u>\$ 8,809,931</u>	<u>\$ 21,309,931</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Certificates of Participation

On June 25, 2015, the District issued 2015 Refunding Certificates of Participation in the aggregate amount of \$7,111,787 to refund the District's 2005 Certificates of Participation. The Certificates were issued and an interest rate of 3.00 percent and are scheduled to mature through August 1, 2030.

The certificates mature through 2031 as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2019	\$ 385,149	\$ 173,334	\$ 558,483
2020	397,444	161,595	559,039
2021	409,552	149,490	559,042
2022	421,024	137,031	558,055
2023	431,990	124,236	556,226
2024-2028	2,360,521	415,683	2,776,204
2029-2031	1,564,689	70,544	1,635,233
Total	<u>\$ 5,970,369</u>	<u>\$ 1,231,913</u>	<u>\$ 7,202,282</u>

Children's Facility Loan

The District has entered into a loan agreement with the California Department of Education for the Crowell State Preschool Facility. The District was granted \$210,000 to complete the Crowell project. The grant agreement states that the loan amount (no interest charged) is to be paid back within ten years of the agreement. The facilities are registered in the name of the State of California until the loans are repaid in full at which time the title will transfer to the Turlock Unified School District. As of June 30, 2018, the outstanding amount of the loan was \$42,000.

Fiscal Year	Payment
2019	\$ 21,000
2020	21,000
Total	<u>\$ 42,000</u>

Compensated Absences

Compensated absences for the District at June 30, 2018, amounted to \$232,603.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Other Postemployment Benefit (OPEB) Liability

For the fiscal year ended June 30, 2018, the District reported a total OPEB liability and OPEB expense for the following plan:

<u>OPEB Plan</u>	<u>Total OPEB Liability</u>	<u>OPEB Expense</u>
District Plan	<u>\$ 13,764,742</u>	<u>\$ 1,370,508</u>

The details of the plan are as follows:

District Plan

Plan Administration

The District's governing board administers the Postemployment Benefits Plan (the Plan). The Plan is a single-employer defined benefit plan that is used to provide postemployment benefits other than pensions (OPEB) for eligible retirees and their spouses. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Plan Membership

At June 30, 2017, the Plan membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits payments	127
Active employees	1,442
Total	<u>1,569</u>

Benefits Provided

The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Benefits are provided through a third-party insurer, and the full cost of benefits is covered by the Plan. The District's governing board has the authority to establish and amend the benefit terms as contained within the negotiated labor agreements.

Contributions

The benefit payment requirements of the Plan members and the District are established and may be amended by the District, the Turlock Teachers Association (TTA), the local California Service Employees Association (CSEA), and unrepresented groups. The benefit payment is based on projected pay-as-you-go financing requirements as determined annually through the agreements with the District, TTA, CSEA, and the unrepresented groups. For fiscal year 2017-2018, the District paid \$145,001 in benefits.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Total OPEB Liability of the District

Actuarial Assumptions

The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following assumptions, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.75 percent
Salary increases	2.75 percent, average, including inflation
Investment rate of return	3.8 percent, net of OPEB plan investment expense, including inflation
Healthcare cost trend rates	4.0 percent for 2018 and thereafter

The discount rate was based on the Bond Buyer 20-bond General Obligation Index.

Mortality rates were based on the 2009 CalSTRS Mortality Table for certificated employees and the 2014 CalPERS Active Mortality for Miscellaneous Employees Table for classified employees. Mortality rates vary by age and sex. (Unisex mortality rates are not often used as individual OPEB benefits do not depend on the mortality table used.) If employees die prior to retirement, past contributions are available to fund benefits for employees who live to retirement. After retirement, death results in benefit termination or reduction. Although higher mortality rates reduce service costs, the mortality assumption is not likely to vary from employer to employer.

The actual assumptions used in the June 30, 2018 valuation were based on the results of an actual experience study for the period July 1, 2017 to June 30, 2018.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance at June 30, 2017	<u>\$ 12,555,571</u>
Service cost	880,198
Interest	490,310
Benefit payments	<u>(161,337)</u>
Net change in total OPEB liability	<u>1,209,171</u>
Balance at June 30, 2018	<u><u>\$ 13,764,742</u></u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Total OPEB Liability</u>
1% decrease (2.8%)	\$ 16,276,258
Current discount rate (3.8%)	13,764,742
1% increase (4.8%)	11,755,150

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percent lower or higher than the current healthcare costs trend rates:

<u>Healthcare Cost Trend Rates</u>	<u>Total OPEB Liability</u>
1% decrease (3.0%)	\$ 11,882,989
Current healthcare cost trend rate (4.0%)	13,764,742
1% increase (5.0%)	15,959,965

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 11 - FUND BALANCES

Fund balances are composed of the following elements:

	General Fund	Building Fund	Capital Facilities Fund	Special Reserve Capital Outlay Fund	Non-Major Governmental Funds	Total
Nonspendable						
Revolving cash	\$ 20,075	\$ -	\$ -	\$ -	\$ -	\$ 20,075
Stores inventories	416,295	-	-	-	153,057	569,352
Prepaid expenditures	394,197	214,817	-	-	-	609,014
Total Nonspendable	830,567	214,817	-	-	153,057	1,198,441
Restricted						
Legally restricted programs	6,900,701	-	-	-	-	6,900,701
Capital projects	-	23,694,451	5,431,094	-	400,684	29,526,229
Child development	-	-	-	-	51,007	51,007
Adult education program	-	-	-	-	88,663	88,663
Food service	-	-	-	-	1,219,563	1,219,563
Debt service	-	-	-	-	5,511,745	5,511,745
Total Restricted	6,900,701	23,694,451	5,431,094	-	7,271,662	43,297,908
Committed						
Pupil transportation	87,749	-	-	-	-	87,749
Postemployment benefit costs	9,385,707	-	-	-	-	9,385,707
Adult education program	-	-	-	-	106,804	106,804
Total Committed	9,473,456	-	-	-	106,804	9,580,260
Assigned						
CalSTRS/CalPERS rate increases	3,500,000	-	-	-	-	3,500,000
Major repair projects	912,156	-	-	-	-	912,156
Program carryover	1,318,408	-	-	-	-	1,318,408
Curriculum replacement	47,028	-	-	-	-	47,028
Site mandated costs	72,399	-	-	-	-	72,399
Technology replacement	1,268,583	-	-	-	-	1,268,583
District farm carryover	316,113	-	-	-	-	316,113
Technology plan	1,228,397	-	-	-	-	1,228,397
STEM carover	110,580	-	-	-	-	110,580
Site carryovers	541,942	-	-	-	-	541,942
Textbook adoptions	8,173,808	-	-	-	-	8,173,808
Capital projects	-	-	-	20,839,943	-	20,839,943
Total Assigned	17,489,414	-	-	20,839,943	-	38,329,357
Unassigned						
Reserve for economic uncertainties	8,134,735	-	-	-	-	8,134,735
Remaining unassigned	10,202,643	-	-	-	-	10,202,643
Total Unassigned	18,337,378	-	-	-	-	18,337,378
Total	\$ 53,031,516	\$ 23,909,268	\$ 5,431,094	\$ 20,839,943	\$ 7,531,523	\$ 110,743,344

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 12 - RISK MANAGEMENT

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2018, the District contracted with Northern California Schools Insurance Group (NCSIG) for property and liability insurance coverage. NCSIG and its members belong to the Northern California Regional Excess Liability Fund and the Schools Excess Liability Fund for stop-loss property and liability coverage. The relationship between the District and NCSIG is such that it is not a component unit of the District for financial reporting purposes.

Workers' Compensation

The District is a member of the Central Region Schools' Insurance Group (CRSIG) public entity risk pool. The intent of the CRSIG pool is to achieve the benefit of a reduced premium for the District by virtue of its grouping and representation with other participants in the CRSIG pool. The workers' compensation experience of the participating districts is calculated as one experience and a common premium rate is applied to all districts in the CRSIG pool. Each participant pays its workers' compensation premium based on its individual rate. Total savings are then calculated and each participant's individual performance is compared to the overall savings percentage. A participant will then either receive money from or be required to contribute to the "equity-pooling fund." This "equity pooling" arrangement insures that each participant shares equally in the overall performance of the CRSIG pool. The relationship between the District and CRSIG is such that it is not a component unit of the District for financial reporting purposes.

NOTE 13 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2018, the District reported net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Collective Net Pension Liability	Collective Deferred Outflows of Resources	Collective Deferred Inflows of Resources	Collective Pension Expense
CalSTRS	\$ 117,081,605	\$ 32,116,619	\$ 8,891,396	\$ 11,059,498
CalPERS	43,364,927	13,648,574	734,101	8,036,681
Total	<u>\$ 160,446,532</u>	<u>\$ 45,765,193</u>	<u>\$ 9,625,497</u>	<u>\$ 19,096,179</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2016, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The STRP provisions and benefits in effect at June 30, 2018, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	10.25%	9.205%
Required employer contribution rate	14.43%	14.43%
Required state contribution rate	9.328%	9.328%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2018, are presented above and the District's total contributions were \$9,992,905.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2018, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share:

District's proportionate share of net pension liability	\$ 117,081,605
State's proportionate share of the net pension liability associated with the District	69,264,488
Total	<u>\$ 186,346,093</u>

The net pension liability was measured as of June 30, 2017. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2017 and June 30, 2016, respectively was 0.1266 percent and 0.1282 percent, resulting in a net decrease in the proportionate share of 0.0016 percent.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

For the year ended June 30, 2018, the District recognized pension expense of \$11,059,498. In addition, the District recognized pension expense and revenue of \$6,972,136 for support provided by the State. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 9,992,905	\$ -
Net change in proportionate share of net pension liability	-	3,731,095
Difference between projected and actual earnings on pension plan investments	-	3,118,209
Differences between expected and actual experience in the measurement of the total pension liability	432,979	2,042,092
Changes of assumptions	21,690,735	-
Total	<u>\$ 32,116,619</u>	<u>\$ 8,891,396</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

The deferred inflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Inflows of Resources
2019	\$ (2,592,283)
2020	1,961,593
2021	282,851
2022	(2,770,370)
Total	<u>\$ (3,118,209)</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2019	\$ 2,449,713
2020	2,449,713
2021	2,449,713
2022	2,449,713
2023	3,037,738
Thereafter	3,513,937
Total	<u>\$ 16,350,527</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2016, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2016
Measurement date	June 30, 2017
Experience study	July 1, 2010 through June 30, 2015
Actuarial cost method	Entry age normal
Discount rate	7.10%
Investment rate of return	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110 percent of the ultimate improvement factor from the Mortality Improvement Scale (MP-2016) table, issued by the Society of Actuaries.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance-PCA) as an input to the process. The actuarial investment rate of return assumption was adopted by the board in February 2017 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometrically-linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2017, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	6.30%
Fixed income	12%	0.30%
Real estate	13%	5.20%
Private equity	13%	9.30%
Absolute Return/Risk Mitigating Strategies	9%	2.90%
Inflation sensitive	4%	3.80%
Cash/liquidity	2%	-1.00%

Discount Rate

The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 171,912,966
Current discount rate (7.10%)	117,081,605
1% increase (8.10%)	72,582,239

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2016 annual actuarial valuation report, Schools Pool Actuarial Valuation. This report and CalPERS audited financial information are publicly available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2018, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	6.50%
Required employer contribution rate	15.531%	15.531%

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2018, are presented above and the total District contributions were \$3,841,192.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2018, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$43,364,927. The net pension liability was measured as of June 30, 2017. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2017 and June 30, 2016, respectively was 0.1817 percent and 0.1835 percent, resulting in a net decrease in the proportionate share of 0.0018 percent.

For the year ended June 30, 2018, the District recognized pension expense of \$8,036,681. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 3,841,192	\$ -
Net change in proportionate share of net pension liability	419,537	223,533
Difference between projected and actual earnings on pension plan investments	1,500,129	-
Differences between expected and actual experience in the measurement of the total pension liability	1,553,586	-
Changes of assumptions	6,334,130	510,568
Total	<u>\$ 13,648,574</u>	<u>\$ 734,101</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The deferred outflows of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2019	\$ (40,649)
2020	1,730,824
2021	631,424
2022	(821,470)
Total	<u>\$ 1,500,129</u>

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is 3.9 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2019	\$ 2,761,572
2020	2,690,314
2021	2,121,266
Total	<u>\$ 7,573,152</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2016, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2016
Measurement date	June 30, 2017
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.15%
Investment rate of return	7.15%
Consumer price inflation	2.75%
Wage growth	Varies by entry age and service

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

The mortality table used was developed based on CalPERS-specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equal to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	5.38%
Global debt securities	19%	2.27%
Inflation assets	6%	1.39%
Private equity	12%	6.63%
Real estate	11%	5.21%
Infrastructure and Forestland	3%	5.36%
Liquidity	2%	-0.90%

Discount Rate

The discount rate used to measure the total pension liability was 7.15 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.15%)	\$ 63,803,704
Current discount rate (7.15%)	43,364,927
1% increase (8.15%)	26,409,250

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Social Security

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by Social Security or an alternative plan. The District has elected to use social security.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$5,632,692 (9.328 percent of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements. On behalf payments have been included in the calculation of available reserves, but have not been included in the budgeted amounts reported in the *General Fund - Budgetary Comparison Schedule*.

NOTE 14 - COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2018.

Litigation

The District is involved in various litigation in which the District is the defendant. In the opinion of legal counsel it is too early in this litigation to make an evaluation of the outcome.

Operating Leases

The District has entered into various operating leases for buildings and equipment with lease terms in excess of one year. None of these agreements contain purchase options. All agreements contain a termination clause providing for cancellation after a specified number of days written notice to lessors, but it is unlikely that the District will cancel any of the agreements prior to the expiration date.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Construction Commitments

As of June 30, 2018, the District had the following commitments with respect to the unfinished capital projects:

Capital Projects	Site/Location	Remaining Construction Commitment	Expected Date of Completion
Brown fencing II and modernization - Measure N	Brown Elementary	\$ 180,000	June 2019
Security camera CNEC	Child Nutrition Education Facility	5,000	August 2018
Crowell fencing and modernization - Measure N	Crowell Elementary	210,000	September 2018
Cunningham security cameras-Measure N	Cunningham Elementary	30,000	October 2018
DMS modernization-Measure N	Dutcher Middle School	450,000	August 2020
Earl fencing II-Measure N	Earl Elementary	70,000	September 2018
Medeiros security cameras-Measure N	Medeiros Elementary	20,000	September 2018
Osborn modernization-Measure N	Osborn Elementary	980,000	August 2021
PHS - HVAC - Measure O	Pitman High School	1,130,000	July 2018
PHS fencing and modernization - Measure O	Pitman High School	370,000	September 2019
PHS security cameras-Measure O	Pitman High School	90,000	September 2018
THS science building - Measure O	Turlock High School	220,000	August 2020
THS fencing and modernization - Measure O	Turlock High School	310,000	August 2020
Debely synthetic turf replacement	Turlock High School Debely Stadium	480,000	July 2018
TJHS fencing and modernization - Measure N	Turlock Junior High School	830,000	August 2021
Prop 39 led lighting project TUSD	TUSD District Wide	890,000	October 2018
TUSD wireless/fiber project	TUSD District Wide	50,000	September 2018
Wakefield modernization-Measure N	Wakefield Elementary	550,000	August 2019
Total Estimated Construction Commitments		<u>\$ 6,865,000</u>	

NOTE 15 - PARTICIPATION IN JOINT POWERS AUTHORITIES

The District is a member of the Central Region Schools' Insurance Group (CRSIG) and the Northern California Schools Insurance Group (NCSIG) joint powers authorities (JPA's). The District pays an annual premium to the applicable JPA for its workers' compensation, and property liability coverage. The relationships between the District and the JPAs is such that they are not component units of the District for financial reporting purposes.

These JPAs have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the JPAs and the District are included in these statements. Audited financial statements are generally available from the respective entities.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 16 - RESTATEMENT OF PRIOR YEAR NET POSITION

The District adopted GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, in the current year. In addition, the District has restated the beginning fund balance in the Capital Facilities Fund for a prior year revenue accrual that was not realizable. As a result, the effect on the current fiscal year is as follows:

Government-Wide Financial Statements

Net Position - Beginning	\$ 66,844,818
Inclusion of net OPEB liability from the adoption of GASB Statement No. 75	(2,627,480)
Elimination of prior year revenue accrual - Capital Facilities Fund	<u>(237,748)</u>
Net Position - Beginning as Restated	<u><u>\$ 63,979,590</u></u>

Governmental Funds Balance Sheet - Capital Facilities Fund

Fund Balance - Beginning	\$ 6,653,265
Restatement - Elimination of prior year revenue accrual	<u>(237,748)</u>
Fund Balance - Beginning as Restated	<u><u>\$ 6,415,517</u></u>

REQUIRED SUPPLEMENTARY INFORMATION

TURLOCK UNIFIED SCHOOL DISTRICT

GENERAL FUND BUDGETARY COMPARISON SCHEDULE FOR THE YEAR ENDED JUNE 30, 2018

	Budgeted Amounts		Actual	Variances - Favorable (Unfavorable)
	Original	Final		Final to Actual
REVENUES				
Local Control Funding Formula	\$ 126,766,742	\$ 128,010,693	\$ 127,896,560	\$ (114,133)
Federal sources	6,003,319	8,154,724	7,493,172	(661,552)
Other State sources	13,863,439	14,861,171	15,882,100	1,020,929
Other local sources	9,516,529	11,669,212	11,451,806	(217,406)
Total Revenues ¹	156,150,029	162,695,800	162,723,638	27,838
EXPENDITURES				
Current				
Certificated salaries	68,024,606	70,243,718	68,235,882	2,007,836
Classified salaries	24,745,208	25,652,239	25,615,093	37,146
Employee benefits	33,237,543	33,391,904	31,989,997	1,401,907
Books and supplies	7,707,147	10,570,912	5,928,236	4,642,676
Services and operating expenditures	10,373,651	12,862,315	11,250,532	1,611,783
Other outgo	3,776,286	3,962,313	3,710,979	251,334
Capital outlay	4,140,161	7,074,315	4,367,786	2,706,529
Total Expenditures ¹	152,004,602	163,757,716	151,098,505	12,659,211
Excess (Deficiency) of Revenues Over Expenditures	4,145,427	(1,061,916)	11,625,133	12,687,049
Other Financing Sources (Uses)				
Transfers in	20,000	26,000	12,800	(13,200)
Transfers out	(2,200,000)	(10,200,000)	(5,546,864)	4,653,136
Net Financing Sources (Uses)	(2,180,000)	(10,174,000)	(5,534,064)	4,639,936
NET CHANGE IN FUND BALANCES	1,965,427	(11,235,916)	6,091,069	17,326,985
Fund Balance - Beginning	46,940,447	46,940,447	46,940,447	-
Fund Balance - Ending	\$ 48,905,874	\$ 35,704,531	\$ 53,031,516	\$ 17,326,985

¹ Due to the consolidation of Fund 15, Pupil Transportation Equipment Fund, and Fund 20, Special Reserve Fund for Postemployment Benefits for reporting purposes into the General Fund, additional revenues and expenditures pertaining to these other funds are included in the actual revenues and expenditures, however, are not included in the original and final General Fund budgets.

See accompanying note to required supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF CHANGES IN THE DISTRICT'S TOTAL OPEB LIABILITY AND RELATED RATIOS FOR THE YEAR ENDED JUNE 30, 2018

	2018
Total OPEB Liability	
Service cost	\$ 880,198
Interest	490,310
Benefit payments	(161,337)
Net change in total OPEB liability	1,209,171
Total OPEB liability - beginning	12,555,571
Total OPEB liability - ending	<u><u>\$ 13,764,742</u></u>
 Covered payroll	 N/A ¹
 District's total OPEB liability as a percentage of covered payroll	 N/A ¹

¹ The District's OPEB Plan is not administered through a trust and contributions are not made based on a measure of pay; therefore, no measure of payroll is presented.

Note: In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY FOR THE YEAR ENDED JUNE 30, 2018

	<u>2018</u>	<u>2017</u>
CalSTRS		
District's proportion of the net pension liability	<u>0.1266%</u>	<u>0.1282%</u>
District's proportionate share of the net pension liability	\$ 117,081,605	\$ 103,681,340
State's proportionate share of the net pension liability associated with the District	<u>69,264,488</u>	<u>59,023,938</u>
Total	<u><u>\$ 186,346,093</u></u>	<u><u>\$ 162,705,278</u></u>
District's covered - employee payroll	<u>\$ 67,388,601</u>	<u>\$ 61,900,890</u>
District's proportionate share of the net pension liability as a percentage of its covered - employee payroll	<u>173.74%</u>	<u>167.50%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>69%</u>	<u>70%</u>
CalPERS		
District's proportion of the net pension liability	<u>0.1817%</u>	<u>0.1835%</u>
District's proportionate share of the net pension liability	<u>\$ 43,364,927</u>	<u>\$ 36,237,590</u>
District's covered - employee payroll	<u>\$ 23,103,874</u>	<u>\$ 19,989,041</u>
District's proportionate share of the net pension liability as a percentage of its covered - employee payroll	<u>187.70%</u>	<u>181.29%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>72%</u>	<u>74%</u>

Note : In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

<u>2016</u>	<u>2015</u>
<u>0.1306%</u>	<u>0.1340%</u>
\$ 87,945,115	\$ 78,305,580
<u>46,506,979</u>	<u>47,284,765</u>
<u>\$ 134,452,094</u>	<u>\$ 125,590,345</u>
<u>\$ 59,911,984</u>	<u>\$ 57,827,047</u>
<u>146.79%</u>	<u>135.41%</u>
<u>74%</u>	<u>77%</u>
<u>0.1789%</u>	<u>0.1770%</u>
<u>\$ 26,353,721</u>	<u>\$ 20,093,810</u>
<u>\$ 17,997,524</u>	<u>\$ 16,645,910</u>
<u>146.43%</u>	<u>120.71%</u>
<u>79%</u>	<u>83%</u>

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF DISTRICT CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2018

	2018	2017
CalSTRS		
Contractually required contribution	\$ 9,992,905	\$ 8,477,486
Contributions in relation to the contractually required contribution	9,992,905	8,477,486
Contribution deficiency (excess)	\$ -	\$ -
District's covered - employee payroll	\$ 69,250,901	\$ 67,388,601
Contributions as a percentage of covered - employee payroll	14.43%	12.58%
CalPERS		
Contractually required contribution	\$ 3,841,192	\$ 3,208,666
Contributions in relation to the contractually required contribution	3,841,192	3,208,666
Contribution deficiency (excess)	\$ -	\$ -
District's covered - employee payroll	\$ 24,732,419	\$ 23,103,874
Contributions as a percentage of covered - employee payroll	15.531%	13.888%

Note : In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

2016	2015
\$ 5,496,799	\$ 4,942,744
5,496,799	4,942,744
<u>\$ -</u>	<u>\$ -</u>
\$ 61,900,890	\$ 59,911,984
<u>8.880%</u>	<u>8.25%</u>
\$ 2,352,910	\$ 2,059,277
2,352,910	2,059,277
<u>\$ -</u>	<u>\$ -</u>
\$ 19,989,041	\$ 17,997,524
<u>11.771%</u>	<u>11.442%</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NOTE TO REQUIRED SUPPLEMENTARY INFORMATION JUNE 30, 2018

NOTE 1 - PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United State of America as prescribed by the Governmental Accounting Standards Board and provisions of the *California Education Code*. The governing board is required to hold a public hearing and adopt an operating budget no later than July 1 of each year. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the total OPEB liability, including beginning and ending balances, the plan's fiduciary net position, and the total OPEB liability. In the future, as data becomes available, ten years of information will be presented.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

Changes in Benefit Terms – There were no changes in benefit terms since the previous valuations for both CalSTRS and CalPERS.

Changes of Assumptions – The CalSTRS plan rate of investment return assumption was changed from 7.60 percent to 7.10 percent since the previous valuation. The CalPERS plan rate of investment return assumption was changed from 7.65 percent to 7.15 percent since the previous valuation.

Schedule of District Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2018

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. DEPARTMENT OF EDUCATION			
Passed Through California Department of Education:			
Title I - Part A, Basic	84.010	14329	\$ 3,237,428
Title I - Part G, Adv Placement Test Fee Reimbursement	84.330B	14831	6,505
Title II - Supporting Effective Instruction	84.367	14341	460,869
Title III - English Language Acquisition - LEP	84.365	14346	371,690
Title III - English Language Acquisition - IEP	84.365	15146	7,016
Adult Basic Education and ESL	84.002A	14508	68,540
Adult Secondary Education	84.002	13978	107,806
Career and Technical Education, Secondary 131	84.048	14894	125,248
Workability II, Transitions Partnership	84.126	10006	71,384
Special Education, Basic	84.027	13379	2,259,104
Special Education, Basic - Private School	84.027	10115	4,257
Total U.S. Department of Education			<u>6,719,847</u>
DEPARTMENT OF HEALTH AND HUMAN SERVICES			
Passed Through California Department of Health Care Services:			
Medicaid Programs:			
Medi-Cal Administrative Activities	93.778	10060	780,853
Medi-Cal Billing Option	93.778	10013	168,819
Sub-total Medicaid Programs			<u>949,672</u>
Head Start	93.600	10016	2,273,554
Total Department of Health and Human Services			<u>3,223,226</u>
U.S. DEPARTMENT OF AGRICULTURE			
Passed Through California Department of Education:			
Child Nutrition Cluster:			
National School Lunch	10.555	13391	3,459,824
Especially Needy Breakfast	10.553	13526	937,886
Meals Supplements - Snack	10.555	13391	89,395
Basic Breakfast	10.553	13525	8,318
Summer School	10.559	13004	93,666
Food Distribution - Commodities	10.555	13391	496,104
Subtotal Child Nutrition Cluster			<u>5,085,193</u>
Total U.S. Department of Agriculture			<u>5,085,193</u>
Total Expenditures of Federal Awards			<u>\$ 15,028,266</u>

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE JUNE 30, 2018

ORGANIZATION

The Turlock Unified School District was unified on July 1, 2004, and consists of an area comprising approximately 100 square miles. The Turlock Unified School District was created on July 1, 2004, with the unification of the Turlock Joint Elementary School District and the Turlock Joint Union High School District. The District provides educational services to PreK-12 students within the boundaries of the original elementary district and to students in grades 9 through 12 from the Chatom Union and Keyes Union School Districts, which were not part of the unification process.

The District operates seven K-6 elementary schools, two elementary magnet schools, one middle school, one junior high school, two comprehensive high schools, and a continuation high school, as well as preschool, Head Start, and adult education programs.

The District, also, has a dependent charter school which provides educational services through multiple learning experiences to K-12 students. For reporting purposes, the charter school's budget is included in District's budget.

There were no boundary changes during the year.

GOVERNING BOARD

MEMBER	OFFICE	TERM EXPIRES
Barney Gordon	President	2020
Bob Weaver	Clerk	2018
Lori Carlson	Member	2018
Frank Lima	Member	2020
Ken Malech	Member	2020
Anthony Silva	Member	2020
Mark Walker	Member	2018

ADMINISTRATION

Dana Salles Trevethan	Superintendent
Mike Trainor	Assistant Superintendent/Business Services
Heidi Lawler	Assistant Superintendent/Educational Services
Julie Eastburn	Assistant Superintendent/Human Resources
Ronna Fraser	Chief Financial Officer

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF AVERAGE DAILY ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2018

	<u>Second Period Report</u>	<u>Annual Report</u>
TURLOCK UNIFIED SCHOOL DISTRICT		
Regular ADA		
Transitional kindergarten through third	3,869.27	3,870.71
Fourth through sixth	2,985.04	2,981.08
Seventh and eighth	1,988.70	1,982.47
Ninth through twelfth	4,446.91	4,414.51
Total Regular ADA	<u>13,289.92</u>	<u>13,248.77</u>
Extended Year Special Education		
Transitional kindergarten through third	7.99	7.99
Fourth through sixth	5.85	5.85
Seventh and eighth	2.82	2.82
Ninth through twelfth	5.39	5.39
Total Extended Year Special Education	<u>22.05</u>	<u>22.05</u>
Total ADA	<u>13,311.97</u>	<u>13,270.82</u>
 CHARTER SCHOOL - eCademy Charter at Crane		
Regular ADA - all non-classroom based		
Transitional kindergarten through third	9.53	9.89
Fourth through sixth	13.58	14.16
Seventh and eighth	39.35	40.00
Ninth through twelfth	69.99	71.76
Total ADA	<u>132.45</u>	<u>135.81</u>

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF INSTRUCTIONAL TIME FOR THE YEAR ENDED JUNE 30, 2018

Grade Level	1986-1987 Minutes Requirement	2017-2018 Actual Minutes	Number of Days		Status
			Traditional Calendar	Multitrack Calendar	
Kindergarten	36,000	36,720	180	N/A	Complied
Grades 1 - 3	50,400				
Grade 1		55,170	180	N/A	Complied
Grade 2		55,170	180	N/A	Complied
Grade 3		55,170	180	N/A	Complied
Grades 4 - 6	54,000				
Grade 4		55,170	180	N/A	Complied
Grade 5		55,170	180	N/A	Complied
Grade 6		55,170	180	N/A	Complied
Grades 7 - 8	54,000				
Grade 7		61,244	180	N/A	Complied
Grade 8		61,244	180	N/A	Complied
Grades 9 - 12	64,800				
Grade 9		65,092	180	N/A	Complied
Grade 10		65,092	180	N/A	Complied
Grade 11		65,092	180	N/A	Complied
Grade 12		65,092	180	N/A	Complied

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2018

Summarized below are the fund balance reconciliations between the Unaudited Actual Financial Report and the audited financial statements.

	Cafeteria Enterprise Fund
FUND BALANCE	
Balance, June 30, 2018, Unaudited Actuals	\$ 75,330
Decrease in:	
Deferred outflows	(4,586)
Net pension liability	1,102
Deferred inflows	4,428
Balance, June 30, 2018, Audited Financial Statement	\$ 76,274

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS FOR THE YEAR ENDED JUNE 30, 2018

	(Budget) 2019 ^{1,3}	2018 ³	2017 ³	2016 ³
GENERAL FUND				
Revenues	\$ 164,975,585	\$ 162,694,696	\$ 155,907,500	\$ 148,708,571
Other sources and transfers in	28,000	12,800	25,576	22,521
Total Revenues	165,003,585	162,707,496	155,933,076	148,731,092
Expenditures	162,241,279	151,098,505	144,757,428	128,401,784
Other uses and transfers out	2,200,000	10,246,864	10,431,062	11,293,488
Total Expenditures and Other Uses	164,441,279	161,345,369	155,188,490	139,695,272
INCREASE/(DECREASE) IN FUND BALANCE	\$ 562,306	\$ 1,362,127	\$ 744,586	\$ 9,035,820
ENDING FUND BALANCE	\$ 44,120,365	\$ 43,558,059	\$ 42,195,932	\$ 41,451,346
AVAILABLE RESERVES ²	\$ 24,709,385	\$ 18,337,378	\$ 21,363,673	\$ 21,305,987
AVAILABLE RESERVES AS A PERCENTAGE OF TOTAL OUTGO	15.0%	11.4%	13.8%	15.3%
LONG-TERM OBLIGATIONS ⁴	Not Available	\$ 81,786,841	\$ 83,717,296	\$ 55,432,727
AVERAGE DAILY ATTENDANCE AT P-2	13,311	13,312	13,242	13,321

The General Fund balance has increased by \$2,106,713 over the past two years. The fiscal year 2018-2019 budget projects a further increase of \$562,306 (1.3 percent). For a district this size, the State recommends available reserves of at least 3.0 percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating surpluses in each of the past three years and anticipates incurring an operating surplus during the 2018-2019 fiscal year. Total long-term obligations have increased by \$26,354,114 over the past two years primarily due to the issuance of general obligation bonds.

Average daily attendance has decreased by nine over the past two years. A decline of one ADA is anticipated during fiscal year 2018-2019.

¹ Budget 2019 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained with the General Fund.

³ General Fund amounts do not include activity related to the consolidation of the Pupil Transportation Equipment Fund and the Special Reserve Fund for Postemployment Benefits as required by GASB Statement No. 54.

⁴ The balance of long-term obligations was adjusted for the fiscal year ended June 30, 2017, due to the implementation of GASB 75.

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

SCHEDULE OF CHARTER SCHOOLS FOR THE YEAR ENDED JUNE 30, 2018

<u>Name of Charter School</u>	<u>Included in Audit Report</u>
eCademy Charter at Crane (Charter No. 1309)	Yes
Fusion Charter (Charter No. 1695)	No

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING BALANCE SHEET JUNE 30, 2018

	Adult Education Fund	Child Development Fund	Cafeteria Fund
ASSETS			
Deposits and investments	\$ 251,572	\$ 121,785	\$ 935,949
Receivables	48,648	355,452	755,965
Stores inventories	-	-	153,057
Total Assets	\$ 300,220	\$ 477,237	\$ 1,844,971
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 38,597	\$ 163,071	\$ 181,937
Due to other funds	66,156	1,132	290,414
Unearned revenue	-	262,027	-
Total Liabilities	104,753	426,230	472,351
Fund Balances:			
Nonspendable	-	-	153,057
Restricted	88,663	51,007	1,219,563
Committed	106,804	-	-
Total Fund Balances	195,467	51,007	1,372,620
Total Liabilities and Fund Balances	\$ 300,220	\$ 477,237	\$ 1,844,971

See accompanying note to supplementary information.

Mello Roos Fund	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
\$ 400,684	\$ 5,512,515	\$ 7,222,505
-	-	1,160,065
-	-	153,057
<u>\$ 400,684</u>	<u>\$ 5,512,515</u>	<u>\$ 8,535,627</u>

\$ -	\$ 770	\$ 384,375
-	-	357,702
-	-	262,027
<u>-</u>	<u>770</u>	<u>1,004,104</u>

-	-	153,057
400,684	5,511,745	7,271,662
-	-	106,804
<u>400,684</u>	<u>5,511,745</u>	<u>7,531,523</u>
<u>\$ 400,684</u>	<u>\$ 5,512,515</u>	<u>\$ 8,535,627</u>

TURLOCK UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2018

	Adult Education Fund	Child Development Fund	Cafeteria Fund
REVENUES			
Federal sources	\$ 176,347	\$ 2,273,554	\$ 5,085,193
Other State sources	1,532,011	1,117,023	353,540
Other local sources	43,692	(107)	1,429,565
Total Revenues	1,752,050	3,390,470	6,868,298
EXPENDITURES			
Current			
Instruction	942,741	2,212,550	-
Instruction-related activities:			
Supervision of instruction	354,221	143,986	-
School site administration	461,923	179,724	-
Pupil services:			
Food services	-	-	7,560,469
All other pupil services	122,760	186,057	-
Administration:			
All other administration	66,156	45,229	290,414
Plant services	31,107	48,091	-
Enterprise services	-	-	605
Facility acquisition and construction	-	515,786	508,098
Debt service			
Principal	-	21,000	-
Interest and other	-	-	-
Total Expenditures	1,978,908	3,352,423	8,359,586
Excess (Deficiency) of Revenues Over Expenditures	(226,858)	38,047	(1,491,288)
Other Financing Sources (Uses)			
Transfers in	-	-	46,864
Transfers out	-	-	(11,132)
Net Financing Sources (Uses)	-	-	35,732
NET CHANGE IN FUND BALANCES	(226,858)	38,047	(1,455,556)
Fund Balance - Beginning	422,325	12,960	2,828,176
Fund Balance - Ending	\$ 195,467	\$ 51,007	\$ 1,372,620

See accompanying note to supplementary information.

Mello Roos Fund	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
\$ -	\$ 691	\$ 7,535,785
-	71,574	3,074,148
118,711	7,273,210	8,865,071
<u>118,711</u>	<u>7,345,475</u>	<u>19,475,004</u>
-	-	3,155,291
-	-	498,207
-	-	641,647
-	-	7,560,469
-	-	308,817
-	-	401,799
-	-	79,198
-	-	605
-	-	1,023,884
-	2,530,000	2,551,000
-	2,149,306	2,149,306
<u>-</u>	<u>4,679,306</u>	<u>18,370,223</u>
<u>118,711</u>	<u>2,666,169</u>	<u>1,104,781</u>
-	-	46,864
<u>-</u>	<u>-</u>	<u>(11,132)</u>
<u>-</u>	<u>-</u>	<u>35,732</u>
118,711	2,666,169	1,140,513
281,973	2,845,576	6,391,010
<u>\$ 400,684</u>	<u>\$ 5,511,745</u>	<u>\$ 7,531,523</u>

TURLOCK UNIFIED SCHOOL DISTRICT

AGENCY FUNDS

COMBINING STATEMENT OF CHANGES IN ASSETS AND LIABILITIES FOR THE YEAR ENDED JUNE 30, 2018

	Balance July 1, 2017	Additions	Deductions	Balance June 30, 2018
ASSETS				
Cash				
Brown Elementary	\$ 2,014	\$ 39,475	\$ 28,379	\$ 13,110
Crowell Elementary	2,903	4,463	4,399	2,967
Cunningham Elementary	3,043	7,328	8,199	2,172
Earl Elementary	12,868	5,484	5,484	12,868
Julien Elementary	8,655	18,901	18,468	9,088
Medeiros Elementary	1,402	39,566	31,806	9,162
Osborn Two-Way Immersion Academy	7,783	8,964	12,178	4,569
Wakefield Elementary	1,647	9,045	8,821	1,871
Walnut Elementary	14,572	40,596	46,009	9,159
Dutcher Middle School	60,905	180,225	186,192	54,938
Turlock Junior High School	61,575	281,337	281,611	61,301
Turlock High School	574,036	1,158,263	1,153,423	578,876
Pitman High School	210,333	851,986	805,984	256,335
Pitman High School Revolving	6,983	24,061	19,974	11,070
eCademy Charter at Crane	1,182	1,333	1,579	936
Turlock Adult School	1,727	720	500	1,947
Roselawn High School	4,967	6,873	2,011	9,829
Total Cash	<u>\$ 976,595</u>	<u>\$ 2,678,620</u>	<u>\$ 2,615,017</u>	<u>\$ 1,040,198</u>
LIABILITIES				
Due to Student Groups	<u>\$ 976,595</u>	<u>\$ 2,678,620</u>	<u>\$ 2,615,017</u>	<u>\$ 1,040,198</u>

See accompanying note to supplementary information.

TURLOCK UNIFIED SCHOOL DISTRICT

**NOTE TO SUPPLEMENTARY INFORMATION
JUNE 30, 2018**

NOTE 1 - PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements. The District has not elected to use the ten percent de minimis cost rate as covered in Section 200.414 Indirect (F&A) costs of the Uniform Guidance.

The following schedule provides reconciliation between revenues reported on the Statement of Revenues, Expenditures, and Changes in Fund Balances, and the related expenditures reported on the Schedule of Expenditures of Federal Awards. The reconciling amount consists of an FHA tax apportionment that is reported in the financial statements.

	<u>CFDA Number</u>	<u>Amount</u>
Total Federal Revenues From the Statement of Revenues, Expenditures, and Changes in Fund Balances:		\$ 15,028,957
Reconciling items:		
FHA In Lieu Tax Apportionment	Not Applicable	(691)
Total Schedule of Expenditures of Federal Awards		<u>\$ 15,028,266</u>

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46206.

Districts must maintain their instructional minutes at the 1986-1987 requirements as required by *Education Code* Section 46201.

TURLOCK UNIFIED SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2018

Reconciliation of Annual Financial and Budget Report With Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Schedule of Charter Schools

This schedule lists all charter schools chartered by the District, and displays information for each charter school on whether or not the charter school is included in the District audit.

Non-Major Governmental Funds - Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

Agency Funds - Combining Statement of Changes in Assets and Liabilities

The Agency Funds Combining Statement of Changes in Assets and Liabilities is included to provide information regarding the annual activity for the individual student body accounts at each of the District's school sites.

INDEPENDENT AUDITOR'S REPORTS



VAVRINEK, TRINE, DAY & CO., LLP
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**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Governing Board
Turlock Unified School District
Turlock, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Turlock Unified School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise Turlock Unified School District's basic financial statements, and have issued our report thereon dated December 12, 2018.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 and Note 16 to the financial statements, in 2018, the District adopted new accounting guidance, GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. Our opinion is not modified with respect to this matter.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Turlock Unified School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Turlock Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Turlock Unified School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Turlock Unified School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We noted certain matters that we reported to management of Turlock Unified School District in a separate letter dated December 12, 2018.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Vavrinek, Trine, Day & Co. LLP

Fresno, California
December 12, 2018



VAVRINEK, TRINE, DAY & CO., LLP
Certified Public Accountants

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**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

Governing Board
Turlock Unified School District
Turlock, California

Report on Compliance for Each Major Federal Program

We have audited Turlock Unified School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Turlock Unified School District's major Federal programs for the year ended June 30, 2018. Turlock Unified School District's major Federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its Federal awards applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Turlock Unified School District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about Turlock Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of Turlock Unified School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Turlock Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of Turlock Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Turlock Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Turlock Unified School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Varrinck, Trine, Day & Co. LLP

Fresno, California
December 12, 2018



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INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Governing Board
Turlock Unified School District
Turlock, California

Report on State Compliance

We have audited Turlock Unified School District's (the District) compliance with the types of compliance requirements as identified in the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* that could have a direct and material effect on each of the Turlock Unified School District's State government programs as noted below for the year ended June 30, 2018.

Management's Responsibility

Management is responsible for compliance with the requirements of State laws, regulations, and the terms and conditions of its State awards applicable to its State programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the Turlock Unified School District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on the applicable government programs noted below. An audit includes examining, on a test basis, evidence about Turlock Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinions. Our audit does not provide a legal determination of Turlock Unified School District's compliance with those requirements.

Unmodified Opinion

In our opinion, Turlock Unified School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the government programs noted below that were audited for the year ended June 30, 2018.

In connection with the audit referred to above, we selected and tested transactions and records to determine the Turlock Unified School District's compliance with the State laws and regulations applicable to the following items:

	Procedures Performed
LOCAL EDUCATION AGENCIES OTHER THAN CHARTER SCHOOLS	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No (see below)
Continuation Education	Yes
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No (see below)
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No (see below)
Middle or Early College High Schools	No (see below)
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Apprenticeship: Related and Supplemental Instruction	No (see below)
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After/Before School Education and Safety Program:	
General Requirements	No (see below)
After School	No (see below)
Before School	No (see below)
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control Accountability Plan	Yes
Independent Study - Course Based	No (see below)
CHARTER SCHOOLS	
Attendance	Yes
Mode of Instruction	No (see below)
Non Classroom-Based Instruction/Independent Study for Charter Schools	Yes
Determination of Funding for Non Classroom-Based Instruction	Yes
Annual Instruction Minutes Classroom-Based	No (see below)
Charter School Facility Grant Program	No (see below)

We did not perform procedures for Independent Study because the independent study ADA was under the level that requires testing.

The District did not have any employees retire under the CalSTRS Early Retirement Incentive program; therefore, testing was not required.

The District does not have any Juvenile Court Schools; therefore, we did not perform procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools; therefore, we did not perform procedures related to Middle or Early College High Schools.

The District does not offer an apprenticeship program; therefore, we did not perform procedures related to Apprenticeship: Related and Supplemental Instruction.

We did not perform procedures for the After School Education and Safety Program because the grantee, Stanislaus County Office of Education, administers the program and has its own audit.

The District does not offer an Independent Study - Course Based program; therefore, we did not perform any procedures related to the Independent Study - Course Based Program.

We did not perform procedures for the Charter Schools Mode of Instruction or Annual Instruction Minutes Classroom-Based because the District's charter school is entirely non-classroom based.

Additionally, we did not perform procedures for the Charter School Facility Grant Program because the District did not receive funding for this program.

Vavrinek, Trine, Day & Co. LLP

Fresno, California
December 12, 2018

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

TURLOCK UNIFIED SCHOOL DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2018

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major Federal programs:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Type of auditor's report issued on compliance for major Federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section 200.516(a) of the Uniform Guidance?	<u>No</u>
Identification of major Federal programs:	

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
<u>10.553, 10.555, 10.559</u>	<u>Child Nutrition Cluster</u>
<u>93.600</u>	<u>Head Start</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 750,000</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for programs:	<u>Unmodified</u>
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TURLOCK UNIFIED SCHOOL DISTRICT

**FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

TURLOCK UNIFIED SCHOOL DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

TURLOCK UNIFIED SCHOOL DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

TURLOCK UNIFIED SCHOOL DISTRICT

**SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2018**

There were no audit findings reported in the prior year's schedule of financial statement findings.



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Governing Board
Turlock Unified School District
Turlock, California

In planning and performing our audit of the financial statements of Turlock Unified School District (the District), we considered its internal control structure in order to determine our auditing procedures for the purpose of expressing our opinion on the financial statements and not to provide assurance on the internal control structure.

However, during our audit we noted matters that are opportunities for strengthening internal controls and operating efficiency. The following items represent conditions noted by our audit that we consider important enough to bring to your attention. This letter does not affect our report dated December 12, 2018, on the government-wide financial statements of the District.

JOHN PITMAN HIGH SCHOOL - ASSOCIATED STUDENT BODY (ASB)

Cash Sub-Receipts

Observation

During our audit of the cash receipts system, we discovered that teachers are not consistently using sub-receipt books or a class roster (there is no supporting documentation) to document when money is being turned in, how much is collected, and whom it was collected from. Since there are no sub-receipts attached to the monies turned in, the bookkeeper cannot reconcile the funds back to any documentation to determine the accuracy of the cash count sheet and the actual money turned in.

Recommendation

The site should maintain sub-receipt books in addition to the ASB's primary receipt book. These sub-receipt books will be given to teachers when they are conducting activities in which cash is collected. A system should be established to track the receipt number sequences of the sub-receipt books and to whom the books were given. For certain events, a class roster may be sufficient in place of using a sub-receipt book. Prenumbered receipts should be issued, or a classroom roster should be completed, for all cash collections by teachers/advisors which will include a specific description of the source of the funds. A copy of the receipts issued, or a copy of the completed roster by the teachers and advisors, should be forwarded with the cash to the bookkeeper as documentation that all monies collected have been turned in.

Cash Disbursements

Observation

In auditing cash disbursement procedures, we determined that internal controls over the disbursement process are not in place. We discovered three of the ten expenditures tested had approval signatures dated after the invoice/receipt date indicating the expenditure was not preapproved. Additionally, we found the site did not obtain the student representative's approval signature on five of the disbursement documents tested.

Recommendation

The site should review the cash disbursement procedures outlined in the *Associated Student Body Accounting Manual, Fraud Prevention Guide and Desk Reference* published by the Fiscal Crisis & Management Assistance Team (FCMAT) which is available at www.fcmat.org. In order to provide proper controls over spending, the site should take the necessary steps to ensure that expenditures are approved by site administration, a club advisor and a student representative prior to the item being purchased.

Revenue Potentials

Observation

Revenue potential forms are used by the ASB to approve and document fundraising activities as they occur. However, we found that revenue potential forms are not always filled out completely. Some forms did not include an analysis of whether or not the fundraiser was successful. The club should compare the anticipated versus actual revenues/expenses and note any differences. This section is necessary in explaining possible unforeseen events that might have caused the fundraiser to not be successful.

Recommendation

The revenue potential form is a vital internal control tool; it should be used to document potential revenues and expenditures and also to document actual revenue and expenditures. This allows an analysis of the fundraiser to be conducted, indicating to the staff the success or failure of the completed event. The revenue potential can also identify weak control areas in the fundraising process, including lost or stolen merchandise or problems with collecting funds. The revenue potential form should contain four major elements. These are:

- **Potential Expense/Income**-This lists the selling price of the item multiplied by the number of items purchased to compute the total income that should be deposited from the fundraiser if all the items were sold and all funds were turned in. This element should also be utilized to track the cost of the items, check numbers used to purchase the items, and the purchase dates. This purchasing information is a good reference source for future sales and also tracks cost so profits can be determined.
- **Expenditures/Receipts/Fundraiser Deposits**-This records all expenditures and deposits turned in from funds generated from the event. The check numbers and receipt numbers issued to the advisor from the bookkeeper, date, and deposit amount, should be documented on the form. This is necessary to perform a recap of the expenses and income from deposits. It also creates a trail of checks and deposits that can be traced to the appropriate accounts.
- **Analysis**-This section is used to compare the potential income as calculated in the potential income section to the actual funds raised as calculated in the Receipts/Fundraiser Deposits section. The difference between these two amounts should be documented and explained. The explanation can consist of merchandise not sold, merchandise lost or destroyed, or funds lost or stolen.

- Recap-This section calculates the net profit of the event. Fundraisers of this type can be planned to continue in the future or be canceled, depending on the results in this section.

Master Ticket Log

Observation

A master ticket log is not being utilized to account for all tickets on hand and used during the year.

Recommendation

A master ticket log should be maintained, which notes the type of ticket, color, and beginning and ending ticket number in the roll. When ticket rolls are issued, they should be logged out noting the beginning ticket number in the roll and to whom the roll was issued. When the ticket sales recap form and ticket roll is returned, the ending ticket number should be recorded in the master ticket log and the form should be reconciled to the log. The log should be used in conjunction with a ticket sales recap form.

TURLOCK JUNIOR HIGH SCHOOL

Inventory

Observation

During our audit, we found that the site does not have proper controls over student store inventory. A physical inventory is not taken quarterly and beginning and ending inventory is not documented; therefore, total sales cannot be reconciled to the amount of funds turned in to the bookkeeper.

Recommendation

A physical inventory should be taken quarterly. The inventory listing should contain a description, unit cost, quantity, and extended value. This information is necessary in order to analyze sales activity, profits, and to determine if merchandise has been lost or stolen. The June 30 inventory report would also be used in the preparation of the financial statements prepared for the Associated Student Body of the site. Further information can be found in the *Associated Student Body Accounting Manual, Fraud Prevention Guide and Desk Reference* published by the Fiscal Crisis & Management Assistance Team (FCMAT) which is available at www.fcmat.org.

DUTCHER MIDDLE SCHOOL

Revenue Potentials

Observation

During our audit, we found that revenue potential forms are not consistently being used to document and control fundraising activities as they occur and the forms that are prepared are sometimes incomplete. These forms supply an element of internal control, without which it is difficult to determine the success of a fundraiser and to track money as it is spent and received. This is a repeat finding from the 2016-2017 year.

Recommendation

The revenue potential form is a vital internal control tool; it should be used to document potential revenues and expenditures and also to document actual revenue and expenditures. This allows an analysis of the fundraiser to be conducted, indicating to the staff the success or failure of the completed event. The revenue potential can also identify weak control areas in the fundraising process, including lost or stolen merchandise or problems with collecting funds. The revenue potential form should contain four major elements. These are:

- **Potential Expense/Income**-This lists the selling price of the item multiplied by the number of items purchased to compute the total income that should be deposited from the fundraiser if all the items were sold and all funds were turned in. This element should also be utilized to track the cost of the items, check numbers used to purchase the items, and the purchase dates. This purchasing information is a good reference source for future sales and also tracks cost so profits can be determined.
- **Expenditures/Receipts/Fundraiser Deposits**-This records all expenditures and deposits turned in from funds generated from the event. The check numbers and receipt numbers issued to the advisor from the bookkeeper, date, and deposit amount, should be documented on the form. This is necessary to perform a recap of the expenses and income from deposits. It also creates a trail of checks and deposits that can be traced to the appropriate accounts.
- **Analysis**-This section is used to compare the potential income as calculated in the potential income section to the actual funds raised as calculated in the Receipts/Fundraiser Deposits section. The difference between these two amounts should be documented and explained. The explanation can consist of merchandise not sold, merchandise lost or destroyed, or funds lost or stolen.
- **Recap**-This section calculates the net profit of the event. Fundraisers of this type can be planned to continue in the future or be canceled, depending on the results in this section.

Ticket Sales

Observation

During our audit we found that the bookkeeper completes the 'Ticket Inventory/Sales' form after each ticketed event takes place, as opposed to the ticket seller. When one individual is responsible for maintaining custody of ticket sales, recording ticket revenues to club accounts, and preparing and making bank deposits, a deficiency in the segregation of duties is created when that individual also completes the 'Ticket Inventory/Sales' form. This is a repeat finding from the 2016-2017 year.

Recommendation

The bookkeeper should only maintain the ticket inventory log and check out the tickets to the seller, noting the beginning ticket number. The seller is responsible for preparing the 'Ticket Inventory/Sales' form. The bookkeeper will reconcile the number of tickets sold to the funds collected and verify any differences noted.

Cash Disbursements

Observation

During our audit of cash disbursements, we discovered internal controls over the disbursement process are not consistently adhered to. Purchases were made for the ASB and clubs where no pre-approval was obtained and there were instances where no purchase order was prepared. The pre-approval process is crucial in that it ensures the ASB and clubs will not deficit spend their accounts. This is a repeat finding from the 2016-2017 year.

Recommendation

California *Education Code* Section 48933(b) states "The funds shall be expended subject to such procedure as may be established by the student body organization subject to the approval of each of the following three persons, which shall be obtained each time before any of the funds may be expended: an employee or official of the school district designated by the governing board, the certificated employee who is the designated adviser of the particular student body organization, and a representative of the particular student body organization."

The District should review the cash disbursement procedures outlined in the *Associated Student Body Accounting Manual, Fraud Prevention Guide and Desk Reference* published by the Fiscal Crisis & Management Assistance Team (FCMAT) which is available at www.fcmat.org. In order to provide proper controls over spending, the site should take the necessary steps to ensure purchase orders are used, and approved prior to the item being purchased and by all required persons.

We will review the status of the current year comments during our next audit engagement.

Varrinck, Trine, Day + Co. LLP

Fresno, California
December 12, 2018

APPENDIX B

FORM OF CONTINUING DISCLOSURE CERTIFICATE

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APPENDIX B

FORM OF CONTINUING DISCLOSURE CERTIFICATE

\$13,600,000
GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF
THE TURLOCK UNIFIED SCHOOL DISTRICT
ELECTION OF 2016, SERIES 2019

CONTINUING DISCLOSURE CERTIFICATE

[CLOSING DATE]

This Continuing Disclosure Certificate (this “Disclosure Certificate”) is executed and delivered by the Turlock Unified District (the “District”) in connection with the issuance of Thirteen Million Six Hundred Thousand Dollars (\$13,600,000) aggregate principal amount of General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District, Election of 2016, Series 2019 (the “Bonds”). The Bonds are being issued pursuant to a First Supplemental Paying Agent Agreement dated May 1, 2019, between the District and Zions Bancorporation, National Association (the “Paying Agent”), supplementing the Paying Agent Agreement dated May 1, 2017, between the District and the Paying Agent (altogether, the “Paying Agent Agreement”). The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being delivered by the District for the benefit of the holders and beneficial owners of the Bonds, and to assist the Participating Underwriter, as defined below, in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Paying Agent Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

Annual Report means any report provided by the District pursuant to, and as described in, Sections 3 (Provision of Annual Reports) and 4 (Content of Annual Reports) of this Disclosure Certificate.

Beneficial Owner means any person who (a) has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries); or (b) is treated as the owner of any Bonds for federal income tax purposes.

Bondholders means either the registered owners of the Bonds, or, if the Bonds are registered in the name of The Depository Trust Company or another recognized depository, any Beneficial Owner or applicable participant in its depository system.

Dissemination Agent means the District, or any successor Dissemination Agent designated in writing by the District, and which has filed with the District a written acceptance of such designation.

EMMA or Electronic Municipal Market Access means the centralized online repository for documents filed with the MSRB, such as official statements and disclosure information relating to municipal bonds, notes and other securities as issued by state and local governments.

Financial Obligation means a (a) debt obligation; (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (c) guarantee of (a) or (b). The term “Financial Obligation” does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

Listed Events means any of the events listed in Section 5(a) (Reporting of Significant Events – Significant Events) of this Disclosure Certificate.

MSRB means the Municipal Securities Rulemaking Board, which has been designated by the Securities and Exchange Commission as the sole repository of disclosure information for purposes of the Rule, or any other repository of disclosure information, which may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

Official Statement means the final Official Statement dated May 8, 2019, relating to the Bonds.

Opinion of Bond Counsel means a written opinion of a law firm or attorney experienced in matters relating to obligations the interest on which is excludable from gross income for federal income tax purposes.

Participating Underwriter means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

Repository means MSRB or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

Rule means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

State means the State of California.

Section 3. Provision of Annual Reports.

a. Delivery of Annual Report to Repository. The District shall, or shall cause the Dissemination Agent to, not later than nine and one half (9½) months after the end of each fiscal year, commencing with the report for the 2018-2019 Fiscal Year, due April 15, 2020, provide to the Repository an Annual Report that is consistent with the requirements of Section 4 (Content of Annual Reports) of this Disclosure Certificate. The Annual Report may be submitted as a single document or as a package of separate documents and may include by cross-reference other information as provided in Section 4 (Content of Annual Reports) of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's Fiscal Year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(d).

If the District does not provide, or cause the Dissemination Agent to provide, an Annual Report by the date required above, the Dissemination Agent shall provide to the MSRB, in an electronic format as prescribed by the MSRB, a notice in substantially the form attached as Exhibit A.

b. The Dissemination Agent shall:

(1) determine each year prior to the Annual Report Date the then-applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and

(2) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided.

Section 4. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

a. Financial Statements. Audited financial statements prepared in accordance with the generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

b. Other Financial Information and Operating Data. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District's audited financial statements):

- (1) Adopted budget of the District for the then current fiscal year, or a summary thereof;
- (2) Average daily attendance of the District for the last completed fiscal year;
- (3) Outstanding District indebtedness, including a separate statement of debt for School Facilities Improvement District No. 1, for the last completed fiscal year;
- (4) Assessed valuation for real property located within School Facilities Improvement District No. 1 for the then current fiscal year; and
- (5) In the event the County of Stanislaus and/or the County of Merced discontinue the Teeter Plan with respect to the taxes levied for debt service for Bonds, information regarding total secured tax charges and delinquencies on taxable properties within School Facilities Improvement District No. 1, if and to the extent provided to the District by the County of Stanislaus and the County of Merced.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities that have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

Section 5. Reporting of Significant Events.

a. Significant Events. Pursuant to the provisions of this Section, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax-exempt status of the Bonds;
- (7) modifications to rights of Bondholders, if material;

- (8) Bond calls, if material;
- (9) tender offers;
- (10) defeasances;
- (11) release, substitution, or sale of property securing repayment of the Bonds, if material;
- (12) rating changes;
- (13) bankruptcy, insolvency, receivership or similar event of the District;
- (14) the consummation of a merger, consolidation, or acquisition, or certain asset sales, involving the District, or entry into or termination of a definitive agreement relating to the foregoing, if material;
- (15) appointment of a successor or additional trustee or paying agent, or the change of name of the trustee or paying agent, if material;
- (16) incurrence of a Financial Obligation of the District, if material, or agreement to covenant, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect Bondholders, if material;
- (17) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

b. Determination of Materiality. Whenever the District obtains knowledge of one of the foregoing events notice of which must be given only if material, the District shall immediately determine if such event would be material under applicable federal securities laws.

c. Notice to Dissemination Agent. If the District has determined an occurrence of a Listed Event under applicable federal securities laws, the District shall promptly notify the Dissemination Agent (if other than the District) in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (d) (Notice of Listed Events).

d. Notice of Listed Events. The District shall file, or cause the Dissemination Agent to file, with the Repository, in an electronic format prescribed by the MSRB, a notice of the occurrence of a Listed Event to provide notice of specified events in a timely manner not in excess of ten (10) business days after the event's occurrence. Notwithstanding the foregoing, notice of Listed Events described in subsection (a)(8) (Bond calls) need not be given under this subsection any earlier than the notice (if any) given to Bondholders of affected Bonds pursuant to the Paying Agent Agreement.

Section 6. Identifying Information for Filings with MSRB. All documents provided to the MSRB under this Disclosure Certificate shall be filed in a readable PDF or other electronic format as prescribed by the MSRB and shall be accompanied by identifying information as prescribed by the MSRB.

Section 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption, or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the

Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(d) (Notice of Listed Events).

Section 8. **Dissemination Agent.** The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The initial Dissemination Agent will be Government Financial Strategies inc.

Section 9. **Amendment; Waiver.** Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

a. if the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;

b. the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

c. the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Paying Agent Agreement for amendments to the Paying Agent Agreement with the consent of holders, or (ii) does not, in the opinion of the Paying Agent or nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds.

If the annual financial information or operating data to be provided in the Annual Report is amended pursuant to the provisions hereof, the first annual financial information filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the District to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be filed in the same manner as for a Listed Event under Section 5(d).

Section 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. Default. If the District fails to comply with any provision of this Disclosure Certificate, any Bondholder of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Paying Agent Agreement, and the sole remedy under this Disclosure Certificate if the District fails to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall have no duty or obligation to review any information provided to it hereunder and shall not be deemed to be acting in any fiduciary capacity for the District, the Bondholders, or any other party. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Paying Agent, the Dissemination Agent, the Participating Underwriter and holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

IN WITNESS WHEREOF, the District has caused this Continuing Disclosure Certificate to be executed by its authorized officer as of the day and year first above written.

**TURLOCK UNIFIED SCHOOL
DISTRICT**

By: _____
Dana Salles Trevethan, Superintendent

EXHIBIT A

FORM OF NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: Turlock Unified School District

Name of Bonds: GENERAL OBLIGATION BONDS OF
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 1 OF
THE TURLOCK UNIFIED SCHOOL DISTRICT
ELECTION OF 2016, SERIES 2019

Date of Delivery: [CLOSING DATE]

NOTICE IS HEREBY GIVEN that the Turlock Unified School District (the "District") has not provided an Annual Report with respect to the above-named Bonds as required by a Continuing Disclosure Certificate executed [CLOSING DATE], with respect to the above-captioned bond issue. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

**TURLOCK UNIFIED SCHOOL
DISTRICT**

[SAMPLE ONLY]

APPENDIX C

FORM OF OPINION OF BOND COUNSEL

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APPENDIX C

FORM OF OPINION OF BOND COUNSEL

PARKER & COVERT LLP
Attorneys at Law
2520 Venture Oaks Way, Suite 190
Sacramento, California 95833

Board of Trustees
Turlock Unified School District
1574 East Canal Drive
Turlock, California 95380

Re: \$13,600,000
General Obligation Bonds of
School Facilities Improvement District No. 1 of
The Turlock Unified School District
Election of 2016, Series 2019

Final Opinion of Bond Counsel

Members of the Board of Trustees:

We have acted as bond counsel in connection with the issuance by the Turlock Unified School District (the “District”) of \$13,600,000 principal amount of General Obligation Bonds of School Facilities Improvement District No. 1 of the Turlock Unified School District, Election of 2016, Series 2019 (the “Bonds”). In such capacity, we have examined such law and such certified proceedings, certifications, and other documents as we have deemed necessary to render this opinion.

Regarding questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion that, under existing law:

1. The Bonds have been duly authorized and executed by the District and are valid and binding general obligations of the District. The tax for the payment of the Bonds is limited to annual taxes to be levied upon and collected from property within School Facilities Improvement District No. 1 of the Turlock Unified School District (“SFID No. 1”).

2. All taxable property in the territory of SFID No. 1 is subject to *ad valorem* taxation without limitation regarding rate or amount (except certain personal property that is taxable at limited rates) to pay the Bonds. Stanislaus County and Merced County are required by

law to include in its annual tax levy the principal and interest coming due on the Bonds to the extent that necessary funds are not provided from other sources.

3. Interest on the Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals. The opinion set forth in the preceding sentence is subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the Bonds in order that the interest thereon be, and continue to be, excludable from gross income for federal income tax purposes. The District has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to the date of issuance of the Bonds.

4. Interest on the Bonds is exempt from State of California personal income taxation.

The rights of the owners of the Bonds and the enforceability thereof are limited by bankruptcy, insolvency, reorganization, moratorium, and other similar laws affecting creditors' rights generally, and by equitable principles, whether considered at law or in equity.

We express no opinion regarding the accuracy, adequacy, or completeness of the Official Statement or other offering material relating to the Bonds. Further, we express no opinion regarding tax consequences arising with respect to the Bonds other than as expressly set forth herein.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Very truly yours,

PARKER & COVERT LLP

APPENDIX D

STANISLAUS COUNTY TREASURY POOL INVESTMENT POLICY

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STANISLAUS COUNTY TREASURY POOL INVESTMENT POLICY

Effective Date: July 1, 2018

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PURPOSE AND SCOPE

The purpose of the Stanislaus County Treasury Pool Investment Policy ("Policy") is to provide guidance of the investment of funds in excess of the current day's necessary expenditure which by California State law ("Law") and local ordinance are entrusted to and delegated to the Stanislaus County Treasurer for investment.

The scope of this policy applies solely to funds deposited with the Stanislaus County Treasurer for operating needs as part of the Stanislaus County Treasury Pool ("Pool") of funds. Local legislative and directive bodies such as the Board of Supervisors, various school boards, district boards and special agency boards which by Law have authority to invest funds entrusted to such bodies outside of the Pool (including but not limited to employee retirement funds and bond proceeds) are not constrained to adhere to this policy for investment of funds outside of the Pool.

OBJECTIVE

The primary objective of the investment of short term operating funds is to maintain the principal of such funds (safety) in investment vehicles which are easily converted to cash (liquidity) while obtaining a competitive market rate of return (yield) for the risk taken at the time of investing.

Safety of principal is of paramount importance. Investments will only be made in securities, which have a very high probability of maintaining the principal invested. Only highly rated or strongly collateralized investments will be made. Diversification by type of investment, issuer and maturity to minimize the risk of loss of principal due to credit deterioration or interest rate volatility will be made. Sales of securities before maturity may be made if at a gain, to avoid an anticipated default of payment by the issuer of interest or principal or if such sale will allow investment in a higher yielding vehicle and any loss upon sale can be more than compensated by additional interest earnings within a six month period. Sale of securities also may be made for efficiency if due to the growth in the size of the portfolio any investment is less than one-fourth of one percent of the total portfolio.

To achieve appropriate liquidity needs the Pool's investments must be in maturity ranges which meet normal, anticipated disbursement requirements of all depositors as can be determined by historical disbursement patterns as well as communicated forecasts by depositors. Unanticipated cash disbursement needs require that investments be easily convertible to cash by maintaining shorter maturities in highly traded securities.

To achieve a competitive market rate of return or yield, individual investment decisions must be made on a competitive basis. Due to the primary need of maintaining the purchasing power and cash availability of depositors' funds, the portfolio's yield will normally be lower than that of higher-risk, longer maturity investment pools. An earnings rate goal for the fund will generally achieve a yield, which is 100 basis points higher than inflation.

INVESTMENT AUTHORITY AND STANDARDS OF CARE

The daily investment of Pool funds has been delegated to the Stanislaus County Treasurer/Tax Collector ("Treasurer") pursuant to Government Code section 27000.1 and 53607. This is an annual delegation given to the Stanislaus County Treasurer/Tax Collector by the Stanislaus County Board of Supervisors each year and can be revoked by the Stanislaus County Board of Supervisors at any time. The Treasurer is responsible for all transactions undertaken and shall establish a system of controls to regulate the activities of subordinates. All transactions must comply with Law and be in conformity with this Policy. The Treasurer shall have written policies and procedures to insure investment compliance including:

- A listing of authorized financial institutions and broker/dealers. Broker/dealers may include "primary" or regional dealers that qualify under Securities and Exchange Commission Rule 15C3-1 (uniform net capital rule) with a minimum capitalization of \$10,000,000 and have at least one major office of operation within the State of California. Broker/dealers must have broker/dealer staff who have at least five years experience in Pool investment transactions with California local government investment officials. Broker/dealers must supply the following:
 1. Financial Industry Regulatory Authority (FINRA)
 2. Proof of California State registration
 3. Verification of review of and willingness to comply with this Policy
- Broker/dealers are prohibited from making political contributions to any candidate for the Board of Supervisors or Treasurer/Tax Collector, which exceed the limitations contained in Rule G-37 of the Municipal Securities Rulemaking Board.
- Internal controls as approved and monitored by the Stanislaus County Auditor-Controller in accordance with Law and which address control to avoid or detect collusion, appropriate separation of duties, custodial safekeeping, avoidance of physical delivery of securities, clear delegation of investment authority and responsibilities, written confirmation (acceptable via fax) by Treasurer for investments which mature in more than one year, and an appropriate wire transfer arrangement between a lead banking institution and the third party custodian.
- All investments shall be made with the care, skill, prudence and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with these matters would use in the conduct of an enterprise of a like character and with like aims. Financial market security transactions will be executed by delivery versus payment and the securities will be held by a third party custodian.

INVESTMENT AUTHORITY AND STANDARDS OF CARE (Continued)

- To avoid even the appearance of a conflict of interest, all officers and employees involved in the investment process shall refrain from personal business activity which in any way could hinder the proper execution and management of the investment program or impair anyone's ability to make an impartial decision.
- Pursuant to Government Code Sections 27132.1, 27132.2 and 27132.3 Committee members are prohibited from:
 1. Being an employee of an entity which has contributed to the campaign fund of any candidate for local treasurer or legislative body either during membership or three years prior to membership
 2. Raising any money for a candidate for local treasurer or governing board
 3. Securing employment with bond underwriters, bond counsel, security brokerages or dealers, or like financial services while a Committee member or for three years after leaving the Committee.
- A limit of \$50 per calendar year is placed on the receipt of honoraria, gifts and gratuities from advisors, brokers, dealers, bankers or other persons with whom the County Treasury conducts business by any member of the Committee, the County Treasurer and any staff involved in the investment process. Beginning in 2004, an annual certification of compliance as prepared by the Treasurer shall be submitted by Committee members.
- The acceptance of transportation or meals and refreshments received during regularly scheduled conferences (such as the California Association of County Treasurers and Tax Collectors – CACTTC) are not prohibited by this policy.

AUTHORIZED INVESTMENTS

Pursuant to Government Code Section 53601 and 53635, investments will only be made in authorized securities with a maturity date of five (5) years or less from the transaction settlement date. All investments (except in mutual funds) must be in securities which have a positive return if held to maturity. The following instruments are authorized for investment (and other instruments are prohibited):

- a) Bonds issued by Stanislaus County or by a department, board agency or authority of Stanislaus County.
- b) United States (U.S.) notes, bonds, bills or certificates of indebtedness or those for which the faith and credit of the U.S. are pledged for the payment of principal and interest.

AUTHORIZED INVESTMENTS (Continued)

- c) California State registered warrants, treasury notes or bonds
- d) California local agency bonds, notes, warrants or other indebtedness and the California State Local Agency Investment Fund (LAIF).
- e) Obligations issued by banks for cooperatives, federal land banks, federal intermediate credit banks, federal home loan banks, the Federal Home Loan Bank (FHLB) Board, the Tennessee Valley Authority (TVA), Federal National Mortgage Association (FNMA), Federal Home Loan Mortgage Corporation (FHLMC), issuances or guaranteed instruments, and obligations of U.S. federal agencies or a U.S. government-sponsored enterprise. Investment in Small Business Administration (SBA) notes is prohibited.
- f) Bankers' Acceptances (BAs) which are eligible for purchase by the Federal Reserve System and which do not have a maturity date longer than 180 days from the settlement date. At the time of investment, no more than 40% of the Pool may be invested in BAs with a maximum 20% of the Pool in BAs of one commercial bank.
- g) Commercial paper (CP) of "prime" quality (rated A-1 by Moody, P-1 by Standard and Poor's Corporation or F-1 by Fitch) of a U.S. corporation having assets in excess of \$500,000,000 and a long term debt rating of "A" or higher. The maturity date may not exceed 180 days from the settlement date nor represent more than 10% of the total outstanding CP issuance of the corporation. No more than 15% of the Pool may be invested in CP unless the dollar weighted average maturity is 31 days or less in which case the total invested may be 30% of the Pool. Commercial Paper must be 3(a)3 only, no 144a paper and not be split rated below A-1, P-1 or F-1.
- h) Negotiable certificates of deposit (NCDs) issued by a nationally or state chartered bank or state licensed branch of a foreign bank. No more than 30% of the Pool may be invested in NCDs with no more than 5% of the Pool invested in any one bank's NCD.
- i) Repurchase agreements (REPOs) with an approved broker/dealer of any security authorized by Government Code section 53601 with a market value of 102% of the agreement and a term of not more than 90 days. Reverse repurchase agreements are prohibited.

AUTHORIZED INVESTMENTS (Continued)

- j) Medium Term Notes (MTNs) of U. S. corporations or depository institutions which have maturities of five years or less from the settlement date. The notes must be rated "A" or higher by Standard and Poor's (or other equivalent rating). No more than 30% of the Pool shall be invested in MTNs with no more than 5% of the Pool invested in the MTNs of any one corporation at the time of the investment. All MTNs must be non-callable. No investment shall be made in private placement MTNs or MTNs with split ratings below a Standard and Poor's rating of A- or its equivalent.
- k) Diversified management company shares (mutual fund/MF) which invest in instruments authorized in Government Code section 53601 (a) to (l) inclusive. The company must have the highest rating by two of three recognized rating agencies or have an investment adviser registered with the Securities and Exchange Commission (SEC) with at least five years of experience investing in securities authorized by Government Code section 53601 (a) to (m) inclusive and with assets under management in excess of \$500,000,000. At the time of MF shares purchase no more than 15% of the Pool may be invested in these securities with no more than 5% in any one mutual fund.
- l) Certificates of Deposit (CDs) in banks which are 110% collateralized by the institution with government securities. At the time of investment, no more than 5% of the Pool may be invested in any one bank's CDs.

NON-AUTHORIZED INVESTMENTS

- a) Investment in securities which are commonly referred to as "derivatives" such as interest only strips on mortgage pools, options, puts, inverse floaters or other speculative investments are prohibited.

REPORTING REQUIREMENTS

A monthly report shall be prepared by the Treasurer no later than 30 days following the end of the monthly reporting period. A copy of the report will be forwarded to Committee members, and the Treasurer will maintain a file of their acceptance. The report will be forwarded to the Board of Supervisors for final review and acceptance. The report will be provided through the web site.

The monthly report shall include:

- A concise management summary of Pool activity and position rendered with statements of review and reconciliation with custodial records, source of market valuation, ability to meet next six (6) month's expenditures and for compliance with this Policy by the Treasurer and Board of Supervisors' approval.
- A detailed listing of securities held at the end of the month grouped by investment type (e.g. BA, CD, CP) and delineated as follows:
 - Issuing agency (e.g. U.S. Government, FNMA, GE Capital)
 - Date purchased (settlement date)
 - Date of maturity
 - Par Value
 - Book Value
 - Market value
 - Stated rate (coupon rate)
 - Yield-to-Maturity
 - Days-to-Maturity
- A detailed listing of security transactions during the report period (purchases, sales and maturities) grouped by investment type and to include the following:
 - Date of transaction
 - Issuing agency (e.g. U.S. Government, FNMA, GE Capital)
 - Purchase, Deposit, Sale, Maturity or Withdrawal Amount
 - Stated rate (coupon rate)
 - A summary of Pool position by investment type dollar amount, percentage of total portfolio and average weighted maturity showing compliance with Policy limitations.
 - A summary by investment type of purchases and sales/maturities and ending position.

ANNUAL AUDIT

An annual audit shall be conducted to insure that investment transactions are in compliance with Law and this Policy. The audit shall be supervised by a Certified Public Accountant (CPA) who shall render an opinion to the Committee. The opinion shall be forwarded to the Board of Supervisors for review and acceptance. The selection of the CPA shall be by the Stanislaus County Auditor-Controller as a Committee member.

INVESTMENT POOL EXPENSES

The expenses of administration of the Pool shall be borne by all depositors by the utilization of investment earnings to offset the costs. Total costs shall not exceed 25 basis points (0.25%) of the average Pool daily balance for any fiscal year. Costs include normal Treasury costs for staff and support services in the areas of handling, safekeeping and depositing monies received; investment transactions and custodial safekeeping of securities; bank services; accounting, reporting and auditing of deposit and investment transactions; informational and educational materials and services related to financial markets, investments and individual business and governmental entities' financial condition; and other duties and costs related to the management of Pool funds. Appropriate costs normally charged as "Treasury/org 30400" on the Stanislaus County Auditor-Controller's records will incorporate and clearly define the Pool expenses.

AGENCIES' VOLUNTARY DEPOSITING AND WITHDRAWAL

"Voluntary" agency depositing is discouraged due to the potential volatility of depositing and withdrawal, which may occur. The Pool is designed as an operating fund for Stanislaus County and entities, which are required to deposit by Law or have historically utilized the efficiencies of the Treasury by Law.

Only those agencies which use the Treasury for operational purposes due to their ties to Stanislaus County departmental functions, area schools or special public districts and are either required or allowed to deposit funds in the County Treasury are allowed to be participants in the Pool.

Withdrawals from the Pool for investment purposes outside of the Pool by non-County member agencies may be done if the following conditions are met:

- The agency has provided the Treasurer with legal authority that it can invest funds outside of the Pool
- The agency shows evidence of maintaining a minimum cash balance of one month's normal payroll expenditures for 30 days prior to the date of request as verified by the Stanislaus County Auditor-Controller
- The agency withdraws a minimum of \$1,000,000 and will continue to maintain its Pool cash balance of one month's normal payroll costs
- The agency makes its request in writing signed by an authorized representative of the agency's board on a form provided by the Treasurer
- The agency must allow two business days for each five million dollar or increment thereof which is being withdrawn (e.g. a \$15,000,000 withdrawal would require that the Treasurer receive a completed request form with appropriate signatures and verifications 6 business days before the funds are released)

If the withdrawing agency's Pool cash balance falls below one month's payroll expense, the Treasurer may demand that funds be retrieved to restore the Pool cash balance to such level.

Reinvestment of funds from external investments (e.g. California State Local Agency Investment Fund) may be done without the above procedures. The Treasurer's Office may verify telephonically with the Auditor's Office that the agency has one month's payroll expenditures as cash in the Pool exclusive of the redemption of the external investment funds.

AGENCIES' VOLUNTARY DEPOSITING AND WITHDRAWAL (Continued)

The agency's request may be denied or delayed if multiple requests are received or abnormally high disbursements are experienced by the Pool resulting in unusual demands for cash outflow. Any agency request, which results in an immediate liquidation of investment securities at a loss, will only be honored after the agency has acknowledged and approved to bear the loss incurred. No request can be honored which will adversely affect the stability and predictability of the investments in the Pool.

INVESTMENT EARNINGS APPORTIONMENT AND RATE

Beginning July 1, 2001, the Pool's investment earnings shall be apportioned by the following method. The investment earnings which have been received in cash and accumulated from the beginning to the end of each calendar quarter shall be apportioned to each cash balance account maintained within the Pool. The apportionment of earnings to any particular cash balance account will be in direct proportion of that account's average daily cash balance to the entire Pool's average daily cash balance for that same quarter. For example, if the earnings received for the quarter ending March 31 were \$5,000,000, and if the County General Fund's average daily cash balance were \$10,000,000 and if the entire Pool's average daily cash balance were \$500,000,000, then the amount of earnings to apportion to the County's General Fund would be \$100,000 (calculated as $\$5,000,000 \times \$10,000,000 / \$500,000,000$). Cash balance accounts shall be maintained in and earnings apportionment shall be performed by the Stanislaus County Auditor-Controller's Office. The cash earnings apportionment rate is calculated as the investment earnings received in cash for the quarter divided by the average daily cash balance for the entire Pool times four (4). In the above example, the cash earnings apportionment rate is 4% ($\$5,000,000 / \$500,000,000 \times 4$).

EXEMPTIONS AND AMENDMENTS

Any investment currently held prior to the adoption of changes to the Investment policy that does not meet the newly revised guidelines of this Policy shall be exempted from the requirements of this policy. Upon that investment's maturity or liquidation, the monies received shall be invested in accordance with this Policy.

This Policy shall be reviewed on an annual basis. Any changes must be prepared by the Treasurer, reviewed and approved for propriety by the Committee and approved by the Stanislaus County Board of Supervisors.

GLOSSARY

Bankers' Acceptance (BA): A draft or bill of exchange accepted by a bank or trust company. The accepting institution guarantees payment of the bill, as well as the issuer.

Broker: A broker brings buyers and sellers together for a commission.

Certificate of Deposit (CD): A time deposit with a specific maturity evidenced by a certificate. Large denomination CDs are typically negotiable.

Collateral: Securities, evidence of deposit or other property, which a borrower pledges to secure repayment of a loan. Also securities pledged by a bank to secure public money deposits.

Coupon: The annual rate of interest that a bond issuer promises to pay the bondholder on the bond's face (or par) value.

Dealer: A dealer acts as a principal in all transactions, buying and selling for his own account.

Delivery Versus Payment: The delivery of securities with an exchange of money for the securities.

Derivatives: Financial instruments with return profiles linked to or derived from the movement of one or more underlying indices or securities. These instruments may include a leveraging factor. Also they include financial contracts based on notional amounts the value of which are derived from underlying indices or securities (such as interest rates, foreign exchange rates, equities or commodities).

Diversification: Dividing investment funds among a variety of securities offering independent returns.

Federal Credit Agencies: Agencies of the Federal government set up to supply credit to various classes of institutions (e.g. small business firms, farmers, farm cooperatives and exporters).

Federal Home Loan Banks (FHLB): Government sponsored wholesale banks (currently 12 regional banks) which lend funds and provide correspondent banking services to member commercial banks, thrift institutions, credit unions and insurance companies. The mission of the FHLBs is to liquefy the housing related assets of its members who must purchase stock in their district Bank.

Federal National Mortgage Association (FNMA): FNMA was chartered under the Federal National Association Act in 1938 and is a federal corporation working under the auspices of the Department of Housing and Urban Development (HUD). FNMA is the largest single provider of residential mortgage funds in the U.S. FNMA is a corporation. The corporation's purchases include a variety of adjustable mortgages and second loans, in addition to fixed-rate mortgages. FNMA's securities are highly liquid and widely accepted. FNMA assumes and guarantees that all security holders will receive timely payment of principal and interest.

Liquid Asset: A liquid asset is one that can be converted easily and rapidly into cash without a short-term substantial loss in value. Liquid securities have a narrow spread between bid and asked prices at reasonable sizes.

GLOSSARY (Continued)

Local Agency Investment Fund: The California pool of local agency assets, which is managed by the State Treasurer. Limits apply to each agency's deposit of general fund reserves, however no limits on amount of deposit apply to bond proceeds. Funds are still quite liquid in this pool.

Market Value: The price at which a security is trading and could presumably be purchased or sold.

Master Repurchase Agreement: A written contract covering all future transactions between the parties to a repurchase agreement which establishes each party's rights in the transactions.

Maturity: The date upon which the principal or stated value of an investment becomes due and payable.

Money Market: The market in which short term debt instruments (Bills, CP, BAs, etc..) are issued and traded.

Negotiable CD (Certificate of Deposit): A large denomination time deposit with a specific maturity evidenced by a certificate. These are traded like other fixed income securities. (see also "Certificate of Deposit")

Portfolio: Collection of securities held by an investor.

Primary Dealer: A group of government securities dealers who submit daily reports of market activity and positions and monthly financial statements to the Federal Reserve Bank of New York and are subject to its informal oversight. Primary dealers include Securities and Exchange (SEC)-registered securities broker-dealers, banks and a few unregulated firms.

Repurchase Agreement (REPO): A holder of securities sells these securities to an investor with an agreement to repurchase the securities at a fixed price on a fixed date. The security buyer in effect lends to the security seller cash money for the period of the agreement and the terms of the agreement are structured to compensate the security buyer for this transaction.

Safekeeping: A service rendered by banks for a fee whereby securities and valuables of all types and descriptions are held in the bank's vaults for protection.

Secondary Market: The trading arena of securities subsequent to the initial distribution of those securities.

Securities and Exchange Commission: The Federal Agency created by Congress to protect investors in security transactions by administering securities legislation.

Structured Notes: Notes issued by government sponsored enterprises (such as FHLB and FNMA) and corporations which have imbedded options (e.g. call features, step-up coupons, floating rate coupons, derivative-based returns) into their debt structure. The securities market performance is impacted by the fluctuation of interest rates, the volatility of the imbedded options and shifts in the shape of the overall yield curve.

GLOSSARY (Continued)

Treasury Bills: A non-interest bearing discount security issued by the U.S. Treasury to finance national debt. Most bills are issued to mature in three (3), six (6) or twelve (12) months.

Treasury Bonds: Medium-term interest-bearing U.S. Treasury securities issued as direct obligations of the U.S. Government and having initial maturities from two (2) to ten (10) years.

Uniform Net Capital Rule (SEC Rule 15C3-1): SEC requirement that member firms as well as non-member broker-dealers in securities maintain a maximum ratio of indebtedness to liquid capital of fifteen (15) to one (1); also called "net capital rule" and "net capital ratio." Indebtedness covers all money owed to a firm including margin loans and commitments to purchase securities. Liquid capital includes cash and assets easily converted into cash.

Yield: The rate of annual income return on an investment expressed as a percentage.

Yield to Maturity: The annual rate of return on invested dollars or cash outflow exclusive of transactional interest (including any purchase with a discount or premium) given the stated interest income and maturity value of the investment as the anticipated cash inflows.

APPENDIX E

DTC BOOK-ENTRY ONLY SYSTEM

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The following information concerning The Depository Trust Company, New York, New York (“DTC”) and DTC’s book-entry-only system has been provided by DTC for use in securities disclosure documents. The District takes no responsibility for the accuracy or completeness thereof. There can be no assurance that DTC will abide by its procedures or that such procedures will not be changed from time to time.

The following description includes the procedures and record-keeping with respect to beneficial ownership interests in the Bonds payment of principal and interest, other payments with respect to the Bonds to Direct Participants or Beneficial Owners, confirmation and transfer of beneficial ownership interests in such Bonds, notices to beneficial owners and other related transactions by and between DTC, the Participants, and the Beneficial Owners. However, DTC, the Participants, and the Beneficial Owners should not rely on the following information with respect to such matters, but should instead confirm the same with DTC or the Direct Participants, as the case may be.

The Depository Trust Company, New York, New York (“DTC”) will act as securities depository for the securities (in this Appendix, the “Bonds”). The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive Bonds representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC’s records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial

Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bonds are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

